

## Technology – Consumer Electronics / Industrial Electronics / Precisions

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# Valuation

|                       | Rating | Price     | Price  | Market cap | P/E (x) |      | P/B (x) |     | EV/EBITDA (x) |      | ROE (%) |      | Div. yield (%) |     | FCF yield (%) |     |
|-----------------------|--------|-----------|--------|------------|---------|------|---------|-----|---------------|------|---------|------|----------------|-----|---------------|-----|
|                       |        | 06-Jul-26 | Target | 06-Jul-26  | 1FY     | 2FY  | 1FY     | 2FY | 1FY           | 2FY  | 1FY     | 2FY  | 1FY            | 2FY | 1FY           | 2FY |
|                       |        | (JPY)     | (JPY)  | (bn JPY)   |         |      |         |     |               |      |         |      |                |     |               |     |
| 6501 Hitachi          | OW     | 4,805     | 6,000  | 21,621     | 23.8    | 19.7 | 3.2     | 3.1 | 12.0          | 10.7 | 13.4    | 15.5 | 1.2            | 1.2 | 3.3           | 3.0 |
| 6503 Mitsubishi Elec. | OW     | 6,043     | 7,000  | 12,367     | 23.8    | 21.4 | 2.7     | 2.5 | 13.8          | 12.7 | 11.1    | 11.5 | 1.0            | 1.1 | 1.9           | 1.2 |
| 6701 NEC              | OW     | 4,347     | 5,400  | 5,766      | 20.0    | 17.4 | 2.4     | 2.2 | 13.7          | 11.2 | 12.4    | 12.9 | 0.9            | 0.9 | -3.0          | 6.9 |
| 6702 Fujitsu          | OW     | 3,349     | 4,300  | 5,810      | 17.9    | 15.4 | 2.7     | 2.6 | 13.0          | 11.0 | 15.4    | 17.2 | 1.6            | 1.6 | 5.8           | 5.3 |
| 6724 Seiko Epson      | UW     | 2,878     | 1,900  | 922        | 16.8    | 17.7 | 1.1     | 1.0 | 5.5           | 5.3  | 6.5     | 6.0  | 2.6            | 2.6 | 5.1           | 6.0 |
| 6752 Panasonic HD     | N      | 4,557     | 4,600  | 10,639     | 23.1    | 20.0 | 1.9     | 1.8 | 10.6          | 9.3  | 8.6     | 9.2  | 1.2            | 1.3 | 3.9           | 2.8 |
| 6753 Sharp            | UW     | 641       | 720    | 416        | 14.3    | 12.6 | 1.8     | 1.5 | 8.2           | 7.4  | 13.1    | 13.0 | 0.0            | 0.0 | 9.3           | 4.8 |
| 6758 Sony Group       | OW     | 3,422     | 5,700  | 20,216     | 16.2    | 14.6 | 2.4     | 2.1 | 7.8           | 7.3  | 14.5    | 14.7 | 1.0            | 1.3 | -0.1          | 3.0 |
| 6952 Casio            | N      | 1,886     | 1,300  | 424        | 24.6    | 22.4 | 1.9     | 1.8 | 9.3           | 8.4  | 7.7     | 8.2  | 2.4            | 2.4 | 3.9           | 5.5 |
| 7751 Canon            | N      | 4,338     | 4,400  | 3,811      | 11.1    | 10.9 | 1.0     | 1.0 | 6.9           | 6.7  | 9.3     | 9.2  | 3.7            | 3.7 | 7.6           | 7.0 |
| 7752 Ricoh            | N      | 1,468     | 1,450  | 836        | 12.7    | 11.9 | 0.8     | 0.7 | 7.9           | 7.2  | 6.1     | 6.2  | 2.9            | 3.0 | 7.6           | 8.4 |
| 7762 Citizen Watch    | N      | 2,395     | 1,850  | 584        | 22.6    | 22.0 | 2.1     | 2.0 | 12.1          | 11.7 | 9.3     | 9.1  | 2.0            | 2.0 | 3.3           | 4.1 |
| 7951 Yamaha           | N      | 1,188     | 1,100  | 523        | 15.3    | --   | 1.1     | 1.1 | 8.3           | 7.6  | 6.1     | 6.2  | 2.2            | 2.2 | 4.8           | 4.8 |
| 8050 Seiko Group      | NC     | 7,850     | --     | 642        | 26.4    | 22.9 | 3.3     | 3.0 | --            | --   | 13.2    | 14.2 | 1.2            | 1.4 | 2.5           | 3.6 |
| Average               |        |           |        |            | 19.2    | 17.6 | 2.0     | 1.9 | 9.9           | 9.0  | 10.5    | 10.9 | 1.7            | 1.8 | 4.0           | 4.7 |

Source: Bloomberg Finance L.P. consensus, J.P. Morgan estimates.

Note 1: Bloomberg Finance L.P. consensus estimates for Seiko Group, J.P. Morgan estimates for all others.

Note 2: NC stands for Not Covered.

# Performance

|                              | Rating | Price     | Market cap | Trading volume     | Trading value      | Actual performance |      |       |       | Relative performance vs Topix |       |       |       | β     |
|------------------------------|--------|-----------|------------|--------------------|--------------------|--------------------|------|-------|-------|-------------------------------|-------|-------|-------|-------|
|                              |        | 06-Jul-26 | 06-Jul-26  | 30days moving avg. | 30days moving avg. | 1M                 | 3M   | 6M    | 1Y    | 1M                            | 3M    | 6M    | 1Y    | Topix |
|                              |        | (JPY)     | (mn JPY)   | (k shares)         | (mn JPY)           | (%)                | (%)  | (%)   | (%)   | (%)                           | (%)   | (%)   | (%)   | 6M    |
| 6501 Hitachi                 | OW     | 4,805     | 21,621     | 13,406             | 65,051             | -9.3               | 1.8  | -11.8 | 19.3  | -12.7                         | -9.3  | -24.5 | -18.2 | 0.97  |
| 6503 Mitsubishi Elec.        | OW     | 6,043     | 12,367     | 6,611              | 39,848             | 0.5                | 14.0 | 23.0  | 95.9  | -3.3                          | 1.6   | 5.3   | 34.3  | 1.32  |
| 6701 NEC                     | OW     | 4,347     | 5,766      | 7,734              | 31,120             | 2.2                | 8.4  | -23.5 | 10.4  | -1.6                          | -3.5  | -34.6 | -24.3 | 0.84  |
| 6702 Fujitsu                 | OW     | 3,349     | 5,810      | 8,757              | 29,663             | -6.7               | 2.9  | -22.8 | -3.1  | -10.2                         | -8.3  | -33.9 | -33.6 | 0.80  |
| 6724 Seiko Epson             | UW     | 2,878     | 922        | 2,333              | 6,599              | -2.9               | 42.6 | 43.9  | 51.8  | -6.5                          | 27.0  | 23.1  | 4.0   | 1.08  |
| 6752 Panasonic HD            | N      | 4,557     | 10,639     | 14,297             | 58,269             | 21.4               | 63.9 | 116.6 | 201.4 | 16.9                          | 46.0  | 85.4  | 106.6 | 1.20  |
| 6753 Sharp                   | UW     | 641       | 416        | 4,639              | 2,904              | -2.7               | 0.5  | -21.6 | -6.6  | -6.3                          | -10.4 | -32.9 | -35.9 | 0.77  |
| 6758 Sony Group              | OW     | 3,422     | 20,216     | 20,673             | 69,682             | -3.8               | 3.9  | -16.8 | -3.9  | -7.4                          | -7.4  | -28.7 | -34.2 | 0.78  |
| 6952 Casio Computer          | N      | 1,886     | 424        | 1,422              | 2,601              | 2.7                | 17.6 | 46.1  | 72.2  | -1.1                          | 4.7   | 25.1  | 18.0  | 0.89  |
| 7751 Canon                   | N      | 4,338     | 3,811      | 4,352              | 18,579             | -0.6               | -3.3 | -8.5  | 4.7   | -4.3                          | -13.8 | -21.7 | -28.3 | 0.66  |
| 7752 Ricoh                   | N      | 1,468     | 836        | 2,107              | 3,074              | -2.9               | 8.0  | 4.2   | 8.1   | -6.5                          | -3.8  | -10.8 | -25.9 | 0.87  |
| 7762 Citizen Watch           | N      | 2,395     | 584        | 1,262              | 2,926              | 6.3                | 33.1 | 82.8  | 181.8 | 2.3                           | 18.6  | 56.5  | 93.1  | 1.01  |
| 7951 Yamaha                  | N      | 1,188     | 523        | 2,074              | 2,331              | 8.3                | 1.5  | 6.4   | 17.0  | 4.3                           | -9.6  | -8.9  | -19.8 | 0.82  |
| 8050 Seiko Group             | NC     | 7,850     | 642        | 309                | 2,264              | 16.3               | 32.2 | 117.8 | 268.1 | 12.0                          | 17.7  | 86.4  | 152.3 | 1.23  |
| Performance weighted average |        |           |            |                    |                    | -0.7               | 13.2 | 9.6   | 48.4  | -4.4                          | 0.9   | -6.2  | 1.7   |       |
| Performance simple average   |        |           |            |                    |                    | 2.1                | 16.2 | 24.0  | 65.5  | -1.7                          | 3.5   | 6.1   | 13.4  |       |
| TOPIX                        |        | 4,102     |            | 2,781,275          |                    | 3.9                | 12.3 | 16.8  | 45.9  |                               |       |       |       |       |

Source: Bloomberg Finance L.P., J.P. Morgan.

Note: NC stands for Not Covered. Ratings are per J.P. Morgan estimates

# Earnings forecast summary

## Hitachi (6501)

|                          | Sales<br>(JPYm) | YoY<br>(%) | Adj. OP<br>(JPYm) | YoY<br>(%) | PBT<br>(JPYm) | YoY<br>(%) | NP<br>(JPYm) | YoY<br>(%) | EPS<br>(JPY) | P/E<br>(x) |
|--------------------------|-----------------|------------|-------------------|------------|---------------|------------|--------------|------------|--------------|------------|
| 3/24 A                   | 9,728,716       | -10.6%     | 755,816           | 1.0%       | 825,801       | 0.7%       | 589,896      | -9.1%      | 126.9        | 37.9       |
| 3/25 A                   | 9,783,370       | 0.6%       | 971,606           | 28.6%      | 962,733       | 16.6%      | 615,724      | 4.4%       | 134.5        | 35.7       |
| 3/26 A                   | 10,586,781      | 8.2%       | 1,199,275         | 23.4%      | 1,273,109     | 32.2%      | 802,368      | 30.3%      | 178.3        | 26.9       |
| 3/27 CoE                 | 11,100,000      | 4.8%       | 1,315,000         | 9.6%       | 1,257,000     | -1.3%      | 850,000      | 5.9%       | 188.8        | 25.5       |
| 3/27 J.P. Morgan E       | 11,261,000      | 6.4%       | 1,365,000         | 13.8%      | 1,315,000     | 3.3%       | 885,000      | 10.3%      | 201.6        | 23.8       |
| 3/27 Bloomberg consensus | 11,280,760      | 6.6%       | 1,349,884         | 12.6%      | 1,333,905     | 4.8%       | 905,712      | 12.9%      | 202.9        | 23.7       |
| 3/28 J.P. Morgan E       | 11,753,000      | 4.4%       | 1,580,000         | 15.8%      | 1,540,000     | 17.1%      | 1,046,000    | 18.2%      | 243.8        | 19.7       |
| 3/28 Bloomberg consensus | 12,037,848      | 6.7%       | 1,561,510         | 15.7%      | 1,539,251     | 15.4%      | 1,050,933    | 16.0%      | 238.2        | 20.2       |
| 3/29 J.P. Morgan E       | 12,587,000      | 7.1%       | 1,770,000         | 12.0%      | 1,730,000     | 12.3%      | 1,182,000    | 13.0%      | 282.1        | 17.0       |
| 3/29 Bloomberg consensus | 12,854,982      | 6.8%       | 1,743,997         | 11.7%      | 1,731,218     | 12.5%      | 1,184,094    | 12.7%      | 273.7        | 17.6       |

## Mitsubishi Electric (6503)

|                          | Sales<br>(JPYm) | YoY<br>(%) | OP<br>(JPYm) | YoY<br>(%) | PBT<br>(JPYm) | YoY<br>(%) | NP<br>(JPYm) | YoY<br>(%) | EPS<br>(JPY) | P/E<br>(x) |
|--------------------------|-----------------|------------|--------------|------------|---------------|------------|--------------|------------|--------------|------------|
| 3/24 A                   | 5,257,914       | 5.1%       | 328,525      | 25.2%      | 365,853       | 25.2%      | 284,949      | 33.2%      | 135.7        | 44.5       |
| 3/25 A                   | 5,521,711       | 5.0%       | 391,850      | 19.3%      | 437,265       | 19.5%      | 324,084      | 13.7%      | 156.2        | 38.7       |
| 3/26 A                   | 5,894,747       | 6.8%       | 433,095      | 10.5%      | 526,077       | 20.3%      | 407,758      | 25.8%      | 199.3        | 30.3       |
| 3/27 CoE                 | 6,200,000       | 5.2%       | --           | --         | 640,000       | 21.7%      | 475,000      | 16.5%      | 231.0        | 26.2       |
| 3/27 J.P. Morgan E       | 6,307,000       | 7.0%       | 635,000      | 46.6%      | 690,000       | 31.2%      | 513,000      | 25.8%      | 254.0        | 23.8       |
| 3/27 Bloomberg consensus | 6,246,489       | 6.0%       | 622,965      | 43.8%      | 676,403       | 28.6%      | 497,725      | 22.1%      | 246.5        | 24.5       |
| 3/28 J.P. Morgan E       | 6,533,000       | 3.6%       | 690,000      | 8.7%       | 750,000       | 8.7%       | 562,000      | 9.6%       | 282.0        | 21.4       |
| 3/28 Bloomberg consensus | 6,473,009       | 3.6%       | 690,334      | 10.8%      | 745,554       | 10.2%      | 550,523      | 10.6%      | 276.9        | 21.8       |
| 3/29 J.P. Morgan E       | 6,767,000       | 3.6%       | 770,000      | 11.6%      | 830,000       | 10.7%      | 624,000      | 11.0%      | 317.4        | 19.0       |
| 3/29 Bloomberg consensus | 6,768,946       | 4.6%       | 759,324      | 10.0%      | 817,687       | 9.7%       | 604,047      | 9.7%       | 311.6        | 19.4       |

## Panasonic HD (6752)

|                          | Sales<br>(JPYm) | YoY<br>(%) | Adj. OP<br>(JPYm) | YoY<br>(%) | OP<br>(JPYm) | YoY<br>(%) | NP<br>(JPYm) | YoY<br>(%) | EPS<br>(JPY) | P/E<br>(x) |
|--------------------------|-----------------|------------|-------------------|------------|--------------|------------|--------------|------------|--------------|------------|
| 3/24 A                   | 8,496,420       | 1.4%       | 389,999           | 24.2%      | 360,962      | 25.1%      | 443,994      | 67.2%      | 190.2        | 24.0       |
| 3/25 A                   | 8,458,185       | -0.5%      | 467,223           | 19.8%      | 426,490      | 18.2%      | 366,205      | -17.5%     | 156.9        | 29.0       |
| 3/26 A                   | 8,048,722       | -4.8%      | 447,443           | -4.2%      | 236,407      | -44.6%     | 189,540      | -48.2%     | 81.2         | 56.1       |
| 3/27 CoE                 | 7,600,000       | -5.6%      | 600,000           | 34.1%      | 550,000      | 132.6%     | 420,000      | 121.6%     | 179.9        | 25.3       |
| 3/27 J.P. Morgan E       | 7,676,000       | -4.6%      | 650,000           | 45.3%      | 600,000      | 153.8%     | 461,000      | 143.2%     | 197.5        | 23.1       |
| 3/27 Bloomberg consensus | 7,821,898       | -2.8%      | --                | --         | 577,446      | 144.3%     | 452,132      | 138.5%     | 194.1        | 23.4       |
| 3/28 J.P. Morgan E       | 8,369,000       | 9.0%       | 735,000           | 13.1%      | 695,000      | 15.8%      | 532,000      | 15.4%      | 227.9        | 20.0       |
| 3/28 Bloomberg consensus | 8,225,516       | 5.2%       | --                | --         | 707,813      | 22.6%      | 551,338      | 21.9%      | 236.6        | 18.9       |
| 3/29 J.P. Morgan E       | 8,414,000       | 0.5%       | 770,000           | 4.8%       | 730,000      | 5.0%       | 557,000      | 4.7%       | 238.6        | 19.1       |
| 3/29 Bloomberg consensus | 8,781,089       | 6.8%       | --                | --         | 859,512      | 21.4%      | 671,250      | 21.7%      | 288.2        | 15.9       |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share prices are as of July 6.

# Earnings forecast summary (Continued)

## Sony Group (6758)

|                          | Sales<br>(JPYm) | YoY<br>(%) | OP<br>(JPYm) | YoY<br>(%) | PBT<br>(JPYm) | YoY<br>(%) | NP<br>(JPYm) | YoY<br>(%) | EPS<br>(JPY) | P/E<br>(x) |
|--------------------------|-----------------|------------|--------------|------------|---------------|------------|--------------|------------|--------------|------------|
| 3/24 A                   | 13,020,768      | 18.6%      | 1,208,831    | -7.2%      | 1,268,662     | -0.5%      | 970,573      | -3.5%      | 157.7        | 21.7       |
| 3/25 A                   | 12,034,917      | -7.6%      | 1,276,635    | 5.6%       | 1,343,198     | 5.9%       | 1,141,600    | 17.6%      | 188.7        | 18.1       |
| 3/25 A Restated          | 12,043,903      | --         | 1,276,643    | --         | 1,343,200     | --         | 1,067,400    | --         | --           | --         |
| 3/26 A                   | 12,479,620      | 3.6%       | 1,447,507    | 13.4%      | 1,422,374     | 5.9%       | -326,865     | --         | -54.7        | -62.6      |
| 3/27 CoE                 | 12,300,000      | -1.4%      | 1,600,000    | 10.5%      | 1,615,000     | 13.5%      | 1,160,000    | --         | --           | --         |
| 3/27 J.P. Morgan E       | 12,819,000      | 2.7%       | 1,667,000    | 15.2%      | 1,667,000     | 17.2%      | 1,215,000    | --         | 210.8        | 16.2       |
| 3/27 Bloomberg consensus | 12,703,192      | 1.8%       | 1,642,187    | 13.4%      | 1,660,913     | 16.8%      | 1,215,252    | --         | 206.2        | 16.6       |
| 3/28 J.P. Morgan E       | 12,588,000      | -1.8%      | 1,800,000    | 8.0%       | 1,800,000     | 8.0%       | 1,315,000    | 8.2%       | 233.9        | 14.6       |
| 3/28 Bloomberg consensus | 12,753,772      | 0.4%       | 1,767,848    | 7.7%       | 1,792,950     | 7.9%       | 1,317,077    | 8.4%       | 224.7        | 15.2       |
| 3/29 J.P. Morgan E       | 13,431,000      | 6.7%       | 1,940,000    | 7.8%       | 1,940,000     | 7.8%       | 1,420,000    | 8.0%       | 259.2        | 13.2       |
| 3/29 Bloomberg consensus | 13,590,686      | 6.6%       | 1,914,547    | 8.3%       | 1,916,071     | 6.9%       | 1,409,310    | 7.0%       | 244.3        | 14.1       |

## NEC (6701)

|                          | Sales<br>(¥ mn) | YoY<br>(%) | Non-GAAP OP<br>(JPYm) | YoY<br>(%) | PBT<br>(JPYm) | YoY<br>(%) | NP<br>(JPYm) | YoY<br>(%) | EPS<br>(JPY) | P/E<br>(x) |
|--------------------------|-----------------|------------|-----------------------|------------|---------------|------------|--------------|------------|--------------|------------|
| 3/24 A                   | 3,477,262       | 5.0%       | 227,600               | 0.0%       | 185,011       | 10.3%      | 149,521      | 30.6%      | 112.3        | 38.7       |
| 3/25 A                   | 3,423,431       | -1.5%      | 311,300               | 36.8%      | 239,771       | 29.6%      | 175,183      | 17.2%      | 131.5        | 33.1       |
| 3/26 A                   | 3,582,733       | 4.7%       | 397,234               | 27.6%      | 398,175       | 66.1%      | 270,228      | 54.3%      | 203.0        | 21.4       |
| 3/27 CoE                 | 3,500,000       | -2.3%      | 420,000               | 5.7%       | --            | --         | --           | --         | --           | --         |
| 3/27 J.P. Morgan E       | 3,749,000       | 4.6%       | 460,000               | 15.8%      | 422,000       | 6.0%       | 288,000      | 6.6%       | 217.1        | 20.0       |
| 3/27 Bloomberg consensus | 3,662,695       | 2.2%       | 413,378               | 4.1%       | 416,715       | 4.7%       | 290,010      | 7.3%       | 215.0        | 20.2       |
| 3/28 J.P. Morgan E       | 3,883,000       | 3.6%       | 525,000               | 14.1%      | 485,000       | 14.9%      | 332,000      | 15.3%      | 250.3        | 17.4       |
| 3/28 Bloomberg consensus | 3,867,845       | 5.6%       | 468,696               | 13.4%      | 473,370       | 13.6%      | 328,667      | 13.3%      | 245.2        | 17.7       |
| 3/29 J.P. Morgan E       | 4,021,000       | 3.6%       | 580,000               | 10.5%      | 540,000       | 11.3%      | 370,000      | 11.4%      | 279.0        | 15.6       |
| 3/29 Bloomberg consensus | 4,052,262       | 4.8%       | 534,840               | 14.1%      | 532,171       | 12.4%      | 370,620      | 12.8%      | 276.9        | 15.7       |

## Fujitsu (6702)

|                          | Sales<br>(¥ mn) | YoY<br>(%) | Adj. OP<br>(¥ mn) | YoY<br>(%) | PBT<br>(¥ mn) | YoY<br>(%) | NP<br>(¥ mn) | YoY<br>(%) | EPS<br>(¥) | P/E<br>(x) |
|--------------------------|-----------------|------------|-------------------|------------|---------------|------------|--------------|------------|------------|------------|
| 3/24 A                   | 3,476,985       | -6.4%      | 283,660           | -11.6%     | 165,610       | -55.5%     | 254,478      | 18.3%      | 135.6      | 24.7       |
| 3/25 A                   | 3,550,116       | 2.1%       | 307,265           | 8.3%       | 273,445       | 65.1%      | 219,807      | -13.6%     | 120.9      | 27.7       |
| 3/26 A                   | 3,502,971       | -1.3%      | 390,589           | 27.1%      | 409,034       | 49.6%      | 449,408      | 104.5%     | 254.8      | 13.1       |
| 3/27 CoE                 | 3,510,000       | 0.2%       | 425,000           | 8.8%       | --            | --         | 310,000      | -31.0%     | 182.4      | 18.4       |
| 3/27 J.P. Morgan E       | 3,474,000       | -0.8%      | 425,000           | 8.8%       | 435,000       | 6.3%       | 316,000      | -29.7%     | 186.8      | 17.9       |
| 3/27 Bloomberg consensus | 3,546,585       | 1.2%       | --                | --         | 418,911       | 2.4%       | 306,692      | -31.8%     | 176.0      | 18.9       |
| 3/28 J.P. Morgan E       | 3,554,000       | 2.3%       | 485,000           | 14.1%      | 505,000       | 16.1%      | 369,000      | 16.8%      | 218.1      | 15.4       |
| 3/28 Bloomberg consensus | 3,686,079       | 3.9%       | --                | --         | 484,149       | 15.6%      | 348,278      | 13.6%      | 203.6      | 16.3       |
| 3/29 J.P. Morgan E       | 3,641,000       | 2.4%       | 560,000           | 15.5%      | 580,000       | 14.9%      | 425,000      | 15.2%      | 251.2      | 13.3       |
| 3/29 Bloomberg consensus | 3,838,879       | 4.1%       | --                | --         | 545,549       | 12.7%      | 396,100      | 13.7%      | 235.9      | 14.3       |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share prices are as of July 6.



# AI value chain

| Power                                                                             | Network                                        | Computing                                                                   | Foundation model                                                                | Generative AI / Agentic AI                                                                                                                         | Physical AI                                         |
|-----------------------------------------------------------------------------------|------------------------------------------------|-----------------------------------------------------------------------------|---------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| <b>Power (Grid)</b>                                                               | Network equipment                              | <b>CPU / GPU</b>                                                            | <b>Foundation model</b>                                                         | <b>General-purpose</b>                                                                                                                             | Robotics                                            |
| Hitachi, Siemens Energy, GE Vernova                                               | Cisco, Arista, Celestica, NVIDIA, Broadcom     | NVIDIA, AMD, Intel, Broadcom, Google, Meta, Fujitsu                         | OpenAI, Google, Meta, Anthropic, Microsoft, Amazon, xAI, DeepSeek, Fujitsu, NEC | OpenAI, Google DeepMind, Meta, xAI, Mistral AI                                                                                                     | Tesla, Boston Dynamics, Figure AI, Agility Robotics |
| <b>Power (UPS)</b>                                                                | <b>Network (Opto devices)</b>                  | Memory                                                                      |                                                                                 | <b>Enterprise &amp; Office</b>                                                                                                                     | <b>FA &amp; Industrial</b>                          |
| Schneider Elec, Eaton, Vertiv, ABB, Mitsubishi Elec                               | Broadcom, Lumentum, Mitsubishi Elec, Coherent, | SK Hynix, Samsung, Micron, KIOXIA                                           |                                                                                 | Microsoft, Amazon, Anthropic, Salesforce, ServiceNow, Adobe, Fujitsu, NEC, Blue Yonder, GlobalLogic                                                | Fanuc, ABB, Rockwell, Yaskawa, Mitsubishi Elec      |
| <b>Power (BBU)</b>                                                                | InnoLight, Eoptolink                           | Server                                                                      |                                                                                 |                                                                                                                                                    | <b>Infrastructure &amp; Energy</b>                  |
| Panasonic Energy, Delta Electronics, AES                                          | Network (Fibers, Cables)                       | Hon Hai, Quanta, Wwyy nn                                                    |                                                                                 | Domain-Specific                                                                                                                                    | Hitachi, Siemens, Johnson Controls                  |
| <b>Data Center Cooling</b>                                                        | Fujikura, Sumitomo Elec                        | <b>CCL</b>                                                                  |                                                                                 | Suno (Music), Sora (Video), Runway (Video), Harvey (Legal), Cursor (Coding), Altruist (Wealth management), DeepL (Translation), ElevenLabs (Voice) | <b>Mobility &amp; Logistics</b>                     |
| Vertiv, Schneider Elec, Trane, Carrier, Johnson Controls, Daikin, Mitsubishi Elec | <b>Network (Submarine Cable)</b>               | Elite Material, Doosan, Panasonic HD, Nittobo, TGI, Mitsui Kinzoku, Resonac |                                                                                 |                                                                                                                                                    | Tesla, Aurora Innovation, Amazon Robotics, Shied AI |
|                                                                                   | SubCom, NEC, Alcatel Submarine Networks        |                                                                             |                                                                                 |                                                                                                                                                    |                                                     |

|                 |                                 |                        |                      |        |                                |                      |
|-----------------|---------------------------------|------------------------|----------------------|--------|--------------------------------|----------------------|
| Hitachi         | <b>Power Grid</b>               |                        |                      |        | <b>Lumada, GlobalLogic</b>     | <b>HMAX (Lumada)</b> |
| Mitsubishi Elec | <b>UPS, Data Center Cooling</b> | <b>EML (Opto)</b>      |                      |        |                                | Serendie             |
| Fujitsu         |                                 |                        | CPU, Quantum         | Takane | <b>Uvance, Fujitsu Kozuchi</b> | Uvance               |
| NEC             |                                 | <b>Submarine Cable</b> |                      | cotomi | <b>BluStellar, cotomi</b>      | BluStellar           |
| Panasonic HD    | <b>BBU</b>                      |                        | <b>MEGTRON (CCL)</b> |        | <b>Blue Yonder</b>             |                      |
| Sony Group      |                                 |                        |                      |        | Content Creation, Platform     |                      |

Source: Company data, J.P. Morgan.  
Note: The green highlight indicates that the darker the color, the greater the competitive advantage within the industry.

# AI: Computing

## Nvidia's product roadmap and power consumption

|                                                     | DGX<br>A100          | DGX<br>H100/H200     | H20                  | DGX<br>B200/B300     | GB200<br>NVL72     | GB300<br>NVL72     | VR200<br>Power shelf | VR200<br>Power rack | VR Ultra                        |
|-----------------------------------------------------|----------------------|----------------------|----------------------|----------------------|--------------------|--------------------|----------------------|---------------------|---------------------------------|
| Architecture                                        | Ampere               | Hopper               | Hopper               | Blackwell            | Blackwell          | Blackwell          | Vera Rubin           | Vera Rubin          | Vera Rubin                      |
| Real server Power consumption excl. redundancy (kw) | 7                    | 10                   | 5                    | 14                   | 120                | 140                | 210                  | 210                 | 900                             |
| <b>PSU form factor</b>                              | <b>In-server PSU</b> | <b>In-server PSU</b> | <b>In-server PSU</b> | <b>In-server PSU</b> | <b>Power shelf</b> | <b>Power shelf</b> | <b>Power shelf</b>   | <b>Power rack</b>   | <b>800V HVDC<br/>power rack</b> |
| Design power capacity per rack                      | 13                   | 20                   | 9                    | 20                   | 198                | 288                | 444                  | 330                 | 1500                            |
| Power spec                                          | 4*3.3kw              | 6*3.3kw              | 6*1.5kw              | 6*3.3kw              | 6*33kw             | 4*72kw             | 4*111kw              | 10*33kw             | 10*150kw                        |
| Redundancy spec                                     | N+1 (3+1)            | N+2 (4+2)            | N+1 (5+1)            | N+1 (5+1)            | N+2 (4+2)          | N+2 (4+2)          | N+2 (4+2)            | N+2 (4+2)           | N+2 (4+2)                       |
| PSU specification (kw)                              | 3.3                  | 3.3                  | 1.5                  | 3.3                  | 5.5                | 12                 | 18.5                 | 5.5                 | 25                              |
| PSU ASP (US\$)                                      | 350                  | 350                  | 150                  | 350                  | 700                | 1,500              | 2,300                | 700                 | 3125                            |
| <b>Number of PSUs per rack</b>                      | <b>4</b>             | <b>6</b>             | <b>4</b>             | <b>6</b>             | <b>36</b>          | <b>24</b>          | <b>36</b>            | <b>60</b>           | <b>60</b>                       |
| Number of power shelves                             | NA                   | NA                   | NA                   | NA                   | 6                  | 4                  | 4                    | 10                  | 10                              |
| Number of PSUs per power shelf                      | NA                   | NA                   | NA                   | NA                   | 6                  | 6                  | 6                    | 6                   | 6                               |
| <b>Total power content (US\$)</b>                   | <b>6</b>             | <b>8</b>             | <b>4</b>             | <b>8</b>             | <b>37</b>          | <b>53</b>          | <b>81</b>            | <b>147</b>          | <b>561</b>                      |
| PSU content per rack                                | 6                    | 8                    | 4                    | 8                    | 25                 | 36                 | 55                   | 42                  | 188                             |
| Number of server per racks                          | 4                    | 4                    | 4                    | 4                    | 18                 | 18                 | 18                   | 18                  | 18                              |
| <b>Other components within power shelf</b>          | <b>NA</b>            | <b>NA</b>            | <b>NA</b>            | <b>NA</b>            | <b>12</b>          | <b>17</b>          | <b>26</b>            | <b>105</b>          | <b>373</b>                      |
| Dollar/watt - PSU                                   | 0.11                 | 0.11                 | 0.1                  | 0.11                 | 0.13               | 0.12               | 0.12                 | 0.13                | 0.13                            |
| Dollar/watt - Power shelf/rack                      | 0.11                 | 0.11                 | 0.1                  | 0.11                 | 0.19               | 0.18               | 0.18                 | 0.44                | 0.37                            |

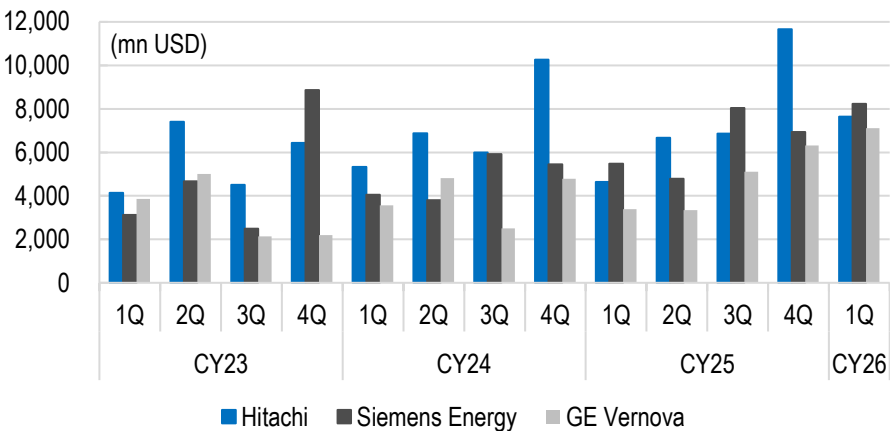
Source: J.P.Morgan (Refer to "[Power and Liquid Cooling Model Update: Assessing PSU, Liquid Cooling, and Electric Grid Impacts](#)" November 4, 2025, authored by Albert Hung and others.)

Note: Nvidia covered by Harlan Sur

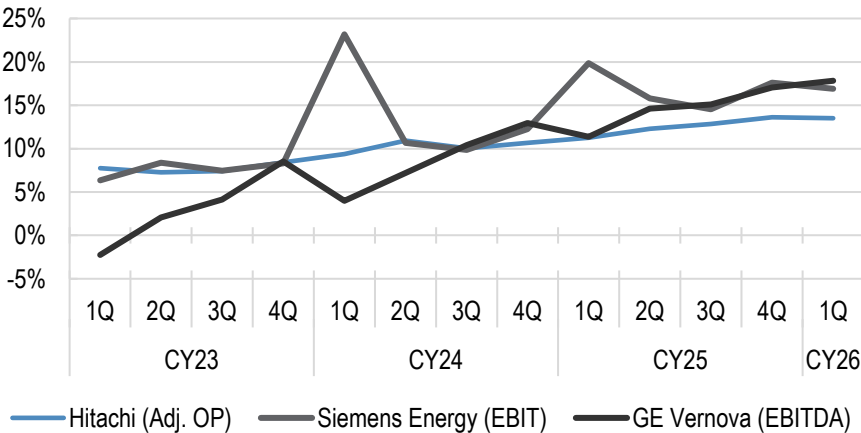


# AI: Power Grid

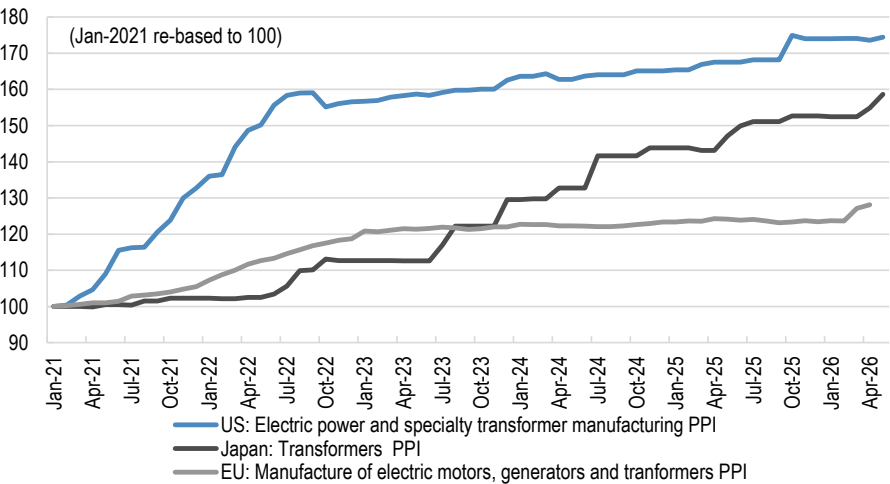
Orders in segments related to power grid division



Margin of segments related to power grid division



Regional power equipment PPIs



Capacity expansion by Hitachi Energy

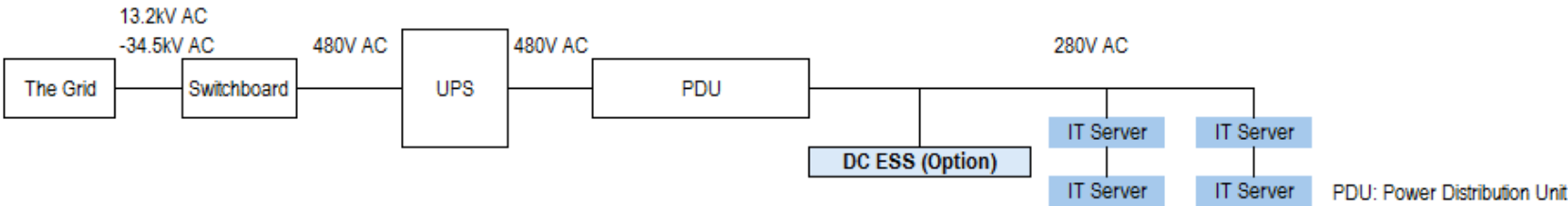
| Investment plans from 2024 to 2027 |                  |                                                       |
|------------------------------------|------------------|-------------------------------------------------------|
| Announcement                       | Amount           | Investment target                                     |
| 4/24/2024                          | Over 1.5 bn USD  | Global transformer production capacity                |
| 6/7/2024                           | 4.5 bn USD       | T&D equipment production capacity / R&D / Partnership |
| 11/3/2025                          | Over 250 mn USD  | Transformer parts production capacity                 |
| Total                              | Over 6.25 bn USD |                                                       |

| Capacity expansion plan from 2024 to 2030 |      |
|-------------------------------------------|------|
| Dry capacitors                            | 4.0x |
| Valves                                    | 2.5x |
| Switchgear                                | 2.0x |
| Semiconductors                            | 2.0x |
| Power transformers                        | 2.0x |
| HVDC transformers                         | 2.5x |

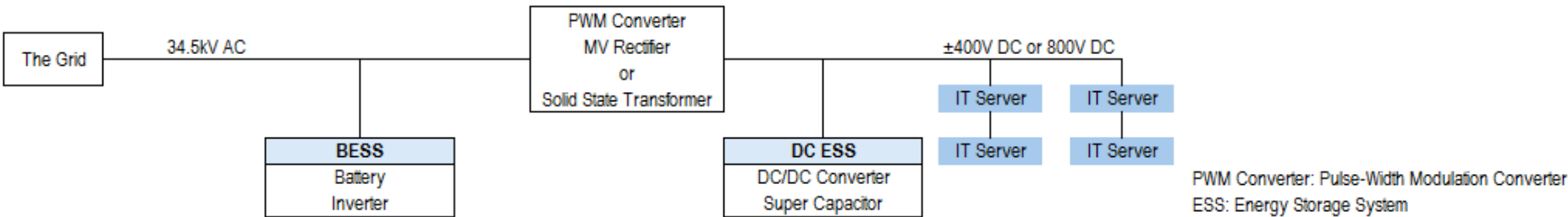
Source: Company reports, St. Louis Fed (bottom left), eurostat, J.P. Morgan  
 Note 1: The investment plan shown in the chart on the bottom right includes investment in human resources.  
 Note 2: Hitachi Energy's production capacity expansion plan for 2030 is shown as 2024 capacity indexed as one.

# AI: DC800V

## Conventional: UPS-based Configuration



## 2027-: DC 800V Architecture for Next-Generation AI Data Center

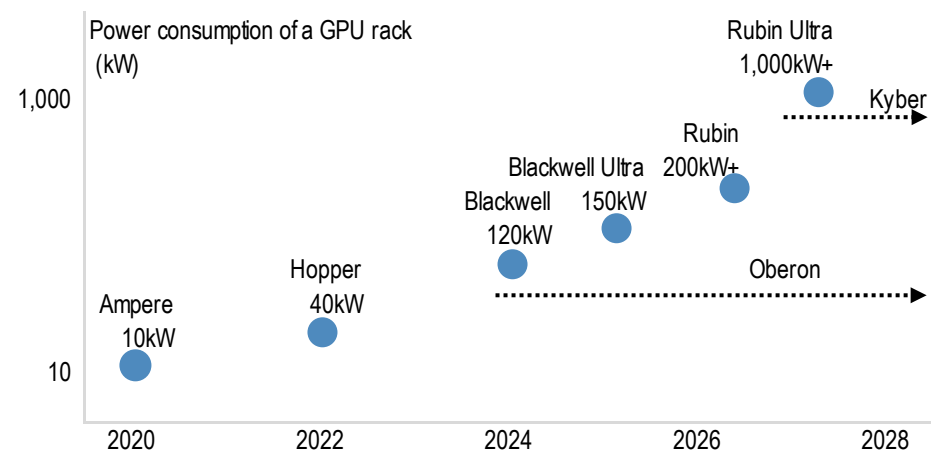


## Cooling technology

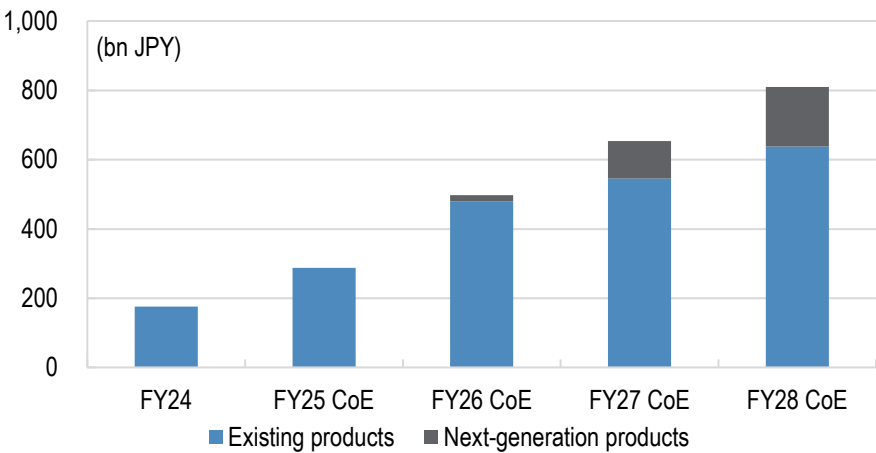
| Product                          | Function                                                                                                                                                                                                                                                |                           |
|----------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|
| Chiller                          | Chilled-water production unit                                                                                                                                                                                                                           |                           |
| CRAH (Computer Room Air Handler) | A large fan unit that cools the room using chilled water from the chiller + Heat exchanger                                                                                                                                                              |                           |
| CDU (Coolant Distribution Unit)  | Controls the temperature and pressure of the liquid circulated to cold plates                                                                                                                                                                           |                           |
| Liquid cooling technology        |                                                                                                                                                                                                                                                         | Cooling capacity per rack |
| Rear door heat exchanger         | Replace the rear door with a heat exchanger (coil) through which chilled water flows                                                                                                                                                                    | 20kW-50kW                 |
| Direct-to-Chip Cooling           | Cold-plate method: A high-thermal-conductivity metal plate is placed in contact with the chip, and liquid is circulated through the plate to draw away                                                                                                  | 50kW-250kW                |
| Immersion Cooling                | The server is cooled by immersing it in a special non-conductive liquid.                                                                                                                                                                                | 100kW-200kW               |
| • Single-Phase Cooling           | • A method in which the liquid circulates as-is and carries the heat away. An oil-based coolant is used.                                                                                                                                                | 100kW-140kW               |
| • Two-Phase Cooling              | • A cooling method that uses latent heat of vaporization. The liquid boils and turns into gas as it absorbs heat. Because it uses low-boiling-point liquids such as fluorinated fluids, a system is required to capture and recover the evaporated gas. | 100kW-200kW+              |

# AI: Backup power supply (BBU)

NVIDIA's AI Server Roadmap



Panasonic plans for HD DC energy storage systems for DCs



In-rack BBU supply chain

| End customer | In-rack BBU |             |
|--------------|-------------|-------------|
|              | Pack        | Cell        |
| Amazon       | Dynapack    | Samsung SDI |
|              | Flexpower   | Murata      |
|              | AES         | Samsung SDI |
|              | Panasonic   | Panasonic   |
| Google       | Panasonic   | Panasonic   |
|              | Flexpower   | Murata      |
|              | AES         | Samsung SDI |
| Microsoft    | AES         | Murata      |
|              | Dynapack    | N/A         |
| Meta         | Dynapack    | Murata      |
|              | Panasonic   | Panasonic   |

Power-rack BBU supply chain

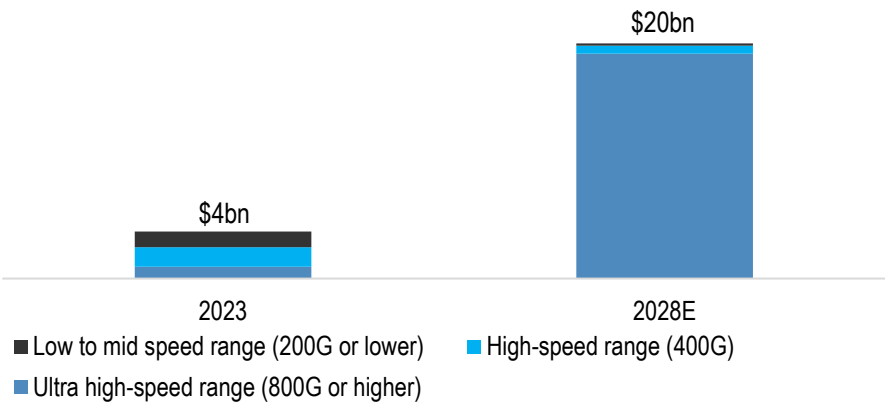
| End customer | Power-rack BBU |             |             |             |
|--------------|----------------|-------------|-------------|-------------|
|              | Power rack     | BBU         | Pack        | Cell        |
| Amazon       | LiteOn         | LiteOn      | Dynapack    | Samsung SDI |
|              | LiteOn         | Panasonic   | Panasonic   | Panasonic   |
|              | Delta          | Delta       | AES         | Samsung SDI |
|              | Delta          | Delta       | Dynapack    | Samsung SDI |
|              | Flextronics    | Flextronics | Flextronics | Murata      |
|              | Flextronics    | Panasonic   | Panasonic   | Panasonic   |
| Google       | Delta          | Panasonic   | Panasonic   | Panasonic   |
|              | Delta          | Delta       | AES         | Ampace      |
|              | Flextronics    | Flextronics | Flextronics | Ampace      |
|              | Flextronics    | Flextronics | Flextronics | Murata      |

Source: Company data, Nikkei XTech, J.P. Morgan  
 Note 1: In the top left figure, existing products mainly indicate in-rack BBUs, and next-generation products mainly indicate CBUs and power-rack BBUs. Note 2: The two figures on the right are based on [Battery Backup Unit Supply matrix update](#) (22 Aug 2025, top) and [Battery Backup Unit HVDC power rack / BBU supply matrix update v3](#) (26 Mar 2026, bottom) authored by William Yang & others.

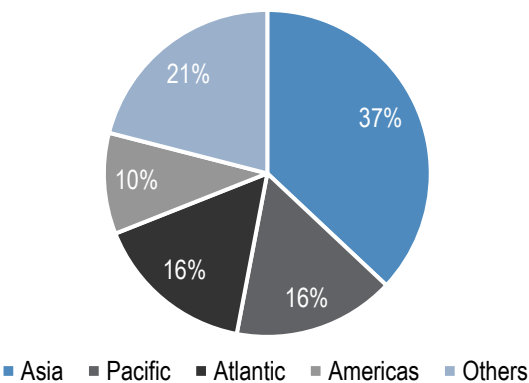
# AI: Network

- **Optical semiconductors:** Mitsubishi Electric holds the top global market share in EML for data centers. Expansion in the 400G and higher speeds domain is driving market growth.
- **Submarine cables:** From 2025, the market is poised to reach ¥500 billion per year, per the company. According to NEC, it holds a 25% share, and together with SubCom and Alcatel, the three companies account for about 90% of the market.

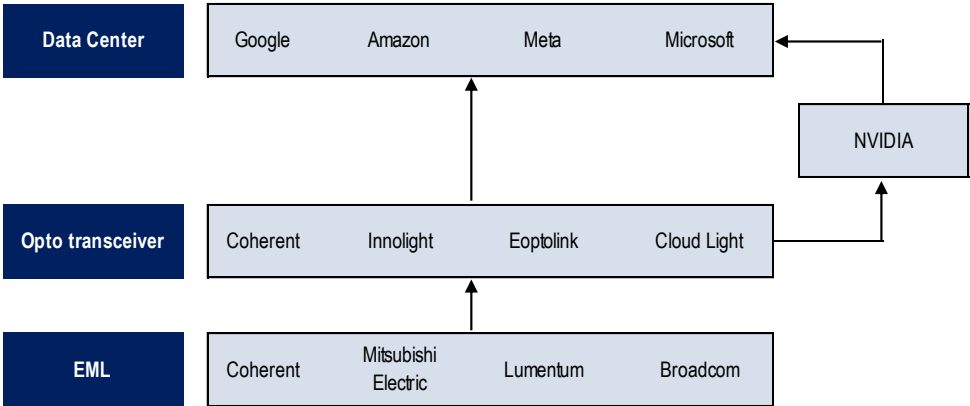
Optical network market for data centers



Regional Breakdown of submarine cable market (FY25-32E)



Opto device supply chain



NEC: Major submarine cable contracts

| Yr   | PJ Name         | Clients                            | Region          | Distance (km) |
|------|-----------------|------------------------------------|-----------------|---------------|
| 2020 | ADC             | Softbank, etc                      | Asia            | 9,400         |
|      | MIST            | OLL                                | Asia            | 8,100         |
| 2021 | PC2             | Belau Submarine Cable              | Asia            | 110           |
|      | -               | NTT Communications, KDDI, etc      | Japan domestic  | 770           |
| 2022 | -               | Okinawa Cellular Telephone Company | Japan domestic  | 720           |
|      | JUNO            | Seren Juno                         | Japan domestic  | 10,000        |
| 2023 | East Micronesia | FSM Telecommunications, etc        | Asia, Australia | 2,250         |
| 2024 |                 |                                    |                 |               |
| 2025 | AUG East        | Singtel, AWS, etc                  | Asia            | 8,900         |
|      | Candle          | Meta, Softbank, etc                | Asia            | 8,000         |

Source: Mitsubishi Electric and NEC company reports, J.P. Morgan  
 Note 1: Optical semiconductors market outlook is based on estimates by Mitsubishi Electric. Note 2: Submarine cable market outlook and market breakdown are based on estimates by NEC.

# AI: Services provided by the three major domestic SIers

|                                | NEC                                                                                                                                                                                                                                                                                                                                                                                                                      | Fujitsu                                                                                                                                                                                                                                                                                                                                                                                                                                                 | Hitachi                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Service platform               | BluStellar                                                                                                                                                                                                                                                                                                                                                                                                               | Uvance                                                                                                                                                                                                                                                                                                                                                                                                                                                  | Lumada                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
| Sales outlook (FY3/26, JPY bn) | 624                                                                                                                                                                                                                                                                                                                                                                                                                      | 700                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 4,100                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
| Yoy                            | 15%                                                                                                                                                                                                                                                                                                                                                                                                                      | 45%                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 36%                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Sales share                    |                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| vs. Company-wide sales         | 18%                                                                                                                                                                                                                                                                                                                                                                                                                      | 20%                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 39%                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| vs. IT service business        | 25%                                                                                                                                                                                                                                                                                                                                                                                                                      | 30%                                                                                                                                                                                                                                                                                                                                                                                                                                                     | 60%                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Margin                         | Adj. OP margin<br>13.2%                                                                                                                                                                                                                                                                                                                                                                                                  | GPM<br>Horizontal: 25% +<br>Vertical: 45% +<br>+6% pts (Vertical)                                                                                                                                                                                                                                                                                                                                                                                       | Adj. EBITA margin<br>16.0%                                                                                                                                                                                                                                                                                                                                                                                                                                          |
| Premium                        | ±0                                                                                                                                                                                                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                         | +4% pts                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
| Main targets                   | Government, Telecom, Manufacturing                                                                                                                                                                                                                                                                                                                                                                                       | Defense, Retail, Manufacturing                                                                                                                                                                                                                                                                                                                                                                                                                          | Electric power, Railway, Manufacturing                                                                                                                                                                                                                                                                                                                                                                                                                              |
| AI value chain                 |                                                                                                                                                                                                                                                                                                                                                                                                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Unique AI foundation model     | cotomi                                                                                                                                                                                                                                                                                                                                                                                                                   | Takane                                                                                                                                                                                                                                                                                                                                                                                                                                                  | -                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
| Computing                      | -                                                                                                                                                                                                                                                                                                                                                                                                                        | 2nm CPU "FUJITSU-MONAKA"<br>Quantum Computing                                                                                                                                                                                                                                                                                                                                                                                                           | Hitachi iQ (NVIDIA GPU+ Hitachi High-Speed Storage)                                                                                                                                                                                                                                                                                                                                                                                                                 |
| Main services                  | NEC Generative AI Services<br>Agentic AI                                                                                                                                                                                                                                                                                                                                                                                 | Fujitsu Kozuchi<br>AI-Driven Software Development                                                                                                                                                                                                                                                                                                                                                                                                       | HMAX                                                                                                                                                                                                                                                                                                                                                                                                                                                                |
| Main collaborators             | <b>Siemens</b> : Automated generation of action plans by AI based on a combination of NEC's Digital Twin service "NEC Robot Task Planning" and Siemens solutions<br><b>IFS</b> : Building the IFS Cloud platform for the Japanese market, "IFS Cloud Kaname" deployment in the Japanese market, and joint development of industrial AI services (manufacturing, aerospace, energy, transportation, infrastructure, etc.) | <b>NVIDIA</b> : Developing an AI computing platform that integrates FUJITSU-MONAKA and NVIDIA GPU, Promotion of an AI agent platform for specialized areas (healthcare, manufacturing, robotics)<br><b>Yaskawa Electric</b> : Integrating robotics technology and promoting societal implementation of physical AI jointly with NVIDIA and Fujitsu<br><b>Palantir</b> : Fujitsu provision of Palantir AI Platform and integration into "Fujitsu Uvance" | <b>NVIDIA</b> : Development and utilization of a digital twin environment using NVIDIA Omniverse, Integration of Lumada solutions with NVIDIA AI Enterprise, etc. (e.g.) HMAX solution<br><b>Microsoft</b> : Azure Open AI, Copilot, GitHub, etc. embedded in Lumada<br>(e.g.) Equipment management solution<br><b>Google Cloud</b> : Development of solutions using Gemini (e.g.) Improvement of railway operation efficiency, Work reforms for front-line workers |

Source: Company data, J.P. Morgan

Note: "Premium" refers to the margin gap between each company's overall IT services business and its service platform business.

# AI: Creation of new markets

## 1. Cybersecurity

- April 2026: [Claude Mythos](#) Preview postponement of public release
- [Active Cyber Defense \(ACD\)](#) Act passed to strengthen cyber threat response capabilities: The law, which will take effect from October 1, 2026, will initially apply to 257 private-sector companies across critical infrastructure sectors (including financial, telecommunications, energy, and transportation) and be gradually expanded thereafter.

## 2. Sovereign AI

- The government will provide ¥1 trillion in subsidies to Noetra, a Japanese AI consortium whose core backers are SoftBank, Honda, [NEC](#), and the [Sony Group](#). [Hitachi](#), [Fujitsu](#), [Mitsubishi Electric](#), and [Sharp](#) as well as financial, logistics, and information and communications companies will also invest in Noetra.
- [CLOUD Act](#) (US) ⇔ Data sovereignty
- Sovereign AI market: Target market of ¥8 trillion by 2035 (Fujitsu's estimate)

## 3. Physical AI, Defense x AI

- Physical AI: Hitachi (social infrastructure x AI), Mitsubishi Electric (factory x AI), Fujitsu (promote partnerships)
- Defense x AI: Use with drones, network & cyber defense, satellite and space domains

# AI: Services for entertainment and content creation

|       |                                        | Functions                    | Features                                                         | Monthly rate                                           | Partnerships / Adoption          |
|-------|----------------------------------------|------------------------------|------------------------------------------------------------------|--------------------------------------------------------|----------------------------------|
| Music | Suno                                   | Fully automated generation   | Text-to-music generation                                         | Free to start<br>Commercial use with paid plans        | WMG                              |
|       | Udio<br>(Uncharted Labs)               | Fully automated generation   | Complex, high-fidelity music generation                          | Free to start<br>Paid plans start at \$10              | UMG, WMG                         |
|       | Stable Audio<br>(Stability AI)         | Fully automated generation   | Text-to-music generation                                         | Free to start<br>Paid plans start at \$11.99           | UMG, WMG                         |
|       | KLAY Vision                            | Remix of pre-existing music  | Trained only on licensed music                                   | --                                                     | UMG, WMG, SME                    |
|       | Splice                                 | Sampling                     | Sound library search and management                              | \$12.99~                                               | UMG                              |
|       | LANDR<br>(MixGenius)                   | Mastering<br>Mixing          | Automation of mastering process                                  | \$8.25~                                                | WMG                              |
|       | iZotope                                | Mastering<br>Mixing          | Mixing and noise reduction assistance                            | From a few thousand to<br>several hundred thousand JPY |                                  |
|       | SoundLabs AI                           | Voice changer<br>Voice model | Real-time voice-to-voice / instrument conversion                 | \$79.99~                                               | UMG                              |
| Movie | Sora<br>(Open AI)                      | Video generation with audio  | Accurate simulation of the laws of physics                       | ChatGPT Plus \$20<br>and above                         | Microsoft<br>-Bing Video Creator |
|       | Veo<br>(Google)                        | Video generation with audio  | High-precision lip-sync<br>YouTube integration                   | Google AI Pro \$18.99<br>and above                     | Canva                            |
|       | Runway                                 | Video generation & editing   | Feature-rich for creators<br>Flexible camerawork & field of view | Free to start<br>Paid plans start at \$12              | NVIDIA, Adobe                    |
|       | Kling AI<br>(Kuaishou)                 | Video generation with audio  | High-speed generation                                            | Free to start<br>Paid plans start at \$6.99            |                                  |
| Game  | Genie 2<br>(Google)                    | World model                  | Generation of playable 3D with high physics fidelity             | Token-based pricing<br>(pay-as-you-go billing)         |                                  |
|       | GameGen-X<br>(Tencent)                 | World model                  | Generation of open-world environment                             | Custom quote                                           |                                  |
|       | Unity Muse<br>(Unity)                  | Development support          | Tailored for mobile and indie games                              | \$30~                                                  |                                  |
|       | Meta Human & Unreal AI<br>(Epic Games) | Development support          | Targeted at high-end PC and consoles                             | 5% of sales                                            |                                  |

Source: Company data, J.P. Morgan.

# AI x Music

- In 2026, investment firm Primary Wave acquired independent music publisher Kobalt Music.

## Major catalog acquisition

| Estimated date | Buyer                        | Artist/Songwriter                                                                                                                            |                                                  | Deal value (US\$mn)   |
|----------------|------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|-----------------------|
| <b>Dec-21</b>  | <b>Sony</b>                  | <b>Bruce Springsteen</b>                                                                                                                     | <b>Masters / song writing</b>                    | <b>550</b>            |
| Dec-21         | Universal                    | Bob Dylan                                                                                                                                    | Song writing catalogue                           | 300-400               |
| Dec-21         | BMG/KKR                      | ZZ Top                                                                                                                                       | Publishing catalogue                             | 50                    |
| Dec-21         | Primary Wave (Publisher)     | Stevie Nicks                                                                                                                                 | Publishing catalogue                             | 100                   |
| <b>Dec-21</b>  | <b>Sony</b>                  | <b>Bob Dylan</b>                                                                                                                             | <b>Recorded music catalogue</b>                  | <b>200 (at least)</b> |
| Jan-22         | Warner Chappell Music        | David Bowie                                                                                                                                  | Song writing catalogue                           | 250                   |
| Feb-22         | Universal                    | Sting                                                                                                                                        | Song writing catalogue                           | 300                   |
| Sep-23         | Litmus Music                 | Katy Perry                                                                                                                                   | Publishing/ masters catalogue                    | 225                   |
| Dec-23         | Influence Media              | Enrique Iglesias                                                                                                                             | NIL partnership (name, image & likeness)         | 100-999               |
| <b>Feb-24</b>  | <b>Sony</b>                  | <b>Michael Jackson</b>                                                                                                                       | <b>Publishing/ masters catalogue</b>             | <b>600 (at least)</b> |
| Feb-24         | Iconic Artists Group         | Rod Stewart                                                                                                                                  | Songwriter's catalogue                           | 100                   |
| Apr-24         | Pophouse Entertainment Group | Kiss                                                                                                                                         | Publishing/ masters catalogue                    | 300                   |
| <b>May-24</b>  | <b>Sony</b>                  | <b>Kevin Parker (Tame Impala)</b>                                                                                                            | <b>Entire music catalogue incl. future songs</b> | <b>Undisclosed</b>    |
| <b>Jun-24</b>  | <b>Sony</b>                  | <b>Queen</b>                                                                                                                                 | <b>Recorded music/ publishing catalogue</b>      | <b>1,000</b>          |
| Jul-24         | Warner Chappell Music        | Tom Petty Estate                                                                                                                             | Entire music catalogue                           | 1,200                 |
| Sep-24         | Primary Wave (Publisher)     | Ric Ocasek Estate (The Cars)                                                                                                                 | Entire music catalogue                           | 1,270                 |
| <b>Oct-24</b>  | <b>Sony</b>                  | <b>Pink Floyd</b>                                                                                                                            | <b>Recorded music</b>                            | <b>400</b>            |
| Feb-25         | HarborView Equity Partners   | T-Pain                                                                                                                                       | Publishing catalog, select master rights         | Undisclosed           |
| Mar-25         | Create Music Group           | DeadMau5                                                                                                                                     | Publishing catalog                               | 55                    |
| Feb-26         | Primary Wave                 | Britney Spears                                                                                                                               | Recorded music/ publishing catalogue             | 200                   |
| Mar-26         | Primary Wave                 | Kovalt Music                                                                                                                                 | A corporate acquisition                          | 1,500                 |
| <b>May-26</b>  | <b>Sony + GIC</b>            | <b>45k songs owned by Recognition Music group including Red Hot Chilli Peppers, Beyonce, Bruno Mars, Bon Jovi, Rihanna, Mariah Carey etc</b> | <b>Publishing catalog</b>                        | <b>4,000</b>          |
| May-26         | WMG+ Bain Capital            | The Red Hot Chili Peppers                                                                                                                    | Masters catalogue                                | 300                   |

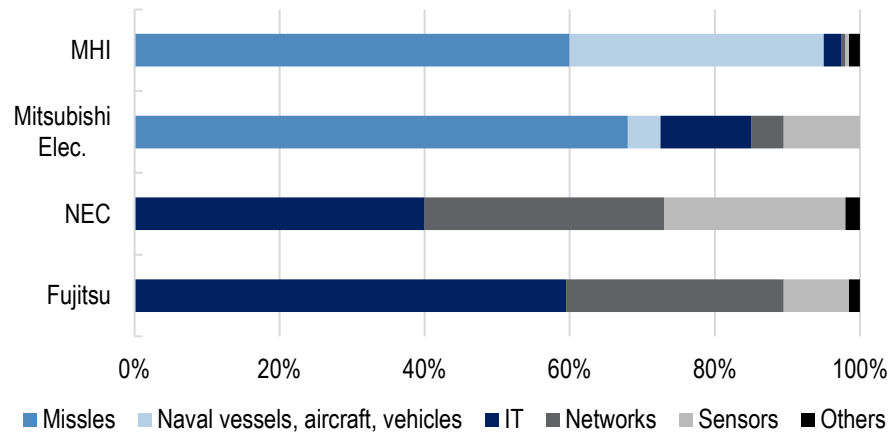
Source: Company data, J.P. Morgan



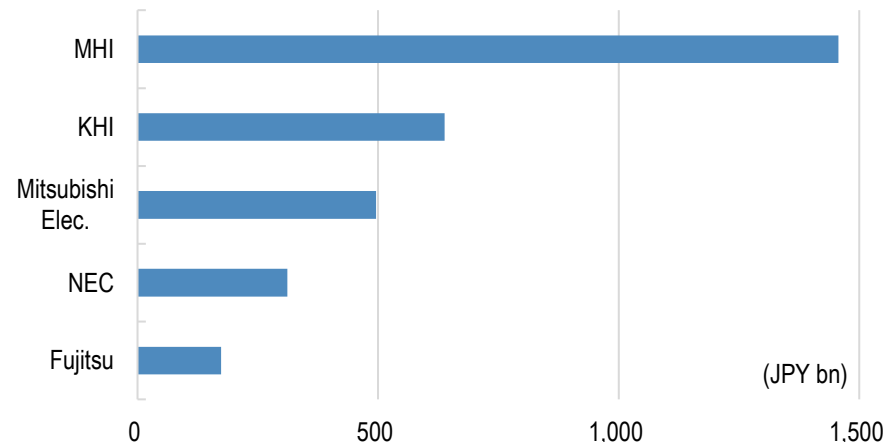
# Defense

• In 1H 2026, the Takaichi administration is planning to lift the restriction on defense equipment exports, which are currently limited to “five non-lethal categories: rescue, transport, warning, surveillance, and minesweeping”.

## Business portfolio of major defense names (FY24)



## FY24 Central procurement by Japan Ministry of Defense



## Mitsubishi Electric: Initiatives for Expanding Defense Biz

| Yr                                                                    | Dev Area / Equipment         | Partner / Customer                             | Overview             |
|-----------------------------------------------------------------------|------------------------------|------------------------------------------------|----------------------|
| (1) Transfer of finished equipment to Southeast Asian countries       |                              |                                                |                      |
| 2020                                                                  | Surveillance radar           | Philippine Dept of National Defense            | Delivery Contract    |
| 2023                                                                  | Fixed surveillance radar     | Philippine Dept of National Defense, Air Force | Delivery in Oct 2023 |
| 2024                                                                  | Mobile surveillance radar    | Philippine Dept of National Defense, Air Force | Delivery in Mar 2024 |
| (2) International joint development with Europe, Australia, and India |                              |                                                |                      |
| 2023                                                                  | Next-gen fighter avionics    | Leonardo, Elettronica (UK, Italy)              | Collab Contract      |
| 2023                                                                  | Effects Domain               | MBDA UK, MBDA Italia (UK, Italy)               | Collab Contract      |
| 2023                                                                  | Laser                        | Australia Department of Defence                | Joint Dev Contract   |
| 2024                                                                  | Radar modules, etc.          | India Ministry of Defence, MEMCO               | MOU                  |
| 2025                                                                  | Next-gen fighter avionics    | Leonardo, Elettronica (UK, Italy)              | Consortium           |
| (3) Participation in the US global supply chain                       |                              |                                                |                      |
| 2024                                                                  | F-15 fighter radar           | RTX Corporation (Raytheon), US Air Force       | Repair Contract      |
| 2024                                                                  | Radar components             | RTX Corporation (Raytheon), US Navy            | Supply Contract      |
| 2024                                                                  | Elec warfare systems         | Northrop Grumman Corporation (US)              | MOU                  |
| 2024                                                                  | AIM-120 (air to air missile) | Japan ATLA, US Government                      | Service Order        |
| 2026                                                                  | Communications Satellites    | Lockheed Martin (US)                           | MOU                  |

# iPhone Spec Estimates

| Launch time   | 2H25                 |                    |                     |                     | 1H26                 | 2H26E                  |                        |                     | 1H27E                |                     |                    | 2H27E                                               |                     |                     |
|---------------|----------------------|--------------------|---------------------|---------------------|----------------------|------------------------|------------------------|---------------------|----------------------|---------------------|--------------------|-----------------------------------------------------|---------------------|---------------------|
| Model         | iPhone 17            | iPhone 17 Air      | iPhone 17 Pro       | iPhone 17 Pro Max   | 17e                  | iPhone 18 Pro          | iPhone 18 Pro Max      | Foldable iPhone     | 18e                  | iPhone 18           | iPhone 18 Air      | iPhone 20 Pro                                       | iPhone 20 Pro Max   | Foldable iPhone     |
| Front camera  | Face ID + Selfie cam |                    |                     |                     | Face ID + Selfie cam | Face ID + Selfie cam   |                        | Dual cam            | Face ID + Selfie cam |                     |                    | Face ID + Selfie cam                                |                     | Dual cam            |
| Face ID (Rx)  | Face ID (Rx+Tx) HD   | Face ID (Rx+Tx) HD | Face ID (Rx+Tx) HD  | Face ID (Rx+Tx) HD  | Face ID (Rx+Tx) HD   | Face ID (Rx+Tx) HD     | Face ID (Rx+Tx) HD     | N/A                 | Face ID (Rx+Tx) HD   | Face ID (Rx+Tx) HD  | Face ID (Rx+Tx) HD | Face ID (Rx+Tx) HD                                  | Face ID (Rx+Tx) HD  | N/A                 |
| - Resolution  | HD                   | HD                 | HD                  | HD                  | HD                   | HD                     | HD                     | N/A                 | HD                   | HD                  | HD                 | HD                                                  | HD                  | N/A                 |
| - Elements    | Plastic & Metalens   | Plastic & Metalens | Plastic & Metalens  | Plastic & Metalens  | Plastic lens         | Plastic & Metalens     | Plastic & Metalens     | N/A                 | Plastic lens         | Metalens            | Plastic & Metalens | Metalens                                            | Metalens            | N/A                 |
| Selfie        | Selfie 18MPx 6P      | Selfie 18MPx 6P    | Selfie 18MPx 6P     | Selfie 18MPx 6P     | Selfie 12MPx 6P      | Selfie 24MPx 6P        | Selfie 24MPx 6P        | Selfie 24MPx 6P     | Selfie 12MPx 6P      | Selfie 24MPx 6P     | Selfie 24MPx 6P    | Selfie 24MPx 6P                                     | Selfie 24MPx 6P     | Selfie 24MPx 6P     |
| - Resolution  | 18MPx                | 18MPx              | 18MPx               | 18MPx               | 12MPx                | 24MPx                  | 24MPx                  | 24MPx               | 12MPx                | 24MPx               | 24MPx              | 24MPx                                               | 24MPx               | 24MPx               |
| - Elements    | 6P                   | 6P                 | 6P                  | 6P                  | 6P                   | 6P                     | 6P                     | 6P                  | 6P                   | 6P                  | 6P                 | 6P                                                  | 6P                  | 6P                  |
| Second Selfie |                      |                    |                     |                     |                      |                        |                        | Underdisplay        |                      |                     |                    |                                                     |                     | Underdisplay        |
| - Resolution  |                      |                    |                     |                     |                      |                        |                        | 24MPx               |                      |                     |                    |                                                     |                     | 24MPx               |
| - Elements    |                      |                    |                     |                     |                      |                        |                        | 6P                  |                      |                     |                    |                                                     |                     | 6P                  |
| Rear camera   | Dual cam             | Single cam         | Triple cam + ToF    | Triple cam + ToF    | Single cam           | Triple cam + ToF       | Triple cam + ToF       | Dual cam            | Single cam           | Single cam          | Single cam         | Triple cam + ToF                                    | Triple cam + ToF    | Dual cam            |
| Wide          | Wide 48MPx           | Wide 48MPx         | Wide 48MPx          | Wide 48MPx          | Wide 48MPx           | Wide 48MPx             | Wide 48MPx             | Wide 48MPx          | Wide 48MPx           | Wide 48MPx          | Wide 48MPx         | Wide 48MPx                                          | Wide 48MPx          | Wide 48MPx          |
| - Resolution  | 48MPx                | 48MPx              | 48MPx               | 48MPx               | 48MPx                | 48MPx                  | 48MPx                  | 48MPx               | 48MPx                | 48MPx               | 48MPx              | 48MPx                                               | 48MPx               | 48MPx               |
| - Elements    | 7P                   | 7P                 | 7P                  | 7P                  | 6P                   | 7P (Variable aperture) | 7P (Variable aperture) | 7P                  | 6P                   | 7P                  | 7P                 | 48MPx, 7P unchanged, but a much larger lens size    | 7P                  | 7P                  |
| - OIS         | Sensor shift         | Sensor shift       | Sensor shift        | Sensor shift        | No sensor shift      | Sensor shift           | Sensor shift           | No sensor shift     | No sensor shift      | Sensor shift        | Sensor shift       | Sensor shift                                        | Sensor shift        | No sensor shift     |
| Telephoto     | N/A                  | N/A                | Folded 48MPx        | Folded 48MPx        | N/A                  | Folded 48MPx           | Folded 48MPx           | N/A                 | N/A                  | N/A                 | N/A                | Folded 48MPx                                        | Folded 48MPx        | N/A                 |
| - Resolution  |                      |                    | 48MPx               | 48MPx               |                      | 48MPx                  | 48MPx                  |                     |                      |                     |                    | 48MPx                                               | 48MPx               |                     |
| - Elements    |                      |                    | 1G3P + 1 prism      | 1G3P + 1 prism      |                      | 1G3P + 1 prism         | 1G3P + 1 prism         |                     |                      |                     |                    | 1G3P + 1 prism                                      | 1G3P + 1 prism      |                     |
| Ultra wide    | Ultra wide 48MPx 6P  | N/A                | Ultra wide 48MPx 6P | Ultra wide 48MPx 6P | N/A                  | Ultra wide 48MPx 6P    | Ultra wide 48MPx 6P    | Ultra wide 48MPx 6P | N/A                  | Ultra wide 12MPx 6P | N/A                | Ultra wide 48MPx, 6P unchanged, but larger aperture | Ultra wide 48MPx 6P | Ultra wide 48MPx 6P |
| - Resolution  | 48MPx                |                    | 48MPx               | 48MPx               |                      | 48MPx                  | 48MPx                  | 48MPx               |                      | 12MPx               |                    | 48MPx, 6P unchanged, but larger aperture            | 48MPx               | 48MPx               |
| - Elements    | 6P                   |                    | 6P                  | 6P                  |                      | 6P                     | 6P                     | 6P                  |                      | 6P                  |                    | 6P                                                  | 6P                  | 6P                  |
| ToF           | N/A                  | N/A                | ToF 2MPx 2P*2       | ToF 2MPx 2P*2       | N/A                  | ToF 2MPx 2P*2          | ToF 2MPx 2P*2          | N/A                 | N/A                  | N/A                 | N/A                | ToF 2MPx 2P*2                                       | ToF 2MPx 2P*2       | N/A                 |
| - Resolution  |                      |                    | 2MPx                | 2MPx                |                      | 2MPx                   | 2MPx                   |                     |                      |                     |                    | 2MPx                                                | 2MPx                |                     |
| - Elements    |                      |                    | 2P*2                | 2P*2                |                      | 2P*2                   | 2P*2                   |                     |                      |                     |                    | 2P*2                                                | 2P*2                |                     |

Source: Company data, J.P. Morgan estimates (Refer to [Apple Supply Chain: Raising 1H26 iPhone EMS build plan and introduce 2H26 estimates](#) (21 April 2026) authored by William Yang and others)

Note 1: Our Taiwan technology team's forecasts as of April 2026

Note 2: Red-colored text refers to a spec change.

# AI server shipment forecasts

| k units                                 | 2022         | 2023         | 2024         | 2025E         | 2026E         | 2027E         | 2028E         | 25-28 CAGR |
|-----------------------------------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|------------|
| <b>Total datacenter AI chip volumes</b> | <b>2,153</b> | <b>3,632</b> | <b>7,815</b> | <b>10,220</b> | <b>12,920</b> | <b>16,987</b> | <b>16,987</b> | <b>18%</b> |
| YoY growth                              |              | 69%          | 115%         | 31%           | 26%           | 31%           | 0%            |            |
| <b>High end datacenter GPU volumes</b>  | <b>800</b>   | <b>1,931</b> | <b>4,950</b> | <b>6,050</b>  | <b>6,950</b>  | <b>8,928</b>  | <b>7,315</b>  | <b>7%</b>  |
| YoY growth                              |              | 141%         | 156%         | 22%           | 15%           | 28%           | -18%          |            |
| <b>ASIC chip volume</b>                 | <b>1,353</b> | <b>1,701</b> | <b>2,865</b> | <b>4,170</b>  | <b>5,970</b>  | <b>8,060</b>  | <b>9,671</b>  | <b>32%</b> |
| YoY growth                              |              | 26%          | 68%          | 46%           | 43%           | 35%           | 20%           |            |
| <b>Chip per server</b>                  |              |              |              |               |               |               |               |            |
| Chip per ASIC server                    | 5            | 5            | 7            | 7             | 9             | 10            | 10            |            |
| GPU per server                          |              |              |              |               |               |               |               |            |
| GB structure                            |              |              | 4            | 4             | 4             | 4             | 4             |            |
| HGX structure                           | 8            | 8            | 8            | 8             | 8             | 8             | 8             |            |
| <b>Total AI server volumes</b>          | <b>401</b>   | <b>577</b>   | <b>1,066</b> | <b>1,811</b>  | <b>2,196</b>  | <b>2,583</b>  | <b>2,326</b>  | <b>9%</b>  |
| YoY growth                              |              | 44%          | 85%          | 70%           | 21%           | 18%           | -10%          |            |
| High end GPU AI server shipment         | 100          | 241          | 635          | 1,206         | 1,527         | 1,735         | 1,359         | 4%         |
| YoY growth                              |              | 141%         | 163%         | 90%           | 27%           | 14%           | -22%          |            |
| AI ASIC server shipment                 | 301          | 336          | 432          | 605           | 669           | 848           | 967           | 17%        |
| YoY growth                              |              | 12%          | 28%          | 40%           | 11%           | 27%           | 14%           |            |
| Global server shipment (mn units)       | 13.8         | 11.4         | 12.1         | 11.9          | 12.5          | 12.8          | 13.3          | 4%         |
| Total AI server % mix                   | 2.9%         | 5.1%         | 8.8%         | 15.2%         | 17.6%         | 20.2%         | 17.5%         |            |
| High end GPU AI server % mix            | 0.7%         | 2.1%         | 5.3%         | 10.1%         | 12.2%         | 13.5%         | 10.2%         |            |
| ASIC chip per servers                   | 2.2%         | 3.0%         | 3.6%         | 5.1%          | 5.4%          | 6.6%          | 7.3%          |            |

Source: Company reports, Gartner®, J.P. Morgan estimates (Refer to [Asian Tech: Datacenter Power, Liquid Cooling, and ODM rack build](#) (13 November 2025) authored by Albert Hung and others).  
Note: Our Taiwan technology team's forecasts as of November 2025.

# Sony Group (6758): SOTP (FY3/28E)

| (JPYm unless stated)                                       | EBITDA           |                  | EV/EBITDA |             | EV         | EV per share |
|------------------------------------------------------------|------------------|------------------|-----------|-------------|------------|--------------|
|                                                            |                  | OP               | D&A       | (x)         |            | (JPY)        |
| Game & Network Services                                    | 908,566          | 640,000          | 268,566   | 18.0        | 16,354,188 | 2,909        |
| Music                                                      | 530,711          | 445,000          | 85,711    | 11.0        | 5,837,821  | 1,038        |
| Pictures                                                   | 210,627          | 160,000          | 50,627    | 13.9        | 2,926,386  | 521          |
| <i>Motion pictures, TV Productions</i>                     | 96,100           | 73,000           | 23,100    | 9.0         | 864,900    | 154          |
| <i>Media Networks</i>                                      | 114,527          | 87,000           | 27,527    | 18.0        | 2,061,486  | 367          |
| Entertainment, Technology & Services                       | 278,000          | 175,000          | 103,000   | 7.0         | 1,946,000  | 346          |
| Imaging & Sensing Solutions                                | 698,000          | 455,000          | 243,000   | 10.0        | 6,980,000  | 1,242        |
| Subtotal                                                   | 2,625,904        | 1,875,000        | 750,904   | 13.0        | 34,044,395 | 6,056        |
| All Other / Corporate                                      | -88,900          | -75,000          | -13,900   | 13.0        | -1,152,573 | -205         |
| Corporate value                                            |                  |                  |           |             | 32,891,822 | 5,851        |
| Net cash                                                   |                  |                  |           |             | 1,949,172  | 347          |
| Market value ex Financial / major equity method investment |                  |                  |           |             | 34,840,993 | 6,197        |
| Major equity method investment                             | Share price (LC) | Owned share (mn) |           | Owned value |            |              |
| M3 (2413 JP)                                               | 1,634            | 230.46           |           | 376,453     |            |              |
| Sony FG (8729 JP)                                          | 140.7            | 1,172.22         |           | 164,931     |            |              |
| Total Market Value                                         |                  |                  |           |             | 35,382,378 | 6,294        |
| Number of outstanding share (K)                            |                  |                  |           |             | 5,621,953  |              |
| Theoretical value (JPY)                                    |                  |                  |           |             | 6,294      |              |
| Discount                                                   |                  |                  |           |             | -10%       |              |
| Theoretical Price (JPY)                                    |                  |                  |           |             | 5,700      |              |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note 1: Depreciation and amortization above excludes amortization for film costs, broadcasting rights and internally developed game content and master recordings included in content assets.

Note 2: M3 and Sony Financial Group's share prices are as of 18<sup>th</sup> June.

# Sony Group (6758): Investment thesis, valuation, and risks

## **Sony Group (Overweight; Price Target: ¥5,700)**

### **Investment Thesis**

In the entertainment space, we have a positive view of Sony Group's preeminent global platforms or IP in games, movies, music, and animation. Over the medium term, we expect the company to expand its game and animation platforms and generate synergies with entertainment IP.

### **Valuation**

Our price target of ¥5,700 through December 2026 is based on an SOTP model referencing EV/EBITDA multiples of comparable companies: G&NS at 18x, Music at 11x, Pictures/Film at 14x, ET&S at 7x, and I&SS at 10x. We then apply a 10% conglomerate discount to arrive at our price target. (The SOTP model is on the previous slide.)

### **Risks to Rating and Price Target**

#### **Upside Scenario to Target Price/Rating**

- Faster-than-expected penetration for PlayStation 5
- Sharper-than-expected increase in image sensor profitability
- Hit first-party content in games and movies

#### **Downside Scenario to Target Price/Rating**

- Disruptive pricing by rivals in semiconductors and games
- Reversal of multicamera smartphone trend
- Deterioration in semiconductor profitability accompanying sudden yen appreciation

# Sony Group (6758): Earnings forecasts (PL)

| (mn JPY)                             | 2026/3    |           |            |           |            | 2027/3    |           |           |           |            | 2028/3     | 2029/3     | 2027/3     |
|--------------------------------------|-----------|-----------|------------|-----------|------------|-----------|-----------|-----------|-----------|------------|------------|------------|------------|
|                                      | 1Q        | 2Q        | 3Q         | 4Q        | FY         | 1Q        | 2Q        | 3Q        | 4Q        | FY         | FY         | FY         | FY         |
|                                      | Act       | Act       | Act        | Act       | Act        | JPM       | JPM       | JPM       | JPM       | JPM        | JPM        | JPM        | CoE        |
| Sales (incl. internal sales)         | 2,621,615 | 3,107,907 | 3,713,681  | 3,036,417 | 12,479,620 | 2,689,200 | 3,214,300 | 3,794,000 | 3,182,300 | 12,819,000 | 12,588,000 | 13,431,000 | 12,300,000 |
| Game & Network Services              | 936,533   | 1,113,171 | 1,613,587  | 1,022,360 | 4,685,651  | 849,200   | 1,073,400 | 1,649,800 | 1,131,200 | 4,704,000  | 4,713,000  | 5,237,000  | 4,420,000  |
| Music                                | 465,341   | 542,361   | 542,446    | 569,962   | 2,120,110  | 519,000   | 542,000   | 557,000   | 566,000   | 2,184,000  | 2,280,000  | 2,408,000  | 2,140,000  |
| Pictures                             | 327,104   | 346,033   | 353,268    | 472,885   | 1,499,290  | 372,000   | 473,000   | 402,000   | 462,000   | 1,711,000  | 1,718,000  | 1,813,000  | 1,630,000  |
| Entertainment, Technology & Services | 534,258   | 575,737   | 658,096    | 492,441   | 2,260,532  | 557,000   | 579,900   | 650,200   | 565,100   | 2,290,000  | 1,860,000  | 1,866,000  | 2,250,000  |
| Imaging & Sensing Solutions          | 408,190   | 614,642   | 604,319    | 524,382   | 2,151,533  | 441,000   | 629,000   | 593,000   | 504,000   | 2,167,000  | 2,254,000  | 2,344,000  | 2,070,000  |
| Financials                           |           |           |            |           |            |           |           |           |           |            |            |            |            |
| All Other                            | 19,330    | 23,643    | 25,428     | 20,671    | 89,072     | 20,000    | 25,000    | 25,000    | 20,000    | 90,000     | 90,000     | 90,000     | -210,000   |
| Corporate & Elimination              | -69,141   | -107,680  | -83,463    | -66,284   | -326,568   | -69,000   | -108,000  | -83,000   | -66,000   | -327,000   | -327,000   | -327,000   | --         |
| Operating profit                     | 339,955   | 428,974   | 515,041    | 163,537   | 1,447,507  | 350,000   | 516,000   | 486,000   | 315,000   | 1,667,000  | 1,800,000  | 1,940,000  | 1,600,000  |
| Game & Network Services              | 147,957   | 120,354   | 140,843    | 54,104    | 463,258    | 135,000   | 182,000   | 165,000   | 133,000   | 615,000    | 640,000    | 710,000    | 600,000    |
| Music                                | 92,807    | 115,377   | 106,411    | 132,391   | 446,986    | 102,000   | 112,000   | 107,000   | 106,000   | 427,000    | 445,000    | 470,000    | 400,000    |
| Pictures                             | 18,665    | 13,850    | 30,859     | 41,498    | 104,872    | 20,000    | 35,000    | 40,000    | 55,000    | 150,000    | 160,000    | 170,000    | 145,000    |
| Entertainment, Technology & Services | 43,143    | 60,960    | 59,422     | -4,941    | 158,584    | 43,000    | 55,000    | 54,000    | -2,000    | 150,000    | 175,000    | 180,000    | 150,000    |
| Imaging & Sensing Solutions          | 54,251    | 138,267   | 131,969    | 32,831    | 357,318    | 70,000    | 152,000   | 130,000   | 63,000    | 415,000    | 455,000    | 485,000    | 400,000    |
| Financials                           |           |           |            |           |            |           |           |           |           |            |            |            |            |
| All Other / Corporate                | -16,868   | -19,834   | 45,537     | -92,346   | -83,511    | -20,000   | -20,000   | -10,000   | -40,000   | -90,000    | -75,000    | -75,000    | -95,000    |
| Income (loss) before income taxes    | 356,601   | 441,761   | 500,209    | 123,803   | 1,422,374  | --        | --        | --        | --        | 1,667,000  | 1,800,000  | 1,940,000  | 1,615,000  |
| Net income (loss)                    | 236,909   | 361,968   | -1,008,612 | 82,870    | -326,865   | --        | --        | --        | --        | 1,215,000  | 1,315,000  | 1,420,000  | 1,160,000  |
| Depreciation and amortization        | 169,172   | 172,169   | 179,399    | 184,350   | 705,090    | --        | --        | --        | --        | 721,500    | 718,500    | 721,500    | 685,000    |
| Addition to long lived asset         | 156,927   | 152,102   | 288,904    | 207,013   | 804,946    | --        | --        | --        | --        | 765,000    | 780,000    | 800,000    | 760,000    |
| R&D costs                            | 167,898   | 197,397   | 198,079    | 198,653   | 762,027    | --        | --        | --        | --        | 711,000    | 714,000    | 719,000    | 700,000    |
| FX rate (JPY)                        |           |           |            |           |            |           |           |           |           |            |            |            |            |
| USD                                  | 144.6     | 147.4     | 154.0      | 156.7     | 150.7      | 155.0     | 155.0     | 155.0     | 155.0     | 155.0      | 155.0      | 155.0      | 150.0      |
| EUR                                  | 163.6     | 172.2     | 179.2      | 183.6     | 174.7      | 180.0     | 180.0     | 180.0     | 180.0     | 180.0      | 180.0      | 180.0      | 173.0      |
| Core products sales volume (k units) |           |           |            |           |            |           |           |           |           |            |            |            |            |
| Play Station 5/6                     | 2,500     | 4,000     | 7,900      | 1,500     | 16,000     | 1,000     | 1,500     | 5,000     | 1,500     | 9,000      | 8,000      | 12,000     | --         |

Source: Company reports, J.P. Morgan estimates.

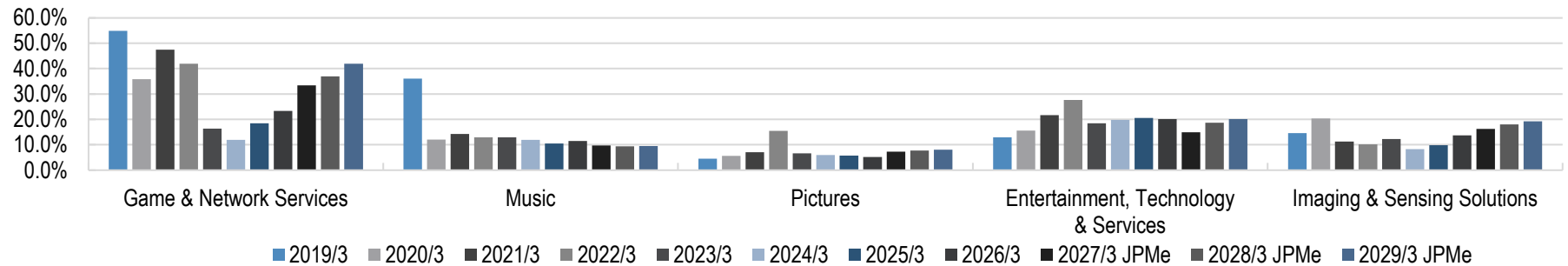
Note 1: "Depreciation and amortization and "Addition to long lived asset" do not include film costs and broadcasting rights.

Note 2: 2025/3 Revised, company guidance and J.P. Morgan estimates are based on continuing operations, which exclude financial services.

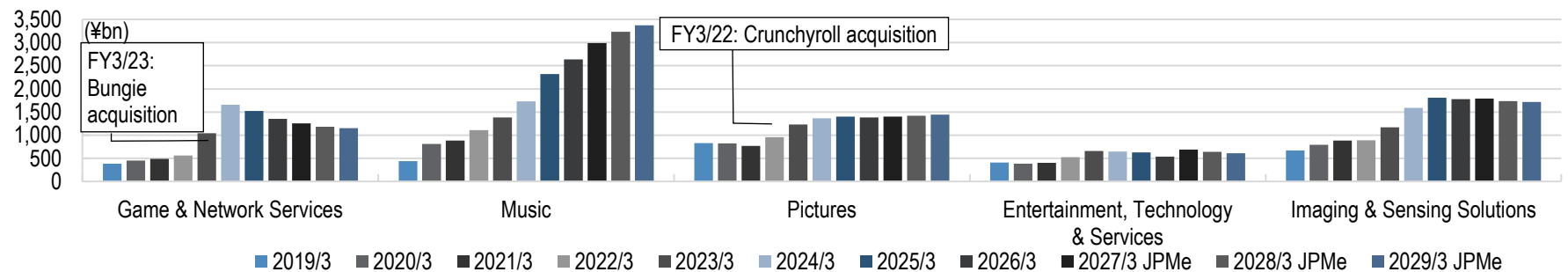
Note 3: J.P. Morgan estimates are all as of June 2026.

# Sony Group (6758): ROIC outlook

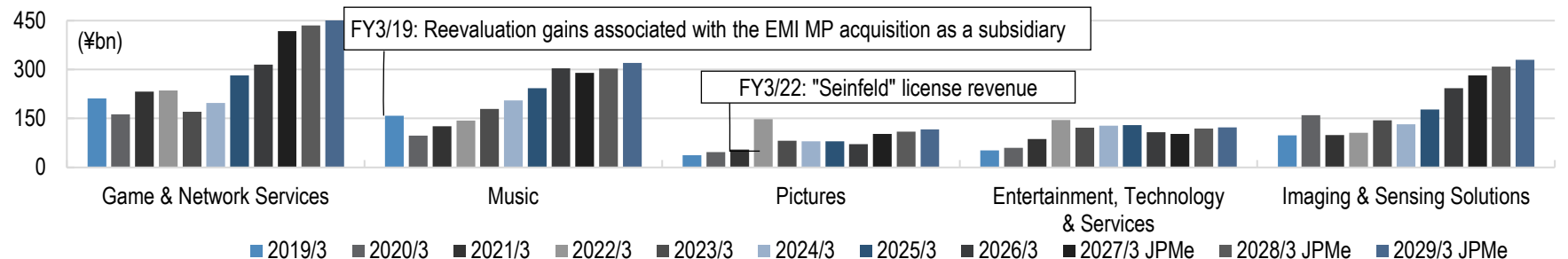
## ROIC



## Invested Capital



## Profit (operating profit after tax)



# Sony Group (6758) G&NS: Earnings forecasts

|                                  | 2026/3  |           |           |           |           | 2027/3  |           |           |           |           | 2028/3    | 2029/3    |
|----------------------------------|---------|-----------|-----------|-----------|-----------|---------|-----------|-----------|-----------|-----------|-----------|-----------|
|                                  | 1Q      | 2Q        | 3Q        | 4Q        | FY        | 1Q      | 2Q        | 3Q        | 4Q        | FY        | FY        | FY        |
|                                  | Act     | Act       | Act       | Act       | Act       | JPMé    | JPMé      | JPMé      | JPMé      | JPMé      | JPMé      | JPMé      |
| <b>G&amp;NS PL (JPY million)</b> |         |           |           |           |           |         |           |           |           |           |           |           |
| Revenue                          | 936,533 | 1,113,171 | 1,613,587 | 1,022,360 | 4,685,651 | 849,200 | 1,073,400 | 1,649,800 | 1,131,200 | 4,704,000 | 4,713,000 | 5,237,000 |
| Hardware                         | 153,279 | 230,943   | 450,405   | 109,798   | 944,425   | 91,200  | 138,400   | 432,800   | 139,200   | 801,600   | 650,400   | 949,600   |
| Game Software                    | 540,189 | 629,344   | 835,477   | 636,013   | 2,641,023 | 534,000 | 699,000   | 891,000   | 709,000   | 2,833,000 | 2,940,000 | 2,998,000 |
| Network Services                 | 172,648 | 182,681   | 199,276   | 208,521   | 763,126   | 192,000 | 200,000   | 209,000   | 210,000   | 811,000   | 879,000   | 959,000   |
| Others                           | 70,418  | 70,202    | 128,429   | 68,027    | 337,076   | 32,000  | 36,000    | 117,000   | 73,000    | 258,000   | 244,000   | 330,000   |
| Gross profit                     | 327,000 | 370,354   | 384,843   | 389,104   | 1,471,000 | 311,000 | 394,000   | 431,000   | 403,000   | 1,539,000 | 1,603,000 | 1,677,000 |
| Hardware                         | -2,000  | 9,000     | -69,000   | 9,000     | -53,000   | -1,000  | 0         | -57,000   | 3,000     | -55,000   | -55,000   | -70,000   |
| Game Software                    | 176,000 | 198,000   | 270,000   | 194,000   | 838,000   | 158,000 | 230,000   | 283,000   | 211,000   | 882,000   | 901,000   | 915,000   |
| Network Services                 | 126,000 | 137,000   | 143,000   | 151,000   | 557,000   | 140,000 | 146,000   | 153,000   | 153,000   | 592,000   | 642,000   | 700,000   |
| Others                           | 27,000  | 26,354    | 40,843    | 35,104    | 129,000   | 14,000  | 18,000    | 52,000    | 36,000    | 120,000   | 115,000   | 132,000   |
| Gross profit margin              | 35%     | 33%       | 24%       | 38%       | 31%       | 37%     | 37%       | 26%       | 36%       | 33%       | 34%       | 32%       |
| Hardware                         | -1%     | 4%        | -15%      | 8%        | -6%       | -1%     | 0%        | -13%      | 2%        | -7%       | -8%       | -7%       |
| Game Software                    | 33%     | 31%       | 32%       | 31%       | 32%       | 30%     | 33%       | 32%       | 30%       | 31%       | 31%       | 31%       |
| Network Services                 | 73%     | 75%       | 72%       | 72%       | 73%       | 73%     | 73%       | 73%       | 73%       | 73%       | 73%       | 73%       |
| Others                           | 38%     | 38%       | 32%       | 52%       | 38%       | 44%     | 50%       | 44%       | 49%       | 47%       | 47%       | 40%       |
| SG&A                             | 179,043 | 250,000   | 244,000   | 335,000   | 1,008,000 | 176,000 | 212,000   | 266,000   | 270,000   | 924,000   | 963,000   | 967,000   |
| % of revenue                     | 19%     | 22%       | 15%       | 33%       | 22%       | 21%     | 20%       | 16%       | 24%       | 20%       | 20%       | 18%       |
| YoY                              | -9%     | 34%       | -3%       | 44%       | 16%       | -2%     | -15%      | 9%        | -19%      | -8%       | 4%        | 0%        |
| Operating profit                 | 147,957 | 120,354   | 140,843   | 54,104    | 463,258   | 135,000 | 182,000   | 165,000   | 133,000   | 615,000   | 640,000   | 710,000   |
| Operating profit margin          | 15.8%   | 10.8%     | 8.7%      | 5.3%      | 9.9%      | 15.9%   | 17.0%     | 10.0%     | 11.8%     | 13.1%     | 13.6%     | 13.6%     |
| YoY                              | 127%    | -13%      | 19%       | -42%      | 12%       | -9%     | 51%       | 17%       | 146%      | 33%       | 4%        | 11%       |

Source: Company reports, J.P. Morgan estimates.  
Note: J.P. Morgan estimates are all as of June 2026.



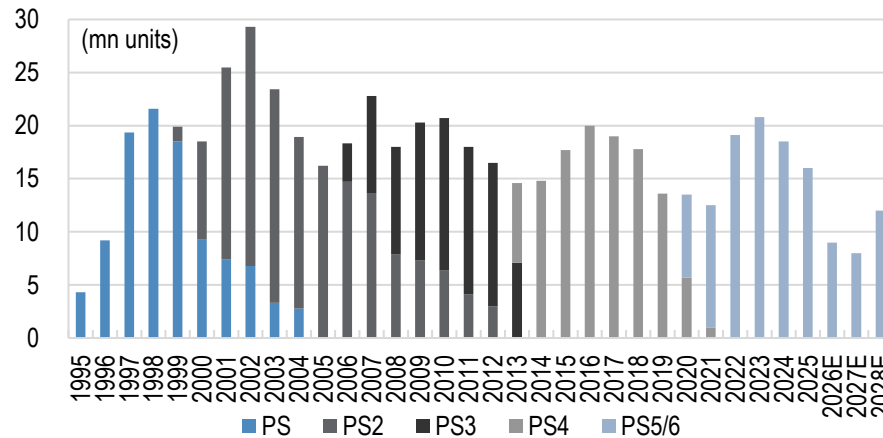
# Sony Group (6758) G&NS: Software income analysis

|                                                     |         |         |         |         | 2026/3    |         |         |         |         | 2027/3    | 2027/3    | 2027/3    |
|-----------------------------------------------------|---------|---------|---------|---------|-----------|---------|---------|---------|---------|-----------|-----------|-----------|
|                                                     | 1Q      | 2Q      | 3Q      | 4Q      | FY        | 1Q      | 2Q      | 3Q      | 4Q      | FY        | FY        | FY        |
|                                                     | Act     | Act     | Act     | Act     | Act       | JPM     | JPM     | JPM     | JPM     | JPM       | JPM       | JPM       |
| Game Software: Sales/Profit breakdown (JPY million) |         |         |         |         |           |         |         |         |         |           |           |           |
| Revenue                                             | 540,189 | 629,344 | 835,477 | 636,013 | 2,641,023 | 534,000 | 699,000 | 891,000 | 709,000 | 2,833,000 | 2,940,000 | 2,998,000 |
| 1st party                                           | 27,000  | 32,000  | 67,000  | 23,000  | 146,000   | 25,000  | 52,000  | 68,000  | 39,000  | 184,000   | 172,000   | 175,000   |
| Physical                                            | 6,000   | 11,000  | 20,000  | 4,000   | 39,000    | 5,000   | 17,000  | 19,000  | 7,000   | 48,000    | 44,000    | 45,000    |
| Digital download                                    | 21,000  | 21,000  | 47,000  | 19,000  | 107,000   | 20,000  | 35,000  | 49,000  | 32,000  | 136,000   | 128,000   | 130,000   |
| 3rd party                                           | 197,000 | 279,000 | 328,000 | 266,000 | 1,058,000 | 179,000 | 300,000 | 364,000 | 285,000 | 1,128,000 | 1,145,000 | 1,135,000 |
| Physical                                            | 18,000  | 32,000  | 31,000  | 22,000  | 88,000    | 11,000  | 32,000  | 32,000  | 15,000  | 90,000    | 92,000    | 90,000    |
| Digital download                                    | 179,000 | 247,000 | 297,000 | 244,000 | 970,000   | 168,000 | 268,000 | 332,000 | 270,000 | 1,038,000 | 1,053,000 | 1,045,000 |
| Add-on/Non-game content                             | 290,859 | 292,524 | 415,807 | 322,221 | 1,336,411 | 307,000 | 320,000 | 434,000 | 360,000 | 1,421,000 | 1,524,000 | 1,589,000 |
| Others                                              | 25,330  | 25,820  | 24,670  | 24,792  | 100,612   | 23,000  | 27,000  | 25,000  | 25,000  | 100,000   | 99,000    | 99,000    |
| Gross profit                                        | 176,000 | 198,000 | 270,000 | 194,000 | 838,000   | 158,000 | 230,000 | 283,000 | 211,000 | 882,000   | 901,000   | 915,000   |
| 1st party                                           | 25,700  | 24,100  | 60,300  | 20,700  | 130,800   | 22,500  | 46,800  | 61,200  | 35,100  | 165,600   | 154,800   | 157,500   |
| Physical                                            | 5,700   | 8,300   | 18,000  | 3,600   | 35,600    | 4,500   | 15,300  | 17,100  | 6,300   | 43,200    | 39,600    | 40,500    |
| Digital download                                    | 20,000  | 15,800  | 42,300  | 17,100  | 95,200    | 18,000  | 31,500  | 44,100  | 28,800  | 122,400   | 115,200   | 117,000   |
| 3rd party                                           | 59,200  | 86,560  | 96,200  | 75,900  | 317,860   | 48,500  | 90,400  | 105,200 | 75,600  | 319,700   | 325,000   | 321,400   |
| Physical                                            | 18,000  | 29,760  | 27,900  | 19,800  | 95,460    | 9,900   | 28,800  | 28,800  | 13,500  | 81,000    | 82,800    | 81,000    |
| Digital download                                    | 41,200  | 56,800  | 68,300  | 56,100  | 222,400   | 38,600  | 61,600  | 76,400  | 62,100  | 238,700   | 242,200   | 240,400   |
| Add-on/Non-game content                             | 73,200  | 69,000  | 96,200  | 80,300  | 318,700   | 70,600  | 73,600  | 99,800  | 82,800  | 326,800   | 350,500   | 365,500   |
| Others                                              | 18,000  | 18,000  | 17,000  | 17,000  | 70,000    | 16,000  | 19,000  | 17,000  | 17,000  | 69,000    | 65,000    | 70,000    |
| Game software unit (million)                        |         |         |         |         |           |         |         |         |         |           |           |           |
| Game software sales unit                            | 65.9    | 80.3    | 97.2    | 74.6    | 317.9     | 56.2    | 86.2    | 106.1   | 91.8    | 340.3     | 337.4     | 330.0     |
| 1st party                                           | 6.9     | 6.3     | 13.2    | 5.8     | 32.2      | 6.0     | 10.0    | 13.7    | 9.7     | 39.5      | 36.4      | 36.4      |
| Physical                                            | 1.2     | 1.8     | 3.2     | 0.9     | 6.9       | 1.0     | 2.8     | 3.3     | 1.5     | 8.6       | 8.0       | 8.0       |
| Digital download                                    | 5.7     | 4.5     | 10.0    | 4.9     | 25.3      | 5.0     | 7.2     | 10.4    | 8.3     | 30.9      | 28.4      | 28.4      |
| 3rd party                                           | 59.0    | 74.0    | 84.0    | 74.6    | 291.6     | 50.2    | 76.2    | 92.4    | 82.1    | 300.8     | 301.0     | 293.6     |
| Physical                                            | 10.0    | 20.7    | 20.2    | 11.2    | 62.1      | 8.5     | 21.3    | 22.2    | 12.3    | 64.4      | 66.2      | 64.6      |
| Digital download                                    | 49.0    | 53.3    | 63.8    | 63.4    | 229.5     | 41.6    | 54.9    | 70.2    | 69.8    | 236.5     | 234.7     | 229.0     |
| KPI (million)                                       |         |         |         |         |           |         |         |         |         |           |           |           |
| PS5 shipments                                       | 2.5     | 4.0     | 7.9     | 1.5     | 16.0      | 1.0     | 1.5     | 5.0     | 1.5     | 9.0       | 8.0       | 12.0      |
| Number of PS Plus subscribers                       | 45.9    | 45.8    | 47.7    | 47.0    | 47.0      | 46.4    | 46.7    | 48.7    | 48.0    | 48.0      | 49.4      | 50.6      |
| YoY                                                 | 4%      | 3%      | 2%      | 0%      | 0%        | 1%      | 2%      | 2%      | 2%      | 2%        | 3%        | 2%        |

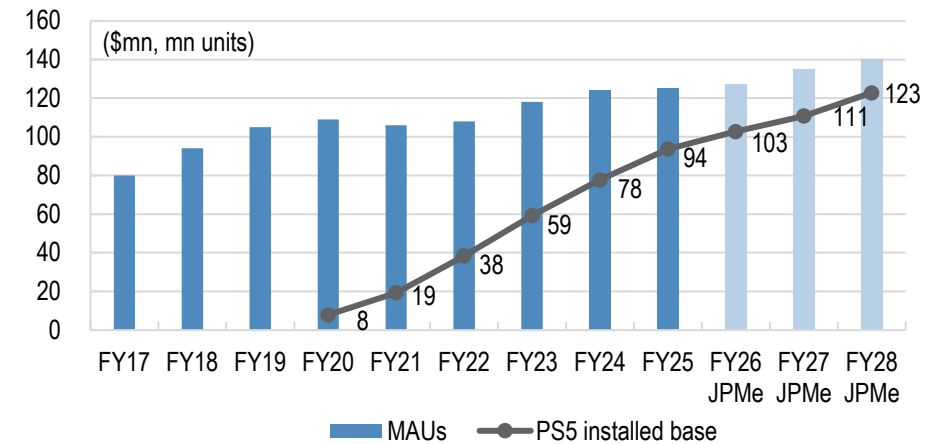
Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of June 2026.

# Sony Group (6758) G&NS: Hardware

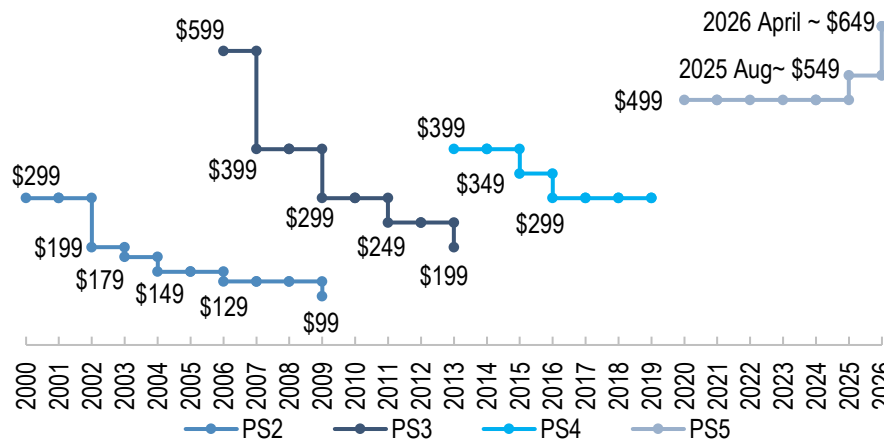
## Shipment trend of PlayStation hardware



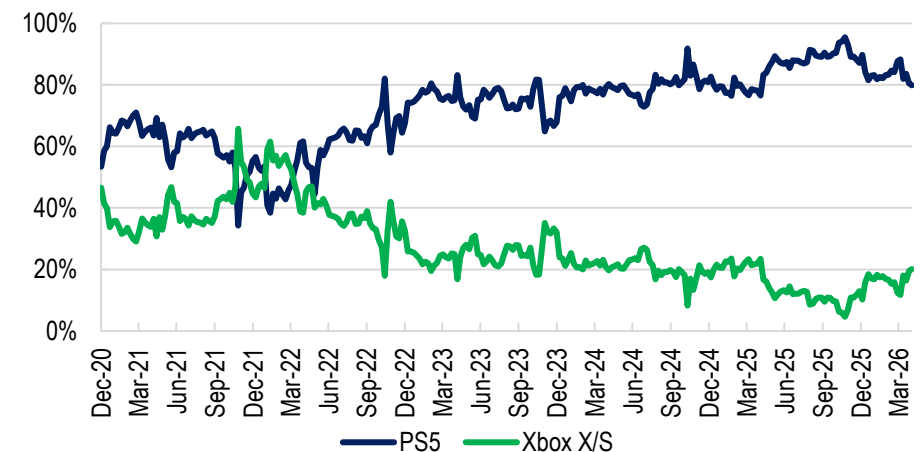
## MAUs and PS5 installed basis



## Price trend of PlayStation



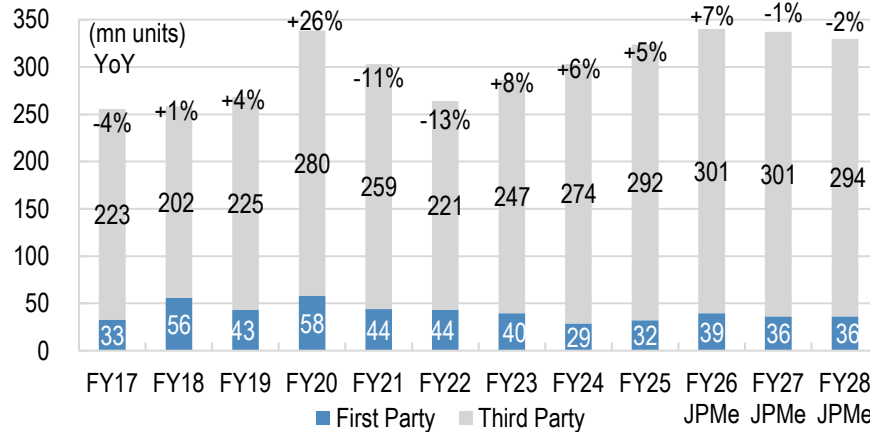
## PS5 and Xbox X/S share



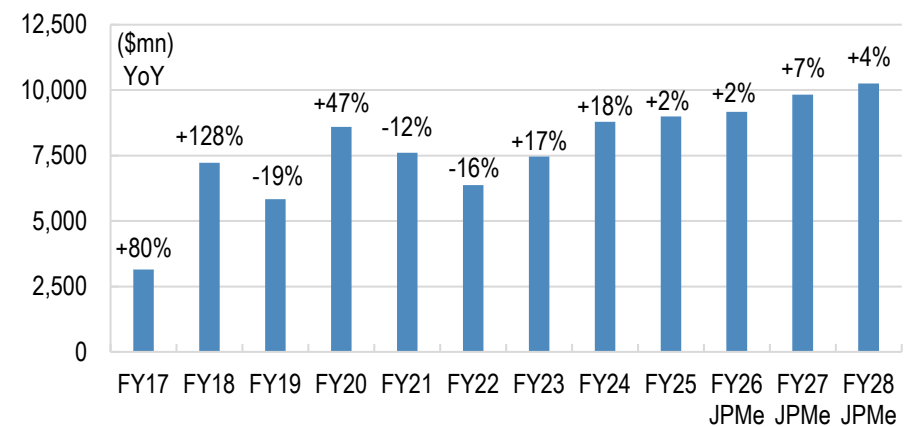
Source: Company reports, VGChartz, J.P. Morgan estimates.  
Note: J.P. Morgan estimates are all as of June 2026.

# Sony Group (6758) G&NS: Software

## Unit sales trend of PlayStation software



## Sales trend of Add-on sales (USD basis)



## PlayStation Studios

|                             | 設立時期    | 買収時期     | 所在地                         | 主カタイトル                    |
|-----------------------------|---------|----------|-----------------------------|---------------------------|
|                             | Founded | Acquired | Location                    | Major titles              |
| Team asobi                  | 2021    | --       | Tokyo / Japan               | ASTRO BOT                 |
| Bend Studio                 | 1993    | 2000     | Oregon / US                 |                           |
| Firesprite                  | 2012    | 2021     | Liverpool / UK              |                           |
| Housemarque                 | 1995    | 2021     | Helsinki / Finland          | Returnal                  |
| Guerrilla                   | 2000    | 2005     | Amsterdam / The Netherlands | Horizon                   |
| Haven Entertainment Studios | 2021    | 2022     | Montreal / Canada           |                           |
| Insomniac Games             | 1994    | 2019     | California / US             | Marvel's Spider-Man       |
| Media Molecule              | 2006    | 2010     | Guildford / UK              | Dream Universe            |
| Naughty Dog                 | 1984    | 2001     | California / US             | Uncharted, The Last of Us |
| Nixxes                      | 1999    | 2021     | Utrecht / The Netherlands   |                           |
| Polyphony Digital           | 1998    | --       | Tokyo / Japan               | Grand Turismo             |
| San Diego Studio            | 2001    | --       | California / US             | MLB The Show              |
| Santa Monica Studio         | 1999    | --       | California / US             | God of War                |
| Sucker Punch                | 1997    | 2011     | Washington / US             | Ghost of Tsushima         |
| Valkyrie Entertainment      | 2002    | 2021     | Seattle / US                |                           |
| Team LFG                    | 2025    |          |                             |                           |

## SIE Management & Studio Reform

- **September 2023: Jim Ryan, President and CEO of SIE, announced his resignation effective at the end of March 2024**  
Mr. Totoki, Group COO/CFO, assumed the position of Chairman of SIE
- **February 2024: SIE announced an 8% reduction in global headcount**  
The closure of London Studios and staff reductions at other PlayStation studios
- **April 2024: Mr. Totoki was appointed as interim CEO of SIE**
- **June 2024: A new management structure for SIE was announced**  
SIE Platform Business Group CEO: Hideaki Nishino  
SIE Studio Business Group CEO: Hermen Hulst
- **August 2024: A reduction of 220 employees at Bungie was announced, equivalent to 17% of the studio's staff**
- **October 2024: The closure of two studios, Firewalk Studios and Neon Koi, was announced**
- **January 2025: It was announced that Mr. Nishino will assume the position of President and CEO of SIE starting in April**  
Hermen Hulst will continue to serve as CEO of the Studio Business Group

Source: Company reports, J.P. Morgan. Note: J.P. Morgan estimates are all as of June 2026.

# Sony Group (6758) G&NS: Major PS titles

|         |    | Sony 1st Party                                                                     |                                                                                  | 3rd Party (ex. Call of Duty, EA Sports)                                                                                     |
|---------|----|------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------|
|         |    | PlayStation platform                                                               | PC platform                                                                      | PlayStation platform                                                                                                        |
| FY2019  | 1Q | "Days Gone"                                                                        |                                                                                  |                                                                                                                             |
|         | 3Q | "Death Stranding"                                                                  |                                                                                  |                                                                                                                             |
| FY2020  | 1Q | "The Last of Us Part II"                                                           |                                                                                  |                                                                                                                             |
|         | 2Q | "Ghost of Tsushima"                                                                | "Horizon Zero Dawn"                                                              |                                                                                                                             |
|         | 3Q | "Marvel's Spider-Man Miles Morales"                                                |                                                                                  | "Assassin's Creed Valhalla" (UBISOFT)                                                                                       |
| FY2021  | 1Q | "Returnal"                                                                         | "Days Gone"                                                                      |                                                                                                                             |
|         | 3Q |                                                                                    |                                                                                  | "Battlefield 2042" (EA)                                                                                                     |
|         | 4Q | "Horizon Forbidden West"<br>"Grand Turismo 7"                                      | "God of War"                                                                     | "Elden Ring" (FromSoftware)                                                                                                 |
| FY2022  | 2Q |                                                                                    | "Marvel's Spider-Man Remastered"                                                 |                                                                                                                             |
|         | 3Q | "God of War RAGNAROK"                                                              | "Uncharted: Legacy of Thieves Collection"<br>"Marvel's Spider-Man Miles Morales" |                                                                                                                             |
|         | 4Q |                                                                                    | "Returnal"<br>"The Last of Us Part I"                                            | "Hogwarts Legacy" (Warner Bros)<br>"Resident Evil 4" (CAPCOM)                                                               |
| FY2023  | 1Q |                                                                                    |                                                                                  | "Final Fantasy XVI" (Square Enix)                                                                                           |
|         | 2Q |                                                                                    | "Ratchet & Clank: Rift Apart"                                                    |                                                                                                                             |
|         | 3Q | "Marvel's Spider-Man 2"                                                            |                                                                                  | "Assassin's Creed Mirage" (UBISOFT)                                                                                         |
|         | 4Q | "Helldivers 2"                                                                     | "Horizon Forbidden West Complete Edition"                                        |                                                                                                                             |
| FY2024  | 1Q |                                                                                    | "Ghost of Tsushima Director's Cut"                                               |                                                                                                                             |
|         | 2Q | "Concord" (Firewalk Studios)                                                       |                                                                                  | "Black Myth: Wukong" (Game Science)                                                                                         |
|         | 4Q | "ASTRO BOT"                                                                        | "God of War RAGNAROK"<br>"Marvel's Spider-Man 2"                                 | [ Revival ] "EA Sports College Football 25" (EA)<br>"Monster Hunter Wilds" (CAPCOM)<br>"Assassin's Creed Shadows" (UBISOFT) |
| FY2025  | 1Q | "Death Stranding 2: On the beach"                                                  | "The Last of Us Part II Remastered"<br>"Days gone Remastered"                    | "ELDEN RING NIGHTREIGN" (FromSoftware)                                                                                      |
|         | 2Q |                                                                                    |                                                                                  | "BORDERLANDS 4" (2K Games/ Gearbox Software)                                                                                |
|         | 3Q | "Ghost of Yotei"                                                                   |                                                                                  | "Battlefield 2025" (EA)                                                                                                     |
|         | 4Q | "Marathon" (Bungie)                                                                | "Death Stranding 2: On the beach"                                                | "Arc Raiders" (Embark Studios)                                                                                              |
| FY2026- | 1Q | 30 Apr 2026 "SAROS"                                                                |                                                                                  | 27 May 2026 "007 First Light" (IO Interactive)                                                                              |
|         | 2Q | 7 Aug "MARVEL Tōkon: Fighting Souls"<br>15 Sep "Marvel's Wolverine"                |                                                                                  | 29 July "Halo: Campaign Evolved" (Xbox Game Studios)                                                                        |
|         | 3Q |                                                                                    |                                                                                  | 19 Nov 2026 "Grand Theft Auto VI" (Rockstar Games)                                                                          |
|         | 4Q |                                                                                    |                                                                                  | Autumn "Forza Horizon 6" (Xbox Game Studios)                                                                                |
| TBD     |    | "God of War Laufey"<br>2027 "Until Dawn 2"<br>"Intergalactic: The Heretic Prophet" |                                                                                  | 12 Feb 2027 "Tomb Raider: Legacy of Atlantis"                                                                               |
|         |    | "Fairgame\$" (Haven Studios)                                                       |                                                                                  |                                                                                                                             |

Source: Company website, J.P. Morgan.

Note: Red text indicates live service games (studio name shown in brackets).

# Sony Group (6758) G&NS: Network

## ➤ Price Revisions

September 2023 (12-month plan price revision)

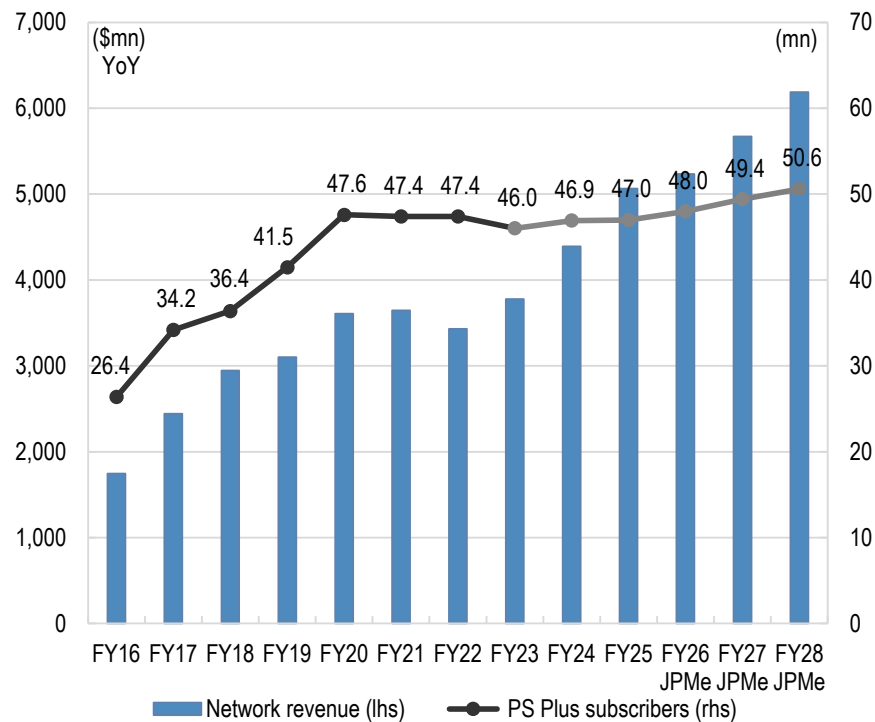
Essential \$59.99⇒\$79.99 (+\$20)、Extra \$99.99⇒ \$134.99 (+\$35)、 Premium \$119.99⇒ \$159.99 (+\$40)

May 2026: Price revisions for 1-month and 3-month plans for new users only (no change for existing members)

1-month Essential \$9.99⇒\$10.99 (+\$1)、Extra \$14.99⇒ \$16.99 (+\$2)、 Premium \$17.99⇒ \$19.99 (+\$2)

3-month Essential \$24.99⇒\$27.99 (+\$3)、Extra \$39.99⇒ \$43.99 (+\$4)、 Premium \$49.99⇒ \$54.99 (+\$5)

## Network revenue and PS Plus subscribers



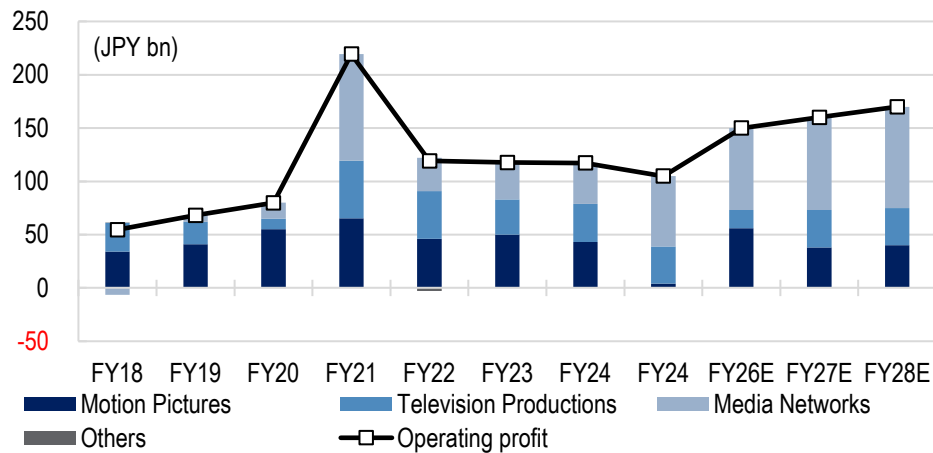
## PlayStation Plus Subscription Plan

|                     | PS Plus                             |                                      |                                      |
|---------------------|-------------------------------------|--------------------------------------|--------------------------------------|
|                     | Essential                           | Extra                                | Premium                              |
| Monthly fees (US\$) | 10.99 / M<br>27.99 / Q<br>79.99 / Y | 15.99 / M<br>41.99 / Q<br>134.99 / Y | 18.99 / M<br>51.99 / Q<br>159.99 / Y |
| Online Multiplayer  | ☑                                   | ☑                                    | ☑                                    |
| Share Play          | ☑                                   | ☑                                    | ☑                                    |
| Monthly Games       | ☑                                   | ☑                                    | ☑                                    |
| Exclusive Discounts | ☑                                   | ☑                                    | ☑                                    |
| Cloud Storage       | ☑                                   | ☑                                    | ☑                                    |
| Game Catalogue      |                                     | ☑                                    | ☑                                    |
| Ubisoft+ Classics   |                                     | ☑                                    | ☑                                    |
| Classics Catalogue  |                                     |                                      | ☑                                    |
| Game trials         |                                     |                                      | ☑                                    |
| Cloud Streaming     |                                     |                                      | ☑                                    |

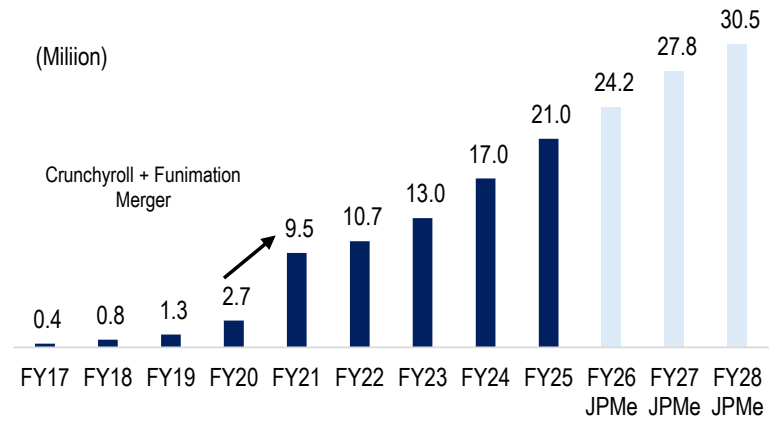
Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of June 2026.

# Sony Group (6758) Pictures: Crunchyroll

Picture segment OP breakdown



Crunchyroll Subscribers



Crunchyroll Overview

## Crunchyroll

- President: Rahul Purini
- Streaming platform founded in 2006, specializing in Japanese anime
- Acquired by Sony Group from AT&T in August 2021 and merged with its subsidiary Funimation
- Over 15 million members across more than 200 countries and regions worldwide
- Available for viewing via Amazon Prime and YouTube

## Anime market

- TAM ex. China and Japan: 800m+
- Number of anime viewers in U.S.  
Ages 18-54: 56m (One-third of the population in the age group)  
Ages 18-24 (Gen Z): 19mn (44% of the population the age group)

Crunchyroll Subscription Plan

Price hike by \$2 in each tier from Feb 2026 onward

|                    | Fan      | Mega Fan  | Ultimate Fan |
|--------------------|----------|-----------|--------------|
| Fees               | \$9.99/m | \$13.99/m | \$17.99/m    |
| Stream at a time   | 1 device | 4 devices | 6 devices    |
| Full anime catalog | ☑        | ☑         | ☑            |
| Offline viewing    | 1 device | ☑         | ☑            |
| Game vault         |          | ☑         | ☑            |

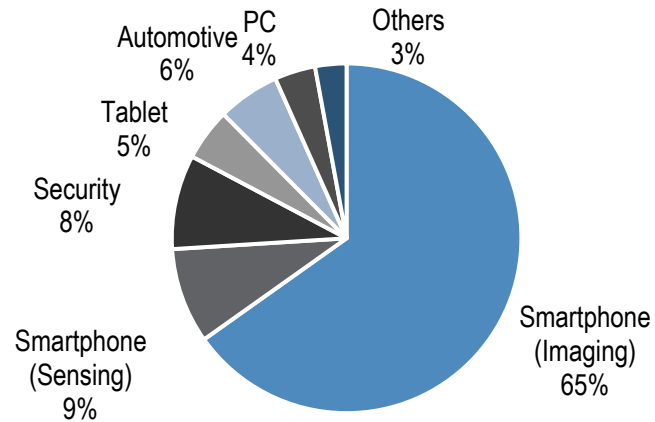
# Sony Group (6758) Pictures: Box Office and Pipeline of Major Works

| Marvel        | Sequel | PS IP | Title                                          | Label                                       | Release date | US      | Box office (\$mn)<br>International | Total   |
|---------------|--------|-------|------------------------------------------------|---------------------------------------------|--------------|---------|------------------------------------|---------|
| FY3/19        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      |       | Venom                                          | Columbia Pictures                           | 10-May-2018  | \$214   | \$643                              | \$856   |
|               |        | ✓     | Hotel Transylvania 3: Summer Vacation          | Columbia Pictures / Sony Pictures Animation | 13-Jul-2018  | \$168   | \$361                              | \$529   |
|               | ✓      | ✓     | Spider-Man™: Into the Spider-Verse             | Columbia Pictures / Sony Pictures Animation | 14-Dec-2018  | \$190   | \$185                              | \$376   |
| FY3/20        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      | ✓     | Spider-Man™: Far From Home                     | Columbia Pictures                           | 2-Jul-2019   | \$391   | \$741                              | \$1,132 |
|               |        |       | Once Upon a Time...in Hollywood                | Columbia Pictures                           | 26-Jul-2019  | \$143   | \$235                              | \$378   |
|               |        | ✓     | Jumanji: The Next Level                        | Columbia Pictures                           | 13-Dec-2019  | \$317   | \$480                              | \$797   |
|               |        | ✓     | Bad Boys for Life                              | Columbia Pictures                           | 17-Jan-2020  | \$204   | \$215                              | \$419   |
| FY3/21        |        |       |                                                |                                             |              |         |                                    |         |
| FY3/22        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      | ✓     | Venom: Let There Be Carnage                    | Columbia Pictures                           | 1-Oct-2021   | \$214   | \$289                              | \$502   |
|               | ✓      | ✓     | Spider-Man™: No Way Home                       | Columbia Pictures                           | 17-Dec-2021  | \$787   | \$1,080                            | \$1,867 |
|               |        | ✓     | Uncharted                                      | Columbia Pictures                           | 18-Feb-2022  | \$148   | \$253                              | \$401   |
| FY3/23        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      |       | Marvel Morbius                                 | Columbia Pictures                           | 1-Apr-2022   | \$74    | \$94                               | \$167   |
|               |        |       | Bullet Train                                   | Columbia Pictures                           | 5-Aug-2022   | \$103   | \$136                              | \$239   |
| FY3/24        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      | ✓     | Spider-Man™: Across the Spider-Verse           | Columbia Pictures / Sony Pictures Animation | 2-Jun-2023   | \$332   | \$259                              | \$591   |
|               |        | ✓     | Grand Turismo                                  | Columbia Pictures                           | 25-Aug-2023  | \$44    | \$77                               | \$122   |
|               |        | ✓     | The Equalizer 3                                | Columbia Pictures                           | 1-Sep-2023   | \$92    | \$99                               | \$191   |
|               |        |       | Napoleon                                       | Columbia Pictures                           | 22-Nov-2023  | \$62    | \$160                              | \$221   |
|               |        |       | Anyone But You                                 | Columbia Pictures                           | 22-Dec-2023  | \$88    | \$131                              | \$220   |
|               | ✓      |       | Madame Web                                     | Columbia Pictures                           | 14-Feb-2024  | \$44    | \$56                               | \$100   |
|               |        | ✓     | Ghostbusters: Frozen Empire                    | Columbia Pictures                           | 22-Mar-2024  | \$113   | \$88                               | \$200   |
| FY3/25        |        |       |                                                |                                             |              |         |                                    |         |
|               |        |       | The Garfield Movie                             | Columbia Pictures                           | 24-May-2024  | \$90.0  | \$125.0                            | \$215.0 |
|               |        | ✓     | Bad Boys: Ride or Die                          | Columbia Pictures                           | 14-Jun-2024  | \$126.0 | \$168.0                            | \$294.0 |
|               |        |       | It Ends with Us                                | Columbia Pictures                           | 9-Aug-2024   | \$148.0 | \$194.0                            | \$342.0 |
|               | ✓      | ✓     | Venom: The Last Dance                          | Columbia Pictures                           | 25-Oct-2024  | \$140.0 | \$339.1                            | \$478.9 |
|               | ✓      |       | Kraven the Hunter                              | Columbia Pictures                           | 13-Dec-2024  | \$25.0  | \$37.0                             | \$62.0  |
|               |        | ✓     | Paddington in Peru                             | Columbia Pictures                           | 14-Feb-2025  | \$45.7  | \$124.1                            | \$169.8 |
| FY3/26        |        |       |                                                |                                             |              |         |                                    |         |
|               |        | ✓     | Karate Kid                                     | Columbia Pictures                           | 30-May-2025  | \$52.5  | \$62.0                             | \$114.5 |
|               |        | ✓     | 28 years later                                 | Columbia Pictures                           | 20-Jun-2025  | \$70.4  | \$80.0                             | \$150.4 |
|               |        | ✓     | Demon Slayer: Kimetsu no Yaiba Infinity Castle | Columbia Pictures / Crunchyroll             | 12-Sep-2025  | \$134.3 | \$530.0                            | \$664.3 |
|               |        |       | Chainsaw Main - The Movie; Reze Arc            | Columbia Pictures / Crunchyroll             | 24-Oct-2025  | \$43.4  | \$119.2                            | \$162.6 |
| FY3/27        |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      | ✓     | Spider-Man: Brand New Day                      | Columbia Pictures                           | 31-Jul-2026  |         |                                    |         |
|               |        |       | Resident Evil                                  | Columbia Pictures                           | 18-Sep-2026  |         |                                    |         |
|               |        |       | Social Reckoning                               | Columbia Pictures                           | 9-Oct-2026   |         |                                    |         |
|               |        | ✓     | Jumanji 3                                      | Columbia Pictures                           | 11-Dec-2026  |         |                                    |         |
| Beyond FY3/28 |        |       |                                                |                                             |              |         |                                    |         |
|               | ✓      | ✓     | The Legend of Zelda                            | Columbia Pictures                           | 7-May-2027   |         |                                    |         |
|               |        |       | Spider-Man: Beyond the Spider-Verse            | Columbia Pictures / Sony Pictures Animation | 18-Jun-2027  |         |                                    |         |
|               |        |       | Untitled Sony Pictures Animation               | Columbia Pictures / Sony Pictures Animation | 8-Oct-2027   |         |                                    |         |
|               |        | ✓     | Helldivers                                     | Columbia Pictures                           | 10-Nov-2027  |         |                                    |         |
|               |        |       | The Beatles- A Four-Film Cinematic Event       | Columbia Pictures                           | April 2028   |         |                                    |         |

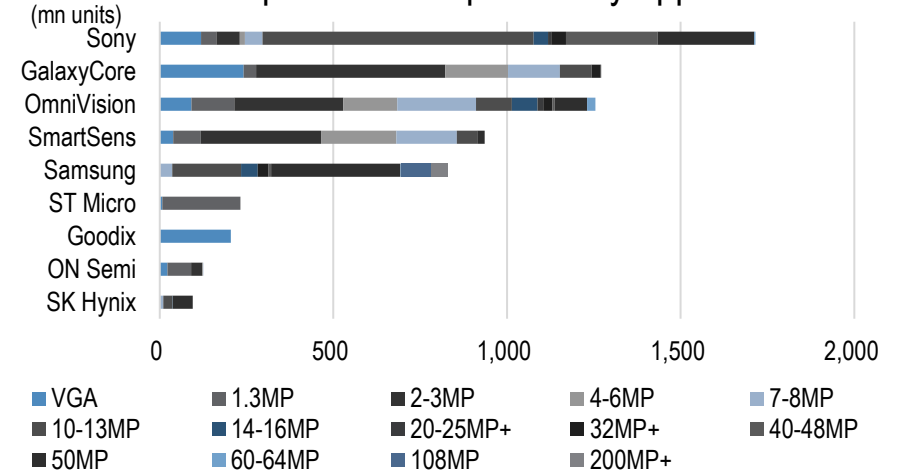
Source: Company website, Box Office Mojo, J.P. Morgan.

# Image sensor market

CY2024 CIS market volume by application



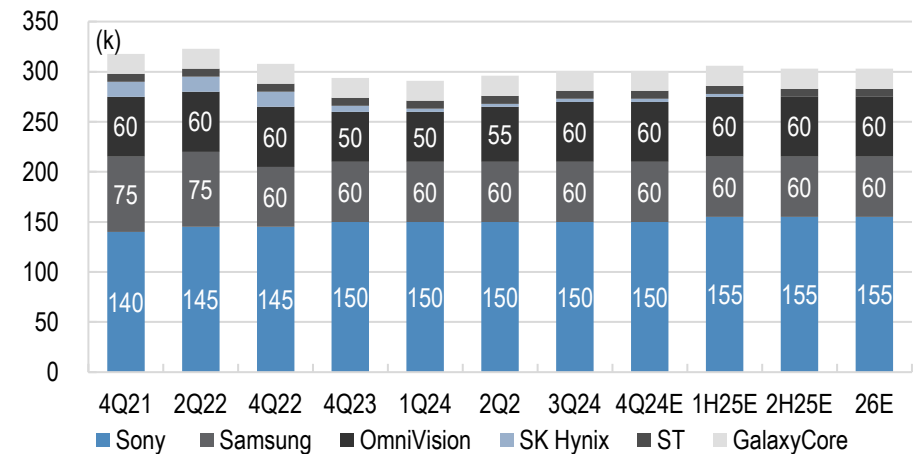
CY2024 Top makers' shipments by application



Market share in volume and revenue

|            | 2023 | 2024 | 2025E |  | 2023         | 2024         | 2025E        |  | 2023         | 2024         | 2025E        |
|------------|------|------|-------|--|--------------|--------------|--------------|--|--------------|--------------|--------------|
|            | ASP  | ASP  | ASP   |  | Unit         | Unit         | Unit         |  | Revenue      | Revenue      | Revenue      |
|            | \$   | \$   | \$    |  | Market share | Market share | Market share |  | Market share | Market share | Market share |
| Sony       | 6.2  | 6.3  | 6.8   |  | 25%          | 25%          | 25%          |  | 53%          | 52%          | 54%          |
| OmniVision | 1.8  | 2.2  | 2.6   |  | 20%          | 18%          | 17%          |  | 12%          | 14%          | 13%          |
| Samsung    | 3.1  | 3.7  | 4.0   |  | 13%          | 12%          | 10%          |  | 14%          | 15%          | 13%          |
| SmartSens  | 0.8  | 0.9  | 1.0   |  | 9%           | 14%          | 17%          |  | 2%           | 4%           | 6%           |
| GalaxyCore | 0.5  | 0.6  | 0.7   |  | 15%          | 19%          | 19%          |  | 3%           | 3%           | 4%           |
| ON Semi    | 7.3  | 6.9  | 6.9   |  | 2%           | 2%           | 1%           |  | 5%           | 4%           | 3%           |
| ST Micro   | 2.7  | 2.7  | 2.7   |  | 4%           | 3%           | 4%           |  | 3%           | 3%           | 3%           |
| SK hynix   | 1.2  | 1.8  | 2.3   |  | 5%           | 1%           | 0%           |  | 2%           | 1%           | 0%           |
| Others     | 1.9  | 2.0  | 2.0   |  | 7%           | 6%           | 6%           |  | 5%           | 4%           | 4%           |
| Total      | 2.9  | 3.0  | 3.2   |  | 100%         | 100%         | 100%         |  | 100%         | 100%         | 100%         |

CIS Wafer Capacity per month (12 inch)





# Mitsubishi Electric (6503): SOTP (FY3/28E)

|                                  | EBITDA         | OP                                  | D&A            | EV/EBITDA   | EV                | Per share    |
|----------------------------------|----------------|-------------------------------------|----------------|-------------|-------------------|--------------|
|                                  | (mn JPY)       | (mn JPY)                            | (mn JPY)       | (x)         | (mn JPY)          | (JPY)        |
| Infrastructure                   | 255,000        | 215,000                             | 40,000         | 17.5        | 4,462,500         | 2,239        |
| Industry and Mobility            | 265,000        | 195,000                             | 70,000         | 14.3        | 3,779,500         | 1,897        |
| FA Systems                       | 172,000        | 123,000                             | 49,000         | 19.0        | 3,268,000         | 1,640        |
| Automotive Equipment             | 93,000         | 72,000                              | 21,000         | 5.5         | 511,500           | 257          |
| Life                             | 290,000        | 215,000                             | 75,000         | 12.9        | 3,740,000         | 1,877        |
| Building Systems                 | 30,000         | 0                                   | 30,000         | 12.0        | 360,000           | 181          |
| AC Systems & Home Products       | 260,000        | 215,000                             | 45,000         | 13.0        | 3,380,000         | 1,696        |
| Digital Innovation               | 20,000         | 12,000                              | 8,000          | 12.0        | 240,000           | 120          |
| Semiconductor Devices            | 119,000        | 69,000                              | 50,000         | 17.7        | 2,111,500         | 1,060        |
| <b>Total</b>                     | <b>949,000</b> | <b>706,000</b>                      | <b>243,000</b> | <b>15.1</b> | <b>14,333,500</b> | <b>7,192</b> |
| All Other / Corporate            | -7,000         | -16,000                             | 9,000          | 15.1        | -105,727          | -53          |
| Corporate value                  |                |                                     |                |             | 14,227,773        | 7,139        |
| Net debt                         |                |                                     |                |             | -405,924          | -204         |
| <b>Market value</b>              |                |                                     |                |             | <b>14,633,698</b> | <b>7,343</b> |
|                                  |                | Equity -method<br>investment income | PER            |             | Market Value      |              |
| Equity -method subsidiaries      |                | 45,000                              | 18             |             | 810,000           | 406          |
| Number of outstanding shares (K) |                |                                     |                |             | 1,992,864         |              |
| <b>Theoretical value (JPY)</b>   |                |                                     |                |             | <b>7,749</b>      |              |
| Discount                         |                |                                     |                |             | -10%              |              |
| <b>Target Price (JPY)</b>        |                |                                     |                |             | <b>7,000</b>      |              |

# Mitsubishi Electric (6503): Investment thesis, valuation, and risks

## **Mitsubishi Electric (Overweight; Price Target: ¥7,000)**

### **Investment Thesis**

In the short term, we expect increased demand for factory automation systems and optical semiconductors driven by growing data center investments, and in the medium term, we anticipate expanding demand for power supplies/equipment and IT cooling systems accompanying the shift to DC800V power supplies for data centers, as well as for sensors, radars, missiles, information processing, and satellite communications technologies related to new defense areas (drones, AI, electronic warfare, and satellite and space domain utilization). Capital allocation aimed at restructuring the business portfolio and increasing ROE also remains a focus.

### **Valuation**

Our end-December 2026 price target of ¥7,000 values the shares at a 10% conglomerate discount to the theoretical share price we derive using an SOTP model based on our FY2027 forecasts. Target multiples in our SOTP model are based on EV/EBITDA multiples of comparable companies.

### **Risks to Rating and Price Target**

#### **Upside Scenario to Target Price/Rating**

- Further improvement in the factory automation and semiconductor device cycles
- Stronger-than-expected demand and profitability in the air conditioning business
- Order growth in infrastructure, defense, and data center-related businesses

#### **Downside Scenario to Target Price/Rating**

- Decline in factory automation system and semiconductor device demand owing to a slowdown in macro demand
- Delays in pass-throughs of sharp material cost increases
- Reductions of defense budgets and data center investment plans

# Mitsubishi Electric (6503): Earnings forecasts

| (mn JPY)                   | 2026/3    |           |           |           |           | 2027/3    |           |           |           |           | 2028/3    | 2029/3    | 2027/3    |
|----------------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
|                            | 1Q        | 2Q        | 3Q        | 4Q        | FY        | 1Q        | 2Q        | 3Q        | 4Q        | FY        | FY        | FY        | FY        |
|                            | Act       | Act       | Act       | Act       | Act       | JPM       | JPM       | JPM       | JPM       | JPM       | JPM       | JPM       | CoE       |
| Sales                      | 1,312,896 | 1,330,701 | 1,423,506 | 1,738,737 | 5,894,747 | 1,393,000 | 1,550,000 | 1,526,000 | 1,838,000 | 6,307,000 | 6,533,000 | 6,767,000 | 6,200,000 |
| Infrastructure             | 265,895   | 316,443   | 352,699   | 528,363   | 1,463,400 | 273,000   | 374,000   | 407,000   | 620,000   | 1,674,000 | 1,828,000 | 1,955,000 | 1,640,000 |
| Industry and Mobility      | 383,614   | 417,279   | 415,672   | 457,306   | 1,673,871 | 407,000   | 441,000   | 439,000   | 433,000   | 1,720,000 | 1,706,000 | 1,695,000 | 1,685,000 |
| FA Systems                 | 180,000   | 198,000   | 201,100   | 219,100   | 798,200   | 210,000   | 228,000   | 231,000   | 231,000   | 900,000   | 927,000   | 955,000   | 865,000   |
| Automotive Equipment       | 203,500   | 219,200   | 214,500   | 208,400   | 845,600   | 197,000   | 213,000   | 208,000   | 202,000   | 820,000   | 779,000   | 740,000   | 820,000   |
| Life                       | 567,896   | 575,863   | 551,565   | 622,933   | 2,318,257 | 611,000   | 613,000   | 560,000   | 639,000   | 2,423,000 | 2,478,000 | 2,558,000 | 2,430,000 |
| Digital Innovation         | 31,576    | 40,320    | 35,065    | 51,060    | 158,021   | 35,000    | 46,000    | 40,000    | 59,000    | 180,000   | 185,000   | 191,000   | 180,000   |
| Semiconductor Devices      | 68,493    | 72,161    | 67,863    | 78,631    | 287,148   | 72,000    | 76,000    | 80,000    | 87,000    | 315,000   | 341,000   | 373,000   | 300,000   |
| Others                     | 175,612   | 205,484   | 202,727   | 239,738   | 823,561   | 175,000   | 205,000   | 205,000   | 240,000   | 825,000   | 825,000   | 825,000   | 822,000   |
| Eliminations and corporate | -180,190  | -207,942  | -202,085  | -239,294  | -829,511  | -180,000  | -205,000  | -205,000  | -240,000  | -830,000  | -830,000  | -830,000  | -857,000  |
| Adjusted OP                |           |           |           |           | 501,200   | 115,000   | 144,000   | 160,000   | 206,000   | 625,000   | 690,000   | 770,000   | 590,000   |
| Infrastructure             |           |           |           |           | 156,500   | 15,000    | 29,000    | 51,000    | 95,000    | 190,000   | 215,000   | 240,000   | 170,000   |
| Industry and Mobility      |           |           |           |           | 125,200   | 40,000    | 46,000    | 48,000    | 51,000    | 185,000   | 195,000   | 205,000   | 174,000   |
| FA Systems                 |           |           |           |           | 75,200    | 26,000    | 28,000    | 29,000    | 30,000    | 113,000   | 123,000   | 133,000   | 102,000   |
| Automotive Equipment       |           |           |           |           | 49,900    | 14,000    | 18,000    | 19,000    | 21,000    | 72,000    | 72,000    | 72,000    | 72,000    |
| Life                       |           |           |           |           | 168,300   | 53,000    | 56,000    | 48,000    | 43,000    | 200,000   | 215,000   | 240,000   | 210,000   |
| Digital Innovation         |           |           |           |           | 12,100    | 0         | 2,000     | 3,000     | 5,000     | 10,000    | 12,000    | 14,000    | 10,000    |
| Semiconductor Devices      |           |           |           |           | 46,300    | 12,000    | 14,000    | 15,000    | 16,000    | 57,000    | 69,000    | 82,000    | 43,000    |
| Others                     |           |           |           |           | 37,800    | 5,000     | 7,000     | 10,000    | 15,000    | 37,000    | 38,000    | 43,000    | 37,000    |
| Eliminations and corporate |           |           |           |           | -45,100   | -10,000   | -10,000   | -15,000   | -19,000   | -54,000   | -54,000   | -54,000   | -54,000   |
| Adjusted OPM               |           |           |           |           | 8.5%      | 8.3%      | 9.3%      | 10.5%     | 11.2%     | 9.9%      | 10.6%     | 11.4%     | 9.5%      |
| Infrastructure             |           |           |           |           | 10.7%     | 5.5%      | 7.8%      | 12.5%     | 15.3%     | 11.4%     | 11.8%     | 12.3%     | 10.4%     |
| Industry and Mobility      |           |           |           |           | 7.5%      | 9.8%      | 10.4%     | 10.9%     | 11.8%     | 10.8%     | 11.4%     | 12.1%     | 10.3%     |
| FA Systems                 |           |           |           |           | 9.4%      | 12.4%     | 12.3%     | 12.6%     | 13.0%     | 12.6%     | 13.3%     | 13.9%     | 11.8%     |
| Automotive Equipment       |           |           |           |           | 5.9%      | 7.1%      | 8.5%      | 9.1%      | 10.4%     | 8.8%      | 9.2%      | 9.7%      | 8.8%      |
| Life                       |           |           |           |           | 7.3%      | 8.7%      | 9.1%      | 8.6%      | 6.7%      | 8.3%      | 8.7%      | 9.4%      | 8.6%      |
| Digital Innovation         |           |           |           |           | 7.7%      | 0.0%      | 4.3%      | 7.5%      | 8.5%      | 5.6%      | 6.5%      | 7.3%      | 5.6%      |
| Semiconductor Devices      |           |           |           |           | 16.1%     | 16.7%     | 18.4%     | 18.8%     | 18.4%     | 18.1%     | 20.2%     | 22.0%     | 14.3%     |
| Others                     |           |           |           |           | 4.6%      | 2.9%      | 3.4%      | 4.9%      | 6.3%      | 4.5%      | 4.6%      | 5.2%      | 4.5%      |
| OP                         | 111,972   | 112,394   | 70,391    | 138,338   | 433,095   | 115,000   | 144,000   | 160,000   | 216,000   | 635,000   | 690,000   | 770,000   |           |
| Infrastructure             | 18,091    | 20,804    | 40,386    | 75,450    | 154,731   | 15,000    | 29,000    | 51,000    | 95,000    | 190,000   | 215,000   | 240,000   |           |
| Industry and Mobility      | 25,905    | 29,417    | 38,835    | 36,914    | 131,071   | 40,000    | 46,000    | 48,000    | 51,000    | 185,000   | 195,000   | 205,000   |           |
| FA Systems                 | 17,100    | 16,900    | 25,600    | 17,000    | 76,600    | 26,000    | 28,000    | 29,000    | 30,000    | 113,000   | 123,000   | 133,000   |           |
| Automotive Equipment       | 8,700     | 12,500    | 13,200    | 20,000    | 54,400    | 14,000    | 18,000    | 19,000    | 21,000    | 72,000    | 72,000    | 72,000    |           |
| Life                       | 46,568    | 46,356    | 43,110    | 34,538    | 170,572   | 53,000    | 56,000    | 48,000    | 43,000    | 200,000   | 215,000   | 240,000   |           |
| Digital Innovation         | 1,265     | 2,437     | 3,591     | 4,664     | 11,957    | 0         | 2,000     | 3,000     | 5,000     | 10,000    | 12,000    | 14,000    |           |
| Semiconductor Devices      | 9,608     | 15,162    | 10,350    | 12,420    | 47,540    | 12,000    | 14,000    | 15,000    | 16,000    | 57,000    | 69,000    | 82,000    |           |
| Others                     | 19,962    | 8,903     | 12,775    | 11,533    | 53,173    | 5,000     | 7,000     | 10,000    | 25,000    | 47,000    | 38,000    | 43,000    |           |
| Eliminations and corporate | -9,427    | -10,685   | -78,656   | -37,181   | -135,949  | -10,000   | -10,000   | -15,000   | -19,000   | -54,000   | -54,000   | -54,000   |           |
| Profit before tax          | 124,076   | 129,899   | 125,404   | 146,698   | 526,077   | --        | --        | --        | --        | 690,000   | 750,000   | 830,000   |           |
| Net income                 | 90,926    | 98,471    | 108,868   | 109,493   | 407,758   | --        | --        | --        | --        | 513,000   | 562,000   | 624,000   |           |
| Capex                      | --        | --        | --        | --        | 196,160   | --        | --        | --        | --        | 260,000   | 290,000   | 290,000   |           |
| Depreciation               | --        | --        | --        | --        | 155,600   | --        | --        | --        | --        | 160,000   | 160,000   | 160,000   |           |
| R&D                        | 55,600    | 58,100    | 58,400    | 63,400    | 235,500   | --        | --        | --        | --        | 245,000   | 250,000   | 255,000   |           |

Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of June 2026.

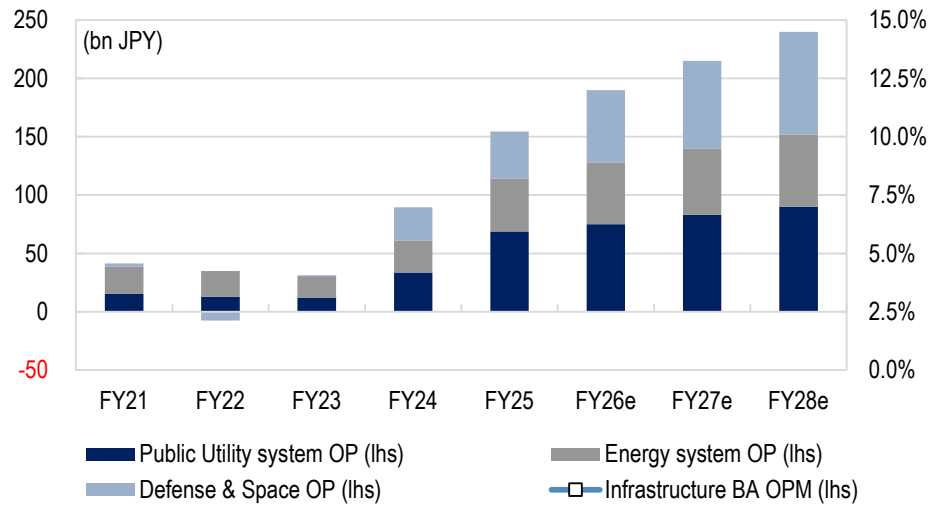
# Mitsubishi Electric (6503): Medium-term plan

| (JPY billion)                            | FY25<br>Actual | FY26<br>CoE  | FY30<br>MTP  | FY25-FY30<br>Difference | FY25-FY30<br>CAGR |
|------------------------------------------|----------------|--------------|--------------|-------------------------|-------------------|
| <b>Sales</b>                             | <b>5,895</b>   | <b>6,200</b> | <b>-</b>     | <b>-</b>                | <b>-</b>          |
| <b>Infrastructure</b>                    | <b>1,463</b>   | <b>1,640</b> | <b>2,100</b> | <b>+637</b>             | <b>7%</b>         |
| Public Utility Systems                   | 569            | 600          | 700          | +131                    | 4%                |
| Energy Systems                           | 473            | 480          | 600          | +127                    | 5%                |
| Defense & Space Systems                  | 421            | 560          | 800          | +379                    | 14%               |
| <b>Industry &amp; Mobility</b>           | <b>1,674</b>   | <b>1,685</b> | <b>-</b>     | <b>-</b>                | <b>-</b>          |
| Factory Automation Systems               | 798            | 865          | 900          | +102                    | 2%                |
| Automotive Equipment                     | 876            | 820          | -            | -                       | -                 |
| <b>Life</b>                              | <b>2,318</b>   | <b>2,430</b> | <b>2,800</b> | <b>+482</b>             | <b>4%</b>         |
| Building Systems                         | 708            | 760          | 800          | +92                     | 2%                |
| Air Conditioning Systems & Home Products | 1,610          | 1,670        | 2,000        | +390                    | 4%                |
| <b>Business Platform</b>                 | <b>287</b>     | <b>180</b>   | <b>400</b>   | <b>+113</b>             | <b>7%</b>         |
| <b>Semiconductor &amp; Device</b>        | <b>824</b>     | <b>300</b>   | <b>400</b>   | <b>-424</b>             | <b>-13%</b>       |
| Others & Eliminations                    | (671)          | (35)         | -            | -                       | -                 |
| <b>Adjusted Operating Profit</b>         | <b>501</b>     | <b>590</b>   | <b>-</b>     | <b>-</b>                | <b>-</b>          |
| <b>Infrastructure</b>                    | <b>157</b>     | <b>170</b>   | <b>273</b>   | <b>+117</b>             | <b>12%</b>        |
| Public Utility Systems                   | 69             | 66           | 98           | +29                     | 7%                |
| Energy Systems                           | 45             | 48           | 72           | +27                     | 10%               |
| Defense & Space Systems                  | 42             | 56           | 96           | +54                     | 18%               |
| <b>Industry &amp; Mobility</b>           | <b>125</b>     | <b>174</b>   | <b>-</b>     | <b>-</b>                | <b>-</b>          |
| Factory Automation Systems               | 75             | 102          | 144          | +69                     | 14%               |
| Automotive Equipment                     | 50             | 72           | -            | -                       | -                 |
| <b>Life</b>                              | <b>168</b>     | <b>210</b>   | <b>336</b>   | <b>+168</b>             | <b>15%</b>        |
| Building Systems                         | 66             | 77           | 96           | +30                     | 8%                |
| Air Conditioning Systems & Home Products | 103            | 133          | 240          | +137                    | 19%               |
| <b>Business Platform</b>                 | <b>12</b>      | <b>10</b>    | <b>68</b>    | <b>+56</b>              | <b>41%</b>        |
| <b>Semiconductor &amp; Device</b>        | <b>46</b>      | <b>43</b>    | <b>80</b>    | <b>+34</b>              | <b>12%</b>        |
| Others & Eliminations                    | (7)            | (17)         | -            | -                       | -                 |
| <b>Adjusted Operating Profit Margin</b>  | <b>8.5%</b>    | <b>9.5%</b>  | <b>12%+</b>  | <b>-</b>                | <b>-</b>          |
| <b>Infrastructure</b>                    | <b>10.7%</b>   | <b>10.4%</b> | <b>13%</b>   | <b>+2.3%</b>            | <b>-</b>          |
| Public Utility Systems                   | 12.1%          | 11.0%        | 14%          | +1.9%                   | -                 |
| Energy Systems                           | 9.6%           | 10.0%        | 12%          | +2.4%                   | -                 |
| Defense & Space Systems                  | 10.0%          | 10.0%        | 12%          | +2.0%                   | -                 |
| <b>Industry &amp; Mobility</b>           | <b>7.5%</b>    | <b>10.3%</b> | <b>-</b>     | <b>-</b>                | <b>-</b>          |
| Factory Automation Systems               | 9.4%           | 11.8%        | 16%          | +6.6%                   | -                 |
| Automotive Equipment                     | 5.7%           | 8.8%         | -            | -                       | -                 |
| <b>Life</b>                              | <b>7.3%</b>    | <b>8.6%</b>  | <b>12%</b>   | <b>+4.7%</b>            | <b>-</b>          |
| Building Systems                         | 9.3%           | 10.1%        | 12%          | +2.7%                   | -                 |
| Air Conditioning Systems & Home Products | 6.4%           | 8.0%         | 12%          | +5.6%                   | -                 |
| <b>Business Platform</b>                 | <b>4.2%</b>    | <b>5.6%</b>  | <b>17%</b>   | <b>+12.8%</b>           | <b>-</b>          |
| <b>Semiconductor &amp; Device</b>        | <b>5.6%</b>    | <b>14.3%</b> | <b>20%</b>   | <b>+14.4%</b>           | <b>-</b>          |
| Others & Eliminations                    | -              | -            | -            | -                       | -                 |
| <b>FX</b>                                |                |              |              |                         |                   |
| <b>USD</b>                               | <b>151</b>     | <b>150</b>   | <b>140</b>   |                         |                   |
| <b>EUR</b>                               | <b>176</b>     | <b>175</b>   | <b>160</b>   |                         |                   |

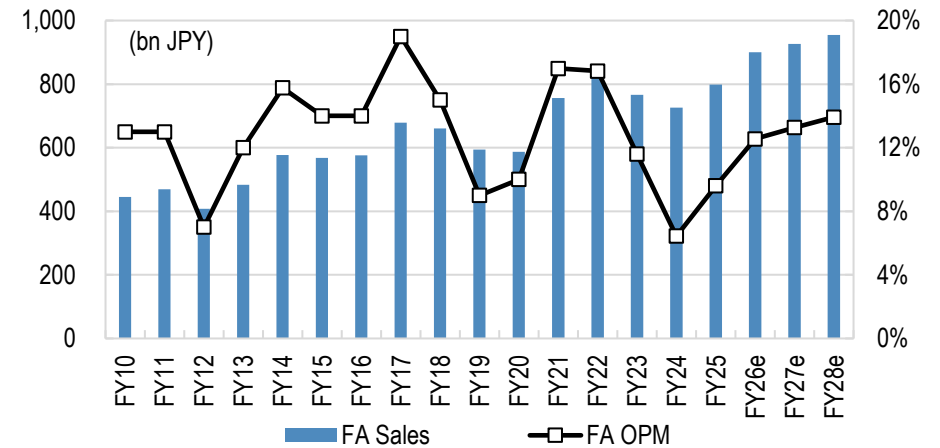
Source: Company reports, J.P. Morgan estimates.

# Mitsubishi Electric (6503): Key businesses

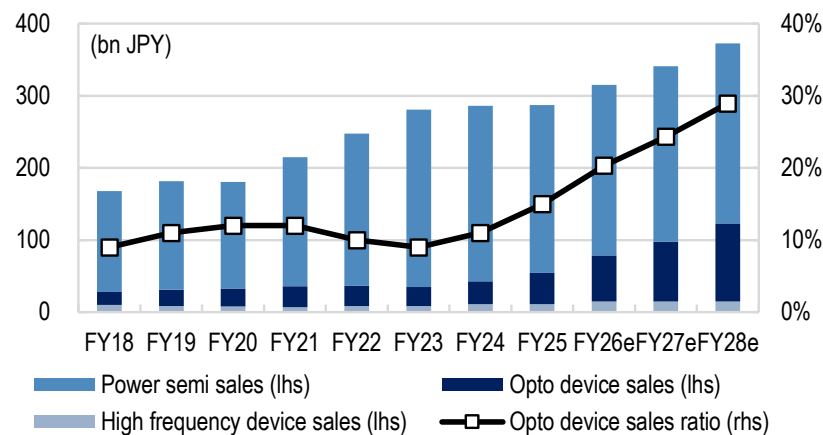
## Infrastructure Business Area operating profit



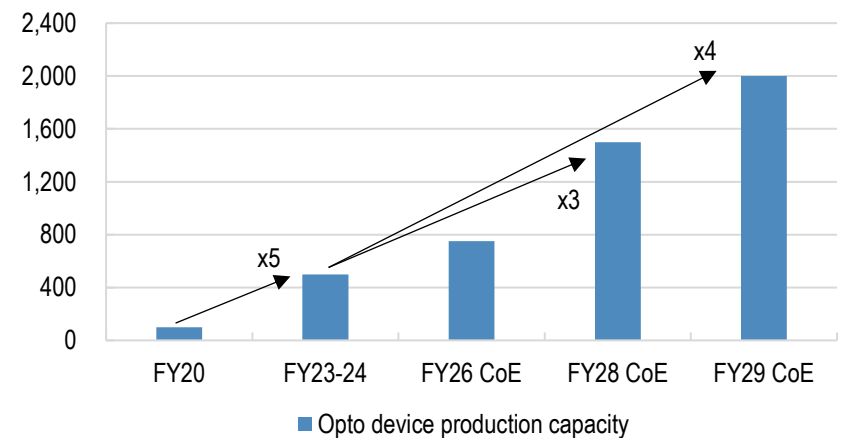
## FA system operating margin trend



## Semiconductor & Device segment sales mix



## Illustration of opto device production capacity expansion



Source: Company reports, Company comments, J.P. Morgan estimates.

Note1: J.P. Morgan estimates are as of June 2026. Note 2: The bottom right figure is based on FY2020 production capacity indexed to 100.

# Mitsubishi Electric (6503): Earnings improvement measures

## Price revisions in FA systems

| Announcement | Price revision | Product category        | Item                                      | Price hike rate |
|--------------|----------------|-------------------------|-------------------------------------------|-----------------|
| 17-Apr-2023  | Jul-2023       | Power Distribution      | Electromagnetic Switch                    | +20%            |
|              |                |                         | Electronic Meter                          | +15-30%         |
|              |                |                         | Instrument Transformer                    | +20-30%         |
|              |                |                         | Power Distribution Transformer            | +25%            |
|              |                | Rotating Machines       | Three-phase Motor                         | +25%            |
|              |                |                         | Pressure-resistant, Explosion-proof Motor | +30%            |
|              |                |                         | Vector Motor                              | +30%            |
|              |                |                         | Geared Motor                              | +20%            |
|              |                |                         | Industrial Ventilation Fan                | +25%            |
|              |                |                         | Explosion-proof Pressure Ventilation Fan  | +50%            |
| 29-Jul-2024  | Nov-2024       | Power Distribution      | Low-voltage Circuit Breaker               | +15%            |
|              |                |                         | High-voltage Circuit Breaker /            |                 |
|              |                |                         | High-voltage Electromagnetic Contactor    | +15%            |
|              |                |                         | Protective Relay                          | +15%            |
|              |                | -Control Equipment      | Multi Relay                               | +45%            |
|              |                |                         | Power Fuse                                | +15%            |
|              |                |                         | Load Break Switch / Isolator              | +15%            |
|              |                | Drive Control Equipment | Inverter (Some main units)                | +10%            |
|              |                |                         | Inverter (Some options)                   | +80%            |
|              |                |                         | Electromagnetic Clutch (Some models)      | +10-30%         |
|              |                |                         | Regenerative Resistor for AC Servo        | +80%            |
| 31-Mar-2025  | Jul-2025       | Industrial Robot        |                                           | +15%            |
|              |                |                         |                                           |                 |
|              |                | Control Equipment       | PLC (Programmable Logic Controller)       | +10-20%         |
|              |                |                         | Display Device                            | +20%            |
|              |                | Drive Equipment         | AC Servo                                  | +10%            |
|              |                |                         | Inverter                                  | +10%            |
|              |                |                         | Geared Motor                              | +20%            |
|              |                |                         | Electromagnetic Clutch                    | +40%            |
|              |                |                         | Tension Controller                        | +20%            |
|              |                | Power Distribution      | Electromagnetic Switch                    | +15-20%         |
|              |                |                         | Instrument Transformer                    | +20-25%         |
|              |                |                         | Uninterruptible Power Supply (UPS)        | +10-30%         |

## Profitability improvement initiatives

### Reduction of affiliated companies:

- Reduction of around 360 affiliated companies by about one-third
- Personnel optimization also under consideration

### Personnel optimization:

- Targeted at employees aged 53 and above and those rehired after retirement
- Approx. 10,000 employees are eligible (42,000 employees in total on a standalone basis)
- Assuming a 20% employee reduction, fixed costs to decrease by about ¥20-25 bn

**FA Systems:** A reduction of 3-4% of employees under consideration

**Business portfolio review:** See below for details.

## Business portfolio review

| Assessment                                    | ~FY24                                                                                                                                                                                                            | FY25                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Biz subject to review (size vs company total) | Sales approx. 500 bn JPY<br>(approx. 9%)                                                                                                                                                                         | Sales approx. 800 bn JPY<br>(approx. 15%)                                                                                                                                                                                                                                                                               |
| Main breakdown                                | <ul style="list-style-type: none"> <li>• Distribution transformer business</li> <li>• Car multimedia business</li> <li>• Injector business</li> <li>• LCD TV business</li> <li>• LCD display business</li> </ul> | <ul style="list-style-type: none"> <li>• Policy to make decisions within the nine business headquarters</li> <li>• Among them, the main targets are                             <ul style="list-style-type: none"> <li>• Automotive Equipment</li> <li>• FA Systems</li> <li>• Infrastructure BA</li> </ul> </li> </ul> |
| Progress                                      | <ul style="list-style-type: none"> <li>• Businesses already terminated/reduced: approx. 200 bn JPY</li> <li>• Businesses to be terminated in FY27: approx. 300 bn JPY</li> </ul>                                 | <ul style="list-style-type: none"> <li>• Decision to terminate or continue will be made within FY2025</li> <li>• Actual termination is expected to take several years after such decision</li> </ul>                                                                                                                    |

# Hitachi (6501): SOTP (FY3/28E)

|                                                                       | EBITDA           |                  |                 | EV/EBITDA   | EV                | Per share    |
|-----------------------------------------------------------------------|------------------|------------------|-----------------|-------------|-------------------|--------------|
|                                                                       | (mn JPY)         | EBIT<br>(mn JPY) | D&A<br>(mn JPY) | (x)         | (mn JPY)          | (JPY)        |
| Digital Systems & Services                                            | 631,000          | 491,000          | 140,000         | 10.0        | 6,310,000         | 1,471        |
| Energy                                                                | 774,000          | 635,000          | 139,000         | 14.0        | 10,836,000        | 2,526        |
| Mobility                                                              | 165,000          | 110,000          | 55,000          | 5.0         | 825,000           | 192          |
| Connectiv e Industries                                                | 458,000          | 372,000          | 86,000          | 12.0        | 5,496,000         | 1,281        |
| <b>Total</b>                                                          | <b>2,028,000</b> | <b>1,608,000</b> | <b>420,000</b>  | <b>11.6</b> | <b>23,467,000</b> | <b>5,470</b> |
| All Other / Corporate                                                 | -18,000          | -58,000          | 40,000          | 11.6        | -208,287          | -49          |
| Corporate v alue                                                      |                  |                  |                 |             | 23,258,713        | 5,422        |
| Net debt                                                              |                  |                  |                 |             | -38,908           | -9           |
| <b>Market v alue ex . major subsidiary / equity method investment</b> |                  |                  |                 |             | <b>23,297,621</b> | <b>5,431</b> |
| Number of outstanding shares (K)                                      |                  |                  |                 |             | 4,289,762         |              |
| <b>Hitachi Theoretical v alue (JPY)</b>                               |                  |                  |                 |             | <b>5,431</b>      |              |
| Premium                                                               |                  |                  |                 |             | 10%               |              |
| <b>Target price (JPY)</b>                                             |                  |                  |                 |             | <b>6,000</b>      |              |

# Hitachi (6501): Investment thesis, valuation, and risks

**Hitachi (Overweight; Price Target: ¥6,000)**

## **Investment Thesis**

Hitachi's Lumada digital solution platform is contributing not only to expanding its business to a broad range of industries, supported by the digital transformation of overall society and industry, but also to converting its business model to one that is based mainly on services. Hitachi also has a large number of growth opportunities related to the environment (power transmission, railway systems, industry). We look for continued share buybacks along with asset sales.

## **Valuation**

Our December 2026 price target of ¥6,000 is set 10% above the theoretical price derived from a SOTP valuation based on our FY2027 forecasts. Target multiples in our SOTP model are based on EV/EBITDA multiples of comparable companies. We apply this premium due to (1) Hitachi's business model that can leverage its strengths as a conglomerate, (2) high visibility for profit growth, and (3) management's commitment to improving capital efficiency. (The SOTP model is on the previous slide.)

## **Risks to Rating and Price Target**

### **Upside Scenario to Target Price/Rating**

- Greater-than-expected expansion in demand and margin in the power transmission and distribution business
- Industry segment growth due to increase in domestic capex
- Increase in valuation premium due to higher-than-expected profitability driven by the expansion of Lumada

### **Downside Scenario to Target Price/Rating**

- Intensified price competition in the IT services market
- Unprofitable major projects in the energy and railway areas
- Conglomerate discount due to insufficient margin improvement at Lumada

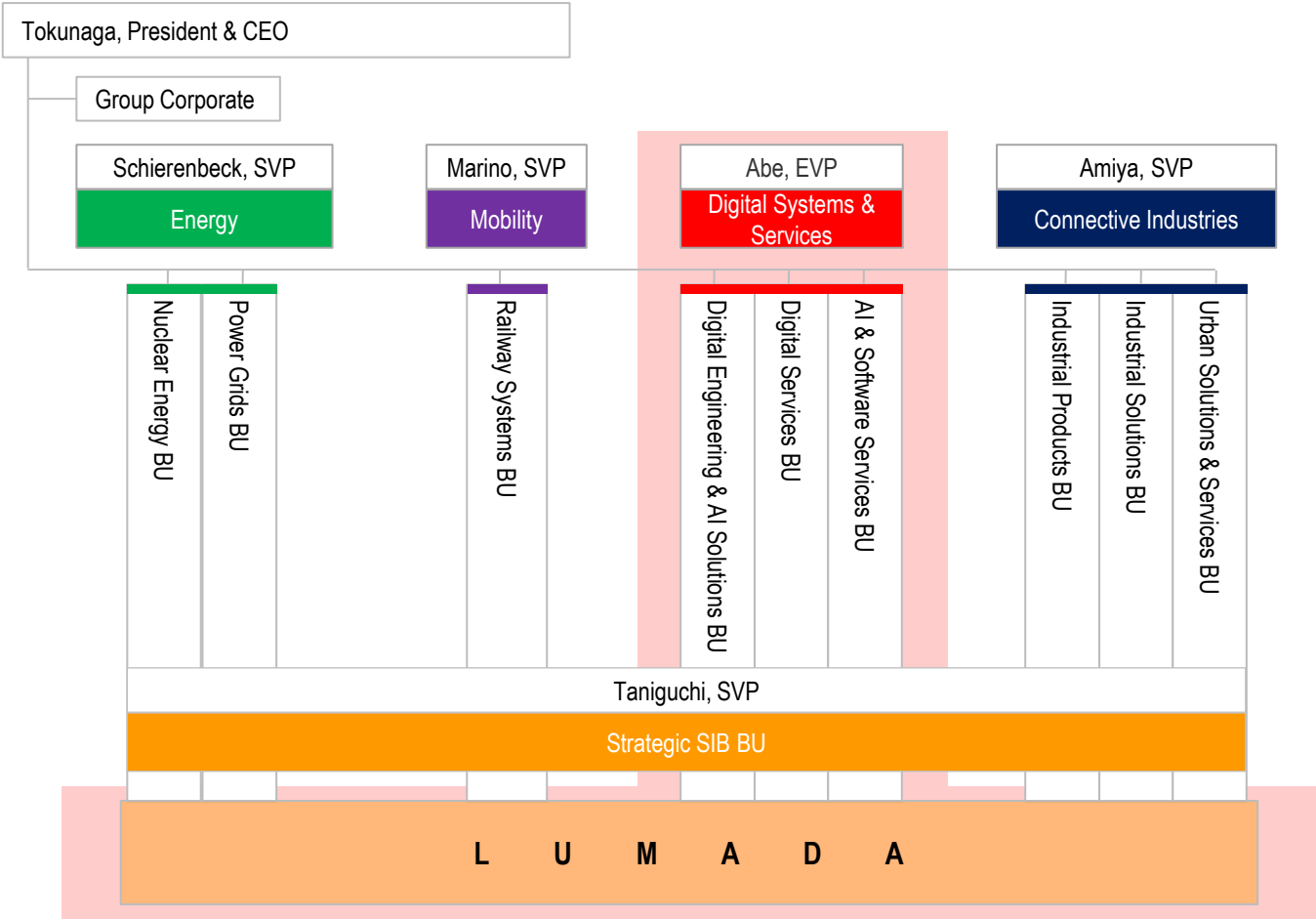


# Hitachi (6501): Earnings forecasts

| (mn JPY)                                                 | 2026/3     | 2027/3    |           |           |           |            | 2028/3     | 2029/3     | 2027/3     |
|----------------------------------------------------------|------------|-----------|-----------|-----------|-----------|------------|------------|------------|------------|
|                                                          | FY         | 1Q        | 2Q        | 3Q        | 4Q        | FY         | FY         | FY         | FY         |
|                                                          | Act        | JPMc      | JPMc      | JPMc      | JPMc      | JPMc       | JPMc       | JPMc       | CoE        |
| Sales                                                    | 10,586,781 | 2,473,000 | 2,743,000 | 2,864,000 | 3,181,000 | 11,261,000 | 11,753,000 | 12,587,000 | 11,100,000 |
| Digital Systems & Services                               | 3,068,300  | 668,000   | 778,000   | 767,000   | 950,000   | 3,163,000  | 3,272,000  | 3,390,000  | 3,190,000  |
| Energy                                                   | 3,219,900  | 858,000   | 928,000   | 1,036,000 | 1,076,000 | 3,898,000  | 4,445,000  | 4,998,000  | 3,700,000  |
| Mobility                                                 | 1,321,500  | 316,000   | 339,000   | 359,000   | 375,000   | 1,389,000  | 1,481,000  | 1,525,000  | 1,350,000  |
| Connective Industries                                    | 3,086,000  | 701,000   | 768,000   | 772,000   | 850,000   | 3,091,000  | 3,295,000  | 3,414,000  | 3,150,000  |
| Others                                                   | 531,000    | 110,000   | 120,000   | 120,000   | 120,000   | 470,000    | 10,000     | 10,000     | 475,000    |
| Corporate, elimination                                   | -640,100   | -180,000  | -190,000  | -190,000  | -190,000  | -750,000   | -750,000   | -750,000   | -765,000   |
| Adjusted OP                                              | 1,199,275  | 250,000   | 314,000   | 372,000   | 429,000   | 1,365,000  | 1,580,000  | 1,770,000  | 1,315,000  |
| Digital Systems & Services                               | 457,100    | 82,000    | 110,000   | 118,000   | 164,000   | 474,000    | 505,000    | 535,000    | 480,000    |
| Energy                                                   | 366,600    | 99,000    | 114,000   | 139,000   | 143,000   | 495,000    | 635,000    | 760,000    | 458,000    |
| Mobility                                                 | 78,100     | 22,000    | 24,000    | 27,000    | 27,000    | 100,000    | 125,000    | 140,000    | 100,000    |
| Connective Industries                                    | 327,500    | 65,000    | 84,000    | 106,000   | 108,000   | 363,000    | 375,000    | 395,000    | 355,000    |
| Others                                                   | 22,900     | 2,000     | 2,000     | 2,000     | 4,000     | 10,000     | 10,000     | 10,000     | 10,000     |
| Corporate, elimination                                   | -53,100    | -20,000   | -20,000   | -20,000   | -17,000   | -77,000    | -70,000    | -70,000    | -88,000    |
| EBIT                                                     | 1,274,049  | 244,000   | 307,000   | 366,000   | 408,000   | 1,325,000  | 1,550,000  | 1,740,000  | 1,275,000  |
| Digital Systems & Services                               | 342,600    | 79,000    | 106,000   | 115,000   | 160,000   | 460,000    | 491,000    | 521,000    | 466,000    |
| Energy                                                   | 386,900    | 99,000    | 114,000   | 139,000   | 133,000   | 485,000    | 635,000    | 760,000    | 448,000    |
| Mobility                                                 | 63,200     | 19,000    | 21,000    | 24,000    | 21,000    | 85,000     | 110,000    | 125,000    | 85,000     |
| Connective Industries                                    | 475,700    | 65,000    | 84,000    | 106,000   | 105,000   | 360,000    | 372,000    | 392,000    | 352,000    |
| Others                                                   | 21,400     | 4,000     | 4,000     | 4,000     | 8,000     | 20,000     | 20,000     | 20,000     | 20,000     |
| Corporate, elimination                                   | -15,900    | -22,000   | -22,000   | -22,000   | -19,000   | -85,000    | -78,000    | -78,000    | -96,000    |
| Adj. EBITA ( Adj. OP + acquisition-related amortization) | 1,141,845  | 277,000   | 342,000   | 398,000   | 443,000   | 1,460,000  | 1,638,800  | 1,820,700  | 1,420,000  |
| Digital Systems & Services                               | 477,100    | 87,000    | 115,000   | 123,000   | 169,000   | 494,000    | 525,000    | 555,000    | 500,000    |
| Energy                                                   | 416,000    | 110,500   | 125,500   | 149,500   | 153,500   | 539,000    | 667,000    | 792,000    | 500,000    |
| Mobility                                                 | 108,100    | 28,500    | 30,500    | 33,500    | 33,500    | 126,000    | 135,800    | 142,700    | 127,000    |
| Connective Industries                                    | 340,300    | 69,000    | 88,000    | 110,000   | 112,000   | 379,000    | 391,000    | 411,000    | 371,000    |
| Others                                                   | 22,900     | 2,000     | 3,000     | 2,000     | 3,000     | 10,000     | 10,000     | 10,000     | 10,000     |
| Corporate, elimination                                   | -53,100    | -20,000   | -20,000   | -20,000   | -28,000   | -88,000    | -90,000    | -90,000    | -88,000    |
| Profit before tax (continuing operations)                | 1,273,109  | --        | --        | --        | --        | 1,315,000  | 1,540,000  | 1,730,000  | 1,257,000  |
| Net income                                               | 802,368    | --        | --        | --        | --        | 885,000    | 1,046,000  | 1,182,000  | 850,000    |
| Capex (Finished basis)                                   | 473,900    | --        | --        | --        | --        | 518,000    | 525,000    | 525,000    | 511,000    |
| D&A (Tangible fixed assets)                              | 251,100    | --        | --        | --        | --        | 255,000    | 258,000    | 260,000    | 254,000    |
| R&D                                                      | 290,300    | --        | --        | --        | --        | 203,000    | 202,000    | 202,000    | 202,000    |
| Key financial indicators                                 |            |           |           |           |           |            |            |            |            |
| Adjusted OPM                                             | 11.3%      |           |           |           |           | 12.1%      | 13.4%      | 14.1%      | 11.8%      |
| ROE                                                      | 12.9%      |           |           |           |           | 13.4%      | 13.4%      | 13.4%      |            |
| Capital adequacy ratio                                   | 43.7%      |           |           |           |           | 43.5%      | 44.2%      | 45.2%      |            |
| Net Debt / Equity ratio                                  | -0.0       |           |           |           |           | -0.0       | -0.0       | 0.0        |            |
| Net Debt / EBITDA ratio                                  | -0.7       |           |           |           |           | -0.4       | -0.1       | 0.2        |            |
| Dividend payout ratio                                    | 28.0%      |           |           |           |           | 27.8%      | 23.0%      | 19.8%      |            |
| Net debt                                                 | -314,443   |           |           |           |           | -183,105   | -38,908    | 95,749     |            |
| Cash and cash equivalents                                | 1,323,480  |           |           |           |           | 1,192,142  | 1,047,945  | 913,288    |            |
| Interest-bearing debt                                    | 1,009,037  |           |           |           |           | 1,009,037  | 1,009,037  | 1,009,037  |            |
| Shareholders' equity                                     | 6,568,369  |           |           |           |           | 6,615,415  | 6,868,926  | 7,258,436  |            |
| Total assets                                             | 15,041,246 |           |           |           |           | 15,210,580 | 15,526,416 | 16,060,826 |            |
| CF from operating activities                             | 1,668,061  |           |           |           |           | 1,264,616  | 1,323,292  | 1,332,833  |            |
| CF from investing activities                             | -341,553   |           |           |           |           | -558,000   | -675,000   | -675,000   |            |
| CF from financial activities                             | -971,037   |           |           |           |           | -837,954   | -792,489   | -792,489   |            |
| FCF                                                      | 1,326,508  |           |           |           |           | 706,616    | 648,292    | 657,833    |            |

Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of June 2026.

# Hitachi (6501): Business portfolio



Source: Company reports, J.P. Morgan.  
Note 1: Business Structure as of April 1, 2026. Note 2: SIB stands for Social Innovation Business.

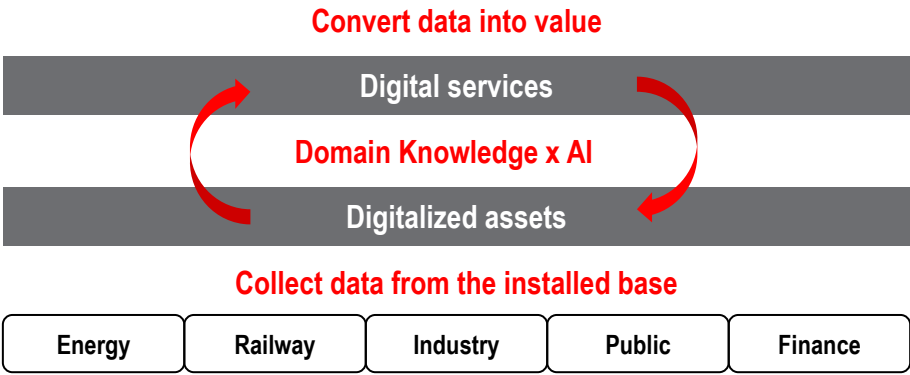
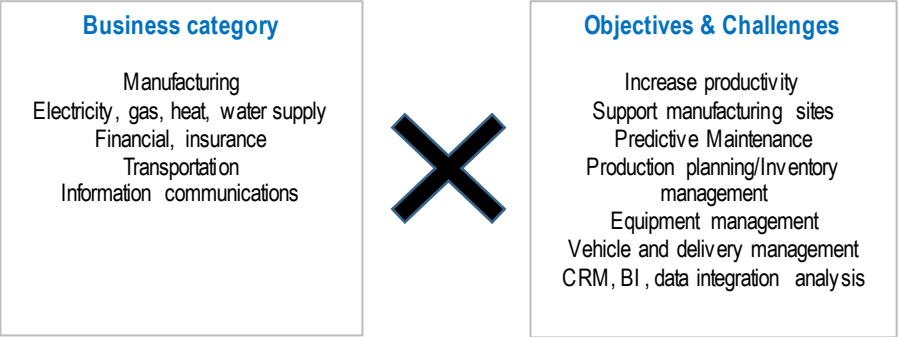
# Hitachi (6501): Medium-term plan

|                            |               | As of June 2025 | Updated in<br>Jun 2026 | Updated in<br>Oct 2025 | Updated in<br>Jun 2026 |
|----------------------------|---------------|-----------------|------------------------|------------------------|------------------------|
| (JPY bn)                   | FY3/26<br>CoE | FY3/28<br>MTP   | FY3/28<br>MTP          | FY3/31<br>L-T target   | FY3/31<br>L-T target   |
| <b>Segment breakdown</b>   |               |                 |                        |                        |                        |
|                            | <b>(YoY)</b>  | <b>(CAGR)</b>   |                        |                        |                        |
| <b>Revenue growth</b>      | <b>7.0%</b>   | <b>7-9%</b>     |                        |                        |                        |
| Digital Systems & Services | 4.0%          | 7-9%            |                        |                        |                        |
| Energy                     | 21.0%         | 11-13%          | 15-17%                 |                        |                        |
| (o/w Hitachi Energy)       |               |                 | 19%                    | 13-15%                 | 15%                    |
| Mobility                   | 11.0%         | 7-9%            | 11%                    |                        | 11% +                  |
| Connective Industries      | -1.0%         | 6-8%            |                        |                        |                        |
| <b>Adj. EBITA margin</b>   | <b>12.0%</b>  | <b>13-15%</b>   |                        |                        |                        |
| Digital Systems & Services | 14.8%         | 16% +           |                        |                        |                        |
| Energy                     | 12.6%         | 12% +           | 14% +                  |                        |                        |
| (o/w Hitachi Energy)       |               |                 | 13-15%                 | 16-20%                 | 16-20%                 |
| Mobility                   | 8.2%          | 11% +           | 11% +                  |                        | 13-14%                 |
| Connective Industries      | 10.9%         | 13% +           |                        |                        |                        |
| <b>ROIC</b>                | <b>11.8%</b>  | <b>12-13%</b>   |                        |                        |                        |
| Digital Systems & Services | 10.3%         | 11-13%          |                        |                        |                        |
| Energy                     | 15.1%         | 14%             | 20% +                  |                        |                        |
| (o/w Hitachi Energy)       |               |                 |                        | 25-30%                 | 25-30%                 |
| Mobility                   | 7.5%          | 14%             | 14%                    |                        |                        |
| Connective Industries      | 10.8%         | 11-13%          |                        |                        |                        |
| <b>Lumada sales ratio</b>  | <b>39%</b>    | <b>50%</b>      |                        |                        |                        |
| Digital Systems & Services | 60%           | 65%             |                        |                        |                        |
| Energy                     | 24%           | 30%             | 30%                    |                        |                        |
| Mobility                   | 32%           | 40%             | 40%                    |                        |                        |
| Connective Industries      | 41%           | 45%             |                        |                        |                        |

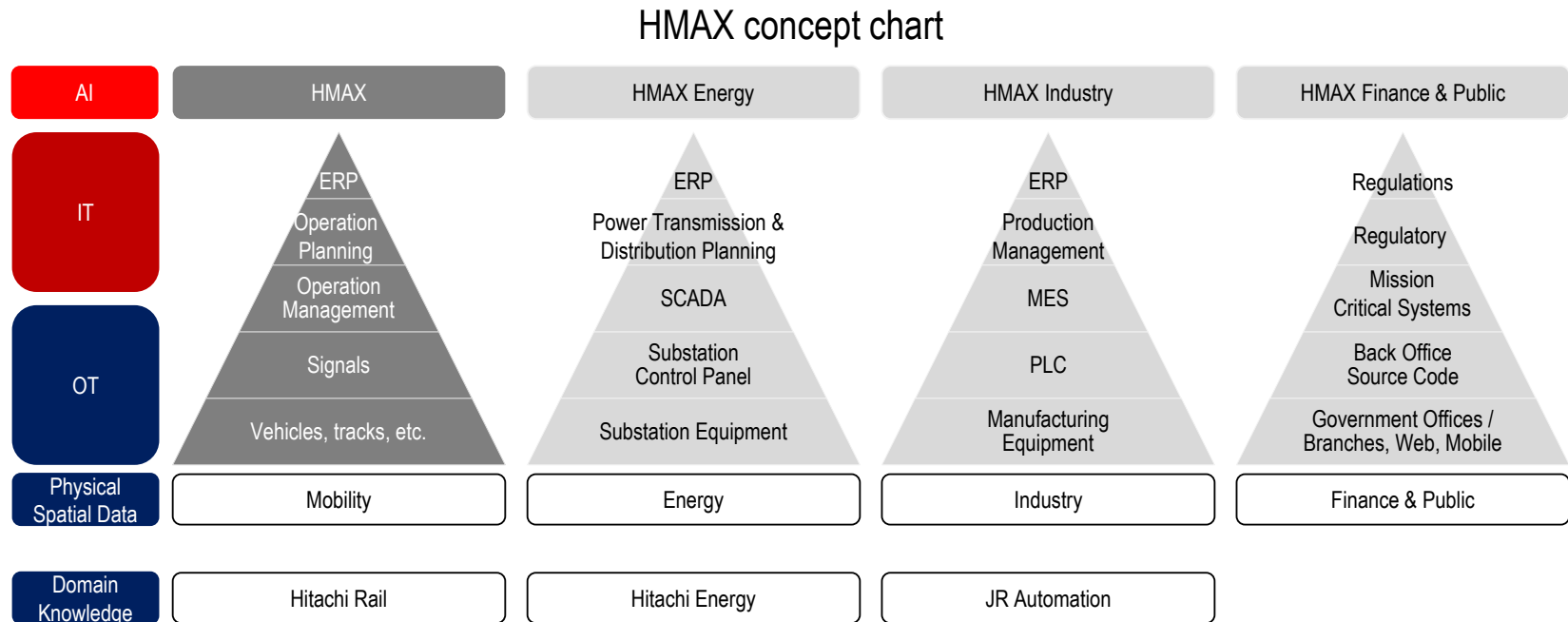
Source: Company reports, J.P. Morgan estimates.

Note: Medium-term plan ROIC target for Mobility excludes PPA and integration costs. With these costs included, the ROIC target for Mobility is 12%.

# Hitachi (6501): Lumada



# Hitachi (6501): HMAX



## Components of HMAX

|                  |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Data             | Data collected from digitalized assets. Forms a data platform to maximize the power of HMAX by incorporating vast amounts of data collected through sensors and control and operation systems from assets, such as power transmission and distribution networks, railways, and manufacturing facilities                                                                                                                                                                                                                                                                                                                                                            |
| Domain knowledge | Creates an AI-compatible model tailored to specific applications by applying Hitachi's deep insights into systems and equipment that perform physical actions, knowledge accumulated through the operation and maintenance of these, and logic for decision making, to data                                                                                                                                                                                                                                                                                                                                                                                        |
| AI               | Utilizes a wide range of AI technologies, from data recognition to insight creation and autonomous execution <ul style="list-style-type: none"> <li><b>Perception AI:</b> Analyzes acoustic and vibration sensor data to detect and report abnormalities in railway infrastructure</li> <li><b>Generative AI:</b> Used to accelerate generation of energy optimization algorithms for power transmission &amp; distribution networks</li> <li><b>Agentic AI:</b> Autonomously plans and executes optimal maintenance schedule</li> <li><b>Physical AI:</b> Real-time control of power transmission and distribution networks and smart building systems</li> </ul> |

# Hitachi (6501): GlobalLogic service examples by industry

## Global footprint of GlobalLogic

- Number of employee: 20,000 (Hitachi Vantara, Hitachi's main overseas base, 11,000)
- Collaborative Creation Hubs (Designing Studios): 8 sites
- Delivery bases (Engineering Center): 30 sites
- Number of Existing Customer: More than 400 companies
- FY20 Revenue \$928m, Adj. EBITDA margin 23.9%

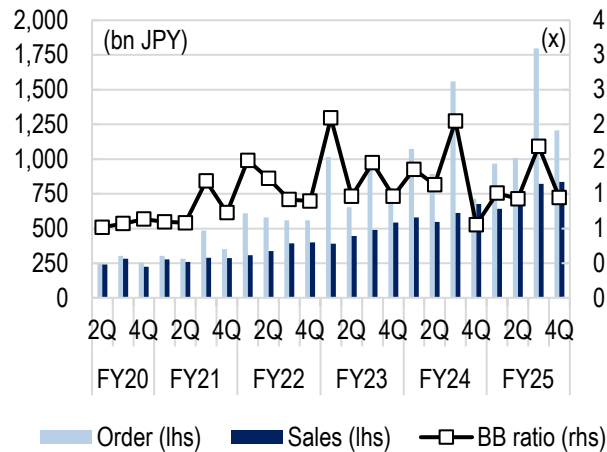
|           | Automotive                                                                                                                                                                                                                                 | Communications                                                                                                                                        | Consumer & Retail                                                                                                                                             | Healthcare                                                                                                                                                                                                                                                                                         |
|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Services  | Digital Cockpit<br>Electronic Control Units<br>Virtual Maintenance Training<br>Connectivity and Telematics<br>ADAS<br>Design & Styling                                                                                                     | OSS/BSS<br>Machine Learning for Telecom<br>5G, IoT and Security at the Edge<br>NFV/SDN and cloud Orchestration<br>Wireless<br>Test & Measurement      | Loyalty and Personalization<br>In-Store automation<br>Omni-Channel                                                                                            | Patient journey & systems of engagement<br>End-to-end design, development, testing<br>Product optimization & localization<br>Data collection, management, analytics<br>mHealth & connected care<br>Software as a Medical Device (SaMD)<br>Formal verification & quality oversight (QMS)            |
| Customers | Volvo<br>Continental                                                                                                                                                                                                                       | Sprint, DIRECTV, Roku,<br>Adobe, ERICSSON                                                                                                             | Zappos                                                                                                                                                        | Cochlear, BIOCLINICA                                                                                                                                                                                                                                                                               |
|           | Manufacturing                                                                                                                                                                                                                              | Media                                                                                                                                                 | Technology                                                                                                                                                    | Banking, financial services and insurance                                                                                                                                                                                                                                                          |
| Services  | Embedded, Digital Twin, Blockchain, AI/ML<br>Warehouse Automation & Predictive Maintenance<br>Enterprise Asset management<br>Smart Energy & Utilities Solutions<br>Remote Diagnostics & Field Service Solutions<br>Supply Chain Management | Global scale & expansion<br>Migration to the cloud<br>UI/UX design<br>DevOps & test automation<br>Solution security & digital rights management (DRM) | Digital Platform Enablement<br>Data Analytics<br>Architecture<br>Scale Engineering Teams<br>Data Monetization<br>Intelligent interfaces<br>Product Management | DX, technical advisory & prototyping / MVP development<br>Legacy modernization & migration<br>Omni-channel customer experience design<br>Business analytics / data analysis<br>AI / ML / AR / cloud platforms<br>Cloud/ SOA/ API microservices advisory<br>Secured infrastructure & transformation |
| Customers | Panasonic                                                                                                                                                                                                                                  | The Economist                                                                                                                                         | Texas Instruments,<br>harmonic, ORACLE, SAMSUNG,<br>innovative interfaces, HP                                                                                 |                                                                                                                                                                                                                                                                                                    |

Source: Compiled by J.P. Morgan based on GlobalLogic's website (as of FY2020).

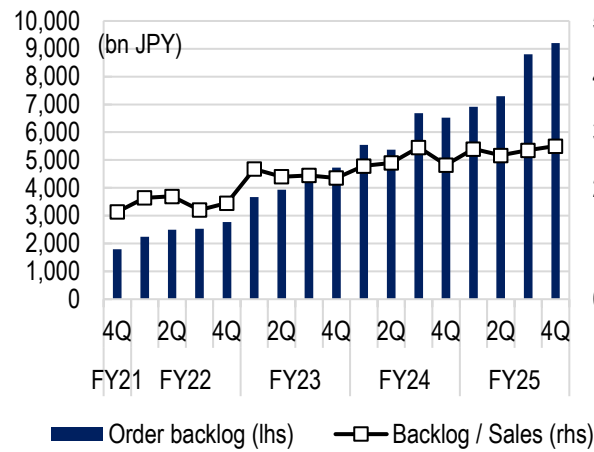
Note: OSS: Operation Support System, BSS: Business Support System, NFV: Network Function Virtualization, SDN: Software-Defined Networking, SoE: System of Engagement, QMS: Quality Management System, MVP: Minimum Viable Product, SOA: Service Oriented Architecture, API: Application Programming Interface

# Hitachi (6501): Green Energy and Mobility order trend

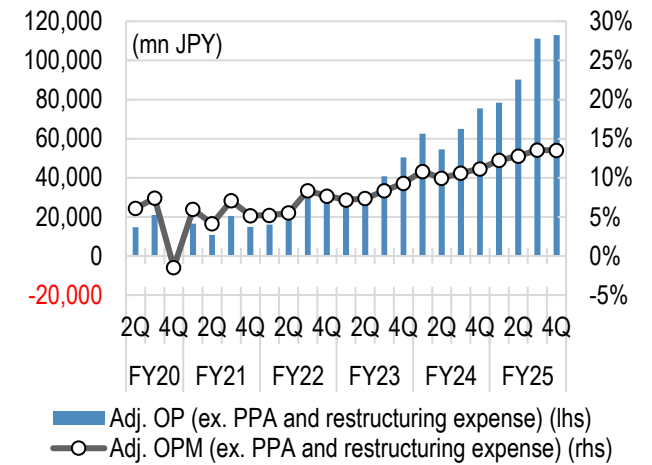
Power Grid BU's order and sales trend



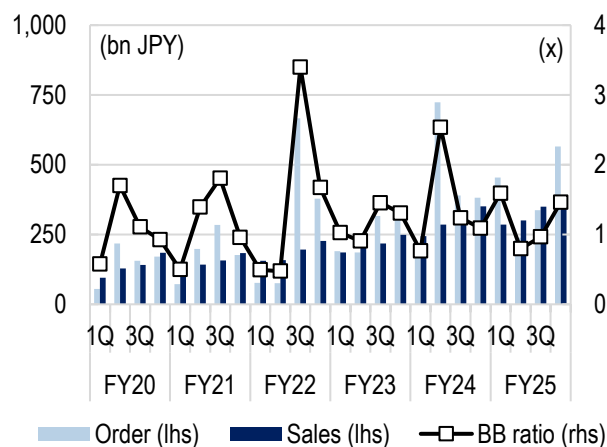
Backlog of Power Grid BU's orders



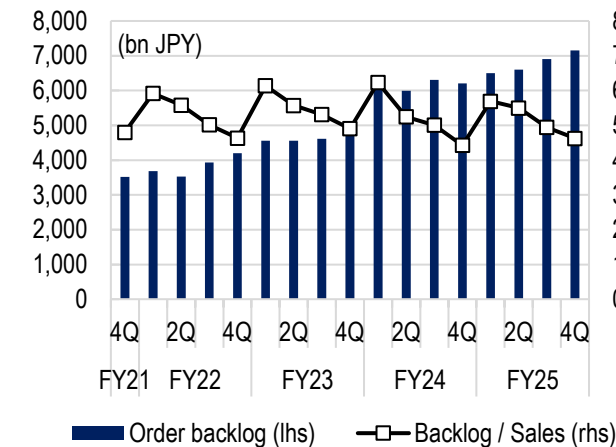
Power Grid BU's adjusted operating profit trend



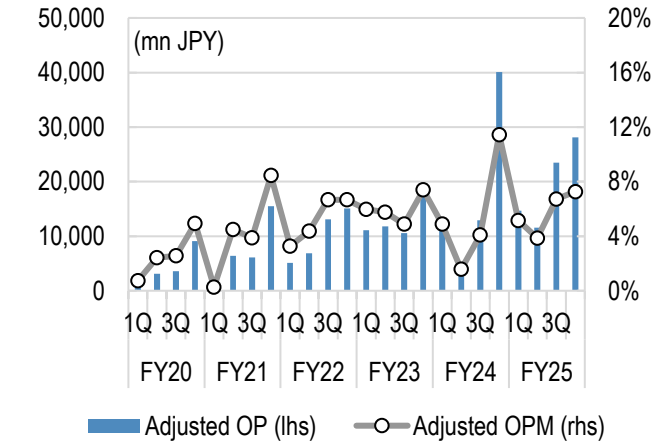
Railway BU's order and sales trend



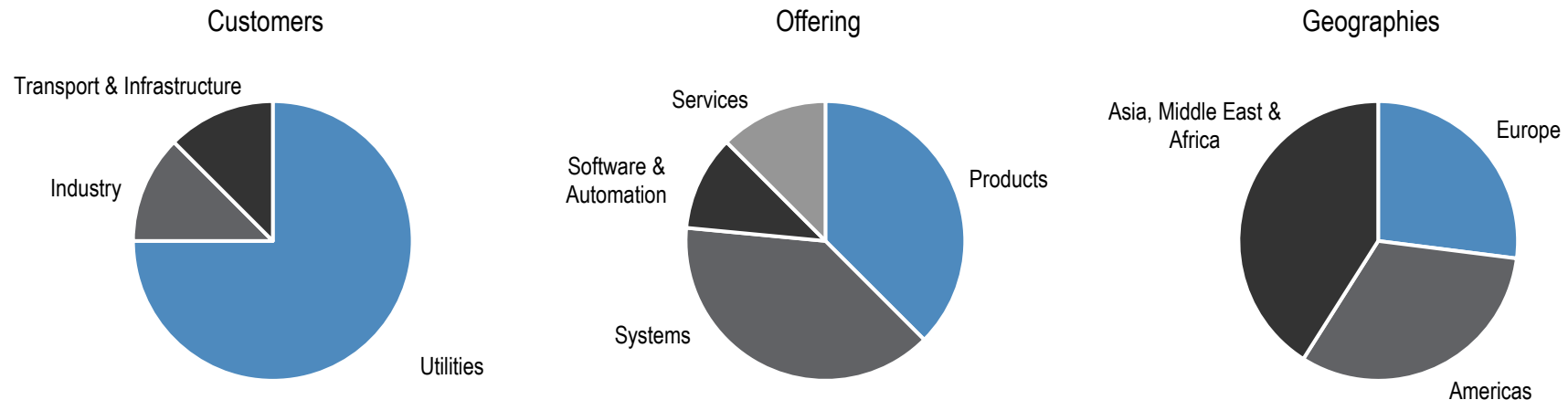
Backlog of Railway BU's orders



Railway BU's adjusted operating profit trend



# Hitachi (6501): Competitiveness in power grid business



|                       |                                                                                                                                                                                                                                                    |                                                                                                                                                                                                             |                                                                                                                                                                                                                     |                                                                                                                                                                                                                          |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| MKT share             | #1                                                                                                                                                                                                                                                 | #1                                                                                                                                                                                                          | #1                                                                                                                                                                                                                  | #1                                                                                                                                                                                                                       |
| % of FY23 Sales       | <b>Grid automation (11%)</b> <ul style="list-style-type: none"> <li>Automation products, systems and services</li> <li>SCADA systems</li> <li>Enterprise software</li> <li>Communication networks</li> </ul>                                       | <b>Grid integration (25%)</b> <ul style="list-style-type: none"> <li>HVDC power transmission systems</li> <li>FACTS &amp; electricity quality systems and services</li> <li>Power semiconductors</li> </ul> | <b>High voltage (21%)</b> <ul style="list-style-type: none"> <li>High-voltage switch gear and components (GIS, AIS)<br/>Max. AC 1,200 kV<br/>Max. DC 1,100 kV</li> <li>GCB</li> <li>Maintenance services</li> </ul> | <b>Transformers (43%)</b> <ul style="list-style-type: none"> <li>Electric power transformers<br/>Max. AC 1,200 kV<br/>Max. DC 1,100 kV</li> <li>Power distribution transformers</li> <li>Maintenance services</li> </ul> |
| Grid Automation       | <ul style="list-style-type: none"> <li>Supplies products and services to 50% of top 250 electric power companies in the world</li> <li>Software solutions manage roughly ¥4 trillion worth of mission-critical infrastructure</li> </ul>           |                                                                                                                                                                                                             |                                                                                                                                                                                                                     |                                                                                                                                                                                                                          |
| Grid Integration      | <ul style="list-style-type: none"> <li>Industry leader in FACT and electricity quality</li> <li>Industry leader in delivering 200GW and higher HVDC systems</li> </ul>                                                                             |                                                                                                                                                                                                             |                                                                                                                                                                                                                     |                                                                                                                                                                                                                          |
| High-voltage products | <ul style="list-style-type: none"> <li>Company products used in one of every four high-voltage switchgears installed around the world</li> <li>Provides services 24 hours a day, 365 days a year at over 100 locations around the world</li> </ul> |                                                                                                                                                                                                             |                                                                                                                                                                                                                     |                                                                                                                                                                                                                          |
| Transformers          | <ul style="list-style-type: none"> <li>Transformers, components and services for all types of electric power and power distribution needs</li> <li>Around 60 plants and 30 service centers around the world</li> </ul>                             |                                                                                                                                                                                                             |                                                                                                                                                                                                                     |                                                                                                                                                                                                                          |

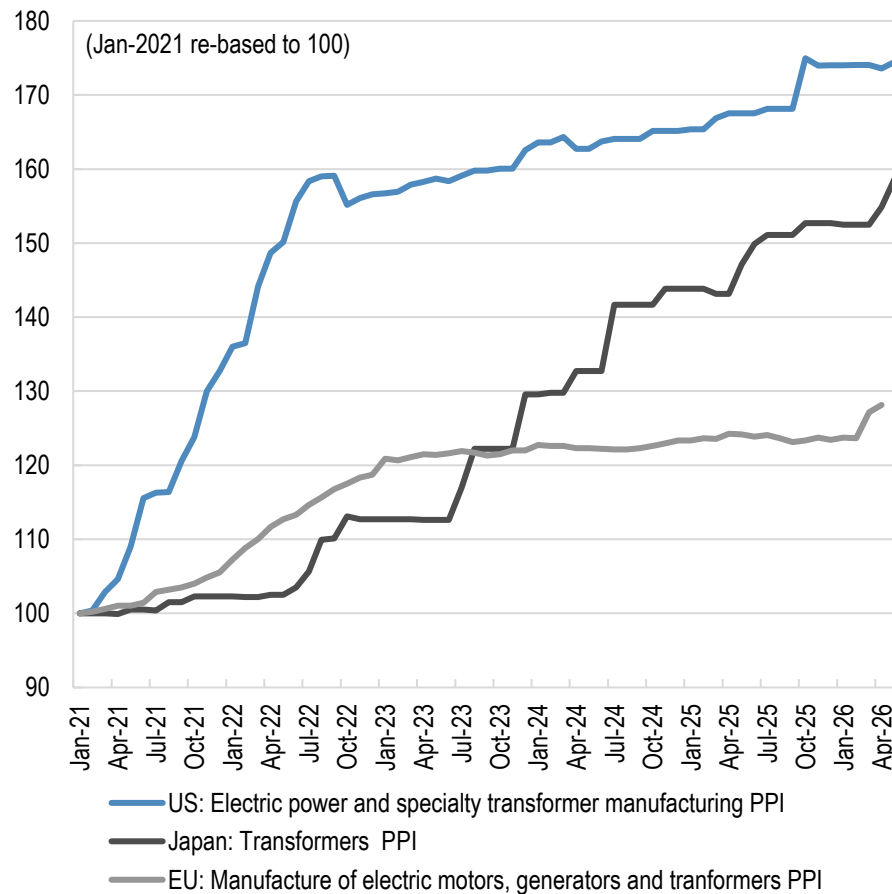
Source: Company reports, J.P. Morgan.

Note 1: Pie charts are based on FY2022 orders. Note 2: Market share of grid integration is based on Hitachi Energy's share in power conversion technologies.

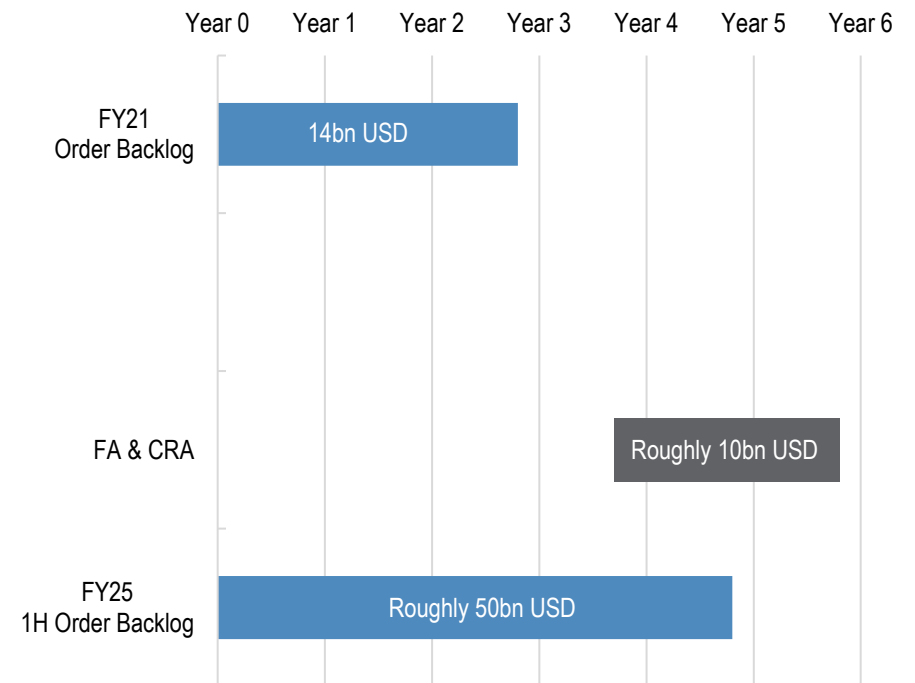


# Hitachi (6501): Power grid business

Electrical equipment PPI in each region



Hitachi Energy: OBL growth & Longer lead time



Source: Company Reports, Bank of Japan, St. Louis Fed, Eurostat, J.P. Morgan  
 Note: FA and CRA stand for frame agreement and capacity reservation agreement, respectively.

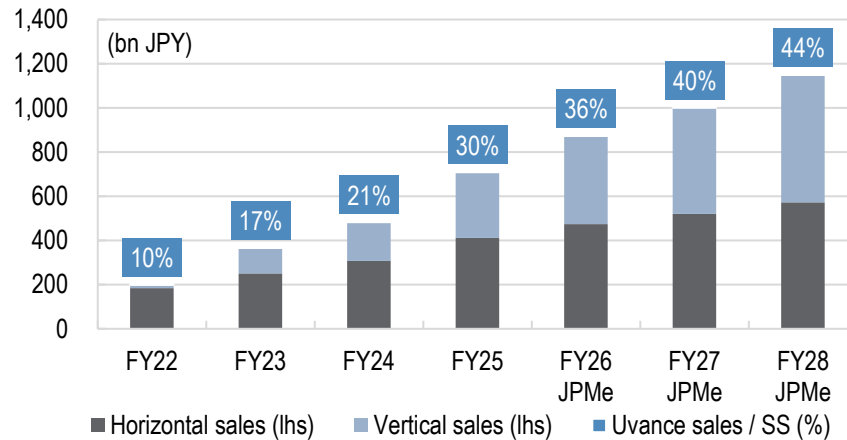
# Fujitsu (6702): Earnings forecasts

| (mn JPY)                                             | 2026/3  |         |         |           |           | 2027/3  |         |         |           |           | 2028/3    | 2029/3    | 2027/3    |
|------------------------------------------------------|---------|---------|---------|-----------|-----------|---------|---------|---------|-----------|-----------|-----------|-----------|-----------|
|                                                      | 1Q      | 2Q      | 3Q      | 4Q        | FY        | 1Q      | 2Q      | 3Q      | 4Q        | FY        | FY        | FY        | FY        |
|                                                      | Act     | Act     | Act     | Act       | Act       | JPM     | JPM     | JPM     | JPM       | JPM       | JPM       | JPM       | CoE       |
| Sales                                                | 749,859 | 816,683 | 884,642 | 1,051,787 | 3,502,971 | 750,000 | 808,000 | 869,000 | 1,047,000 | 3,474,000 | 3,554,000 | 3,641,000 | 3,510,000 |
| Service Solutions                                    | 514,617 | 551,889 | 591,221 | 689,205   | 2,346,932 | 545,000 | 576,000 | 609,000 | 724,000   | 2,454,000 | 2,527,000 | 2,621,000 | 2,470,000 |
| Hardware Solutions                                   | 202,115 | 222,698 | 248,124 | 336,920   | 1,009,857 | 187,000 | 211,000 | 235,000 | 312,000   | 945,000   | 932,000   | 917,000   | 960,000   |
| Ubiquitous Solutions                                 | 47,987  | 65,202  | 64,733  | 51,883    | 229,805   | 38,000  | 46,000  | 45,000  | 36,000    | 165,000   | 165,000   | 173,000   | 160,000   |
| Elimination                                          | -14,860 | -23,106 | -19,436 | -26,221   | -83,623   | -20,000 | -25,000 | -20,000 | -25,000   | -90,000   | -70,000   | -70,000   | -80,000   |
| Adjusted OP                                          | 35,119  | 86,208  | 107,836 | 161,426   | 390,589   | 45,000  | 81,000  | 115,000 | 184,000   | 425,000   | 485,000   | 560,000   | 425,000   |
| Service Solutions                                    | 47,842  | 71,780  | 96,478  | 145,364   | 361,464   | 61,000  | 83,000  | 114,000 | 172,000   | 430,000   | 485,000   | 555,000   | 430,000   |
| Hardware Solutions                                   | 1,337   | 11,188  | 24,559  | 29,928    | 67,012    | 4,000   | 11,000  | 19,000  | 31,000    | 65,000    | 70,000    | 70,000    | 62,000    |
| Ubiquitous Solutions                                 | 8,241   | 13,503  | 9,737   | 7,344     | 38,825    | 5,000   | 7,000   | 7,000   | 6,000     | 25,000    | 25,000    | 30,000    | 28,000    |
| Elimination                                          | -22,301 | -10,263 | -22,938 | -21,210   | -76,712   | -25,000 | -20,000 | -25,000 | -25,000   | -95,000   | -95,000   | -95,000   | -95,000   |
| Adjustment                                           | -1,633  | -14,349 | -2,180  | -24,098   | -42,260   | 0       | 0       | 0       | -10,000   | -10,000   | 0         | 0         | -10,000   |
| OP                                                   | 33,486  | 71,859  | 105,656 | 137,328   | 348,329   | 45,000  | 81,000  | 115,000 | 174,000   | 415,000   | 485,000   | 560,000   | 415,000   |
| Net income                                           | 174,507 | 91,147  | 82,450  | 106,532   | 454,636   |         |         |         |           | 326,000   | 379,000   | 435,000   | -         |
| Attributable to owners of the parent                 | 171,761 | 90,241  | 81,691  | 105,715   | 449,408   |         |         |         |           | 316,000   | 369,000   | 425,000   | -         |
| Non-controlling interests                            | 2,746   | 906     | 759     | 817       | 5,228     |         |         |         |           | 10,000    | 10,000    | 10,000    | -         |
| Net income attributable to owners of the parent      | 171,761 | 90,241  | 81,691  | 105,715   | 449,408   |         |         |         |           | 316,000   | 369,000   | 425,000   | 310,000   |
| Adjustments                                          | 141,982 | 32,100  | -1,809  | -21,159   | 151,132   |         |         |         |           | -10,000   | 0         | 0         | -10,000   |
| Adj. net income attributable to owners of the parent | 29,779  | 58,100  | 83,500  | 126,876   | 298,276   |         |         |         |           | 326,000   | 369,000   | 425,000   | 320,000   |
| Key financial indicators                             |         |         |         |           |           |         |         |         |           |           |           |           |           |
| Adjusted OPM                                         | 4.7%    | 10.6%   | 12.2%   | 15.3%     | 11.2%     | 6.0%    | 10.0%   | 13.2%   | 17.6%     | 12.2%     | 13.6%     | 15.4%     | 12.1%     |
| ROE                                                  |         |         |         |           | 23.9%     |         |         |         |           | 15.4%     | 17.2%     | 18.5%     |           |
| Equity ratio                                         |         |         |         |           | 59.6%     |         |         |         |           | 60.8%     | 62.2%     | 63.9%     |           |
| Net Debt / Equity ratio                              |         |         |         |           | -0.2      |         |         |         |           | -0.2      | -0.2      | -0.2      |           |
| Net Debt / EBITDA ratio                              |         |         |         |           | -2.2      |         |         |         |           | -3.1      | -3.6      | -4.4      |           |
| Dividend pay out ratio                               |         |         |         |           | 19.3%     |         |         |         |           | 29.4%     | 25.2%     | 25.9%     |           |
| Net debt                                             |         |         |         |           | -317,272  |         |         |         |           | -401,763  | -464,721  | -574,622  |           |
| Cash and cash equivalents                            |         |         |         |           | 450,366   |         |         |         |           | 534,857   | 597,815   | 707,716   |           |
| Interest-bearing debt                                |         |         |         |           | 133,094   |         |         |         |           | 133,094   | 133,094   | 133,094   |           |
| Shareholders' equity                                 |         |         |         |           | 2,024,915 |         |         |         |           | 2,087,900 | 2,213,844 | 2,387,329 |           |
| Total assets                                         |         |         |         |           | 3,399,745 |         |         |         |           | 3,434,397 | 3,561,985 | 3,737,442 |           |
| CF from operating activities                         |         |         |         |           | 338,130   |         |         |         |           | 527,506   | 496,014   | 551,416   |           |
| CF from investing activities                         |         |         |         |           | 144,491   |         |         |         |           | -190,000  | -190,000  | -190,000  |           |
| CF from financial activities                         |         |         |         |           | -379,748  |         |         |         |           | -253,015  | -243,056  | -251,515  |           |
| FCF                                                  |         |         |         |           | 482,621   |         |         |         |           | 337,506   | 306,014   | 361,416   |           |

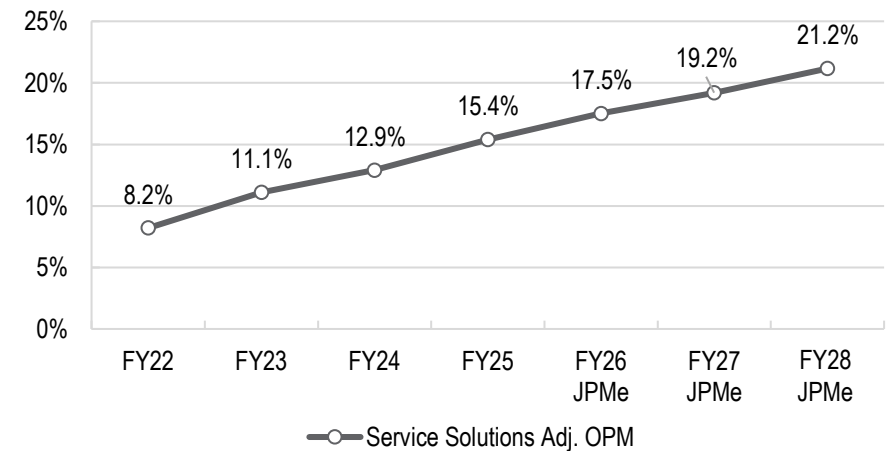
Source: Company reports, J.P. Morgan estimates. Note 1: J.P. Morgan estimates are all as of June 2026.

# Fujitsu (6702): Fujitsu Uvance

Uvance sales & Uvance to service solutions sales ratio



Service solutions adj. OPM trend

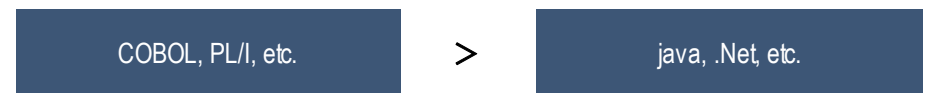


## Fujitsu Uvance

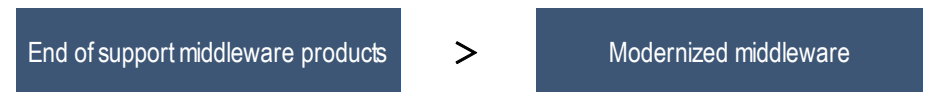
| 7 Key Focus Area              | Offering examples                                      |
|-------------------------------|--------------------------------------------------------|
| <b>Horizontal</b>             |                                                        |
| Digital Shifts                | Remote/ Hybrid Work Solution                           |
| Hybrid IT                     | Hybrid Cloud Infrastructure                            |
| <b>Business Applications:</b> | <b>3S (SAP, Salesforce, ServiceNow)</b>                |
| <b>Vertical</b>               |                                                        |
| Sustainable manufacturing     | Digital Supply Chain, Digital Engineering Chain        |
| Consumer Experience           | Omni-Channel Services, Personalized Marketing Services |
| Healthy Living                | Digital Care Platforms, Healthy Living Platform        |
| Trusted Society               | Connected Front-line Worker, Sustainable City          |

## Fujitsu Modernization

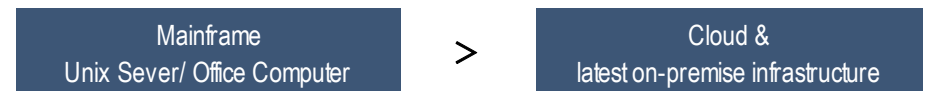
### Application asset



### Middleware Assets



### Infrastructure Assets



# NEC (6701): Earnings forecasts

| (mn JPY)                        | 2026/3         |                |                |                  |                  | 2027/3         |                |                |                  |                  | 2028/3           | 2029/3           | 2027/3           |
|---------------------------------|----------------|----------------|----------------|------------------|------------------|----------------|----------------|----------------|------------------|------------------|------------------|------------------|------------------|
|                                 | 1Q             | 2Q             | 3Q             | 4Q               | FY               | 1Q             | 2Q             | 3Q             | 4Q               | FY               | FY               | FY               | FY               |
|                                 | Act            | Act            | Act            | Act              | Act              | JPM            | JPM            | JPM            | JPM              | JPM              | JPM              | JPM              | CoE              |
| <b>Sales</b>                    | <b>715,658</b> | <b>854,121</b> | <b>852,538</b> | <b>1,160,416</b> | <b>3,582,733</b> | <b>730,000</b> | <b>897,000</b> | <b>908,000</b> | <b>1,214,000</b> | <b>3,749,000</b> | <b>3,883,000</b> | <b>4,021,000</b> | <b>3,500,000</b> |
| IT Services                     | 514,690        | 593,598        | 603,400        | 797,200          | 2,508,925        | 500,000        | 584,000        | 600,000        | 786,000          | 2,470,000        | 2,543,000        | 2,631,000        | 2,385,000        |
| Domestic IT                     | 439,300        | 514,700        | 518,700        | 702,700          | 2,175,500        | 420,000        | 500,000        | 510,000        | 685,000          | 2,115,000        | 2,178,000        | 2,255,000        | 2,035,000        |
| International (DG/DF)           | 75,400         | 78,900         | 84,700         | 94,600           | 333,500          | 80,000         | 84,000         | 90,000         | 101,000          | 355,000          | 365,000          | 376,000          | 350,000          |
| Social Infrastructure           | 172,817        | 230,206        | 215,200        | 317,100          | 935,302          | 200,000        | 283,000        | 273,000        | 383,000          | 1,139,000        | 1,200,000        | 1,250,000        | 975,000          |
| Telecom Services                | 84,200         | 92,600         | 89,400         | 124,300          | 390,500          | 99,000         | 129,000        | 126,000        | 164,000          | 518,000          | 540,000          | 550,000          | 355,000          |
| ANS                             | 88,600         | 137,600        | 125,800        | 192,800          | 544,800          | 101,000        | 154,000        | 147,000        | 219,000          | 621,000          | 660,000          | 700,000          | 620,000          |
| Others                          | 28,151         | 30,317         | 33,919         | 46,100           | 138,506          | 30,000         | 30,000         | 35,000         | 45,000           | 140,000          | 140,000          | 140,000          | 140,000          |
| <b>Non GAAP OP</b>              | <b>40,015</b>  | <b>87,578</b>  | <b>82,124</b>  | <b>187,400</b>   | <b>397,234</b>   | <b>39,000</b>  | <b>101,000</b> | <b>111,000</b> | <b>209,000</b>   | <b>460,000</b>   | <b>525,000</b>   | <b>580,000</b>   | <b>420,000</b>   |
| IT Services                     | --             | --             | --             | --               | 335,800          | 34,000         | 84,000         | 86,000         | 152,000          | 356,000          | 401,000          | 440,000          | 350,000          |
| Domestic IT                     | --             | --             | --             | --               | 302,200          | 27,000         | 75,000         | 77,000         | 137,000          | 316,000          | 359,000          | 395,000          | 312,000          |
| International (DG/DF)           | --             | --             | --             | --               | 33,700           | 7,000          | 9,000          | 9,000          | 15,000           | 40,000           | 42,000           | 45,000           | 38,000           |
| Social Infrastructure           | --             | --             | --             | --               | 83,400           | 11,000         | 28,000         | 39,000         | 73,000           | 151,000          | 164,000          | 176,000          | 127,000          |
| Telecom Services                | --             | --             | --             | --               | 29,100           | 7,000          | 14,000         | 18,000         | 32,000           | 71,000           | 74,000           | 76,000           | 48,000           |
| ANS                             | --             | --             | --             | --               | 54,400           | 4,000          | 14,000         | 21,000         | 41,000           | 80,000           | 90,000           | 100,000          | 79,000           |
| Others                          | --             | --             | --             | --               | -4,500           | -1,000         | -1,000         | -1,000         | -1,000           | -4,000           | -4,000           | -4,000           | -3,000           |
| Adjustments                     | --             | --             | --             | --               | -17,600          | -5,000         | -10,000        | -13,000        | -15,000          | -43,000          | -36,000          | -32,000          | -54,000          |
| <b>Non GAAP OP margin</b>       | <b>5.6%</b>    | <b>10.3%</b>   | <b>9.6%</b>    | <b>16.1%</b>     | <b>11.1%</b>     | <b>5.3%</b>    | <b>11.3%</b>   | <b>12.2%</b>   | <b>17.2%</b>     | <b>12.3%</b>     | <b>13.5%</b>     | <b>14.4%</b>     | <b>12.0%</b>     |
| IT Services                     |                |                |                |                  | 13.4%            | 6.8%           | 14.4%          | 14.3%          | 19.3%            | 14.4%            | 15.8%            | 16.7%            | 14.7%            |
| Domestic IT                     |                |                |                |                  | 13.9%            | 6.4%           | 15.0%          | 15.1%          | 20.0%            | 14.9%            | 16.5%            | 17.5%            | 15.3%            |
| International (DG/DF)           |                |                |                |                  | 10.1%            | 8.8%           | 10.7%          | 10.0%          | 14.9%            | 11.3%            | 11.5%            | 12.0%            | 10.9%            |
| Social Infrastructure           |                |                |                |                  | 8.9%             | 5.5%           | 9.9%           | 14.3%          | 19.1%            | 13.3%            | 13.7%            | 14.1%            | 13.0%            |
| Telecom Services                |                |                |                |                  | 7.5%             | 7.1%           | 10.9%          | 14.3%          | 19.5%            | 13.7%            | 13.7%            | 13.8%            | 13.5%            |
| ANS                             |                |                |                |                  | 10.0%            | 4.0%           | 9.1%           | 14.3%          | 18.7%            | 12.9%            | 13.6%            | 14.3%            | 12.7%            |
| Others                          |                |                |                |                  | -3.2%            | -3.3%          | -3.3%          | -2.9%          | -2.2%            | -2.9%            | -2.9%            | -2.9%            | -2.1%            |
| Adjustments                     |                |                |                |                  | -4.4%            | -12.8%         | -9.9%          | -11.7%         | -7.2%            | -9.3%            | -6.9%            | -5.5%            | -12.9%           |
| OP                              | 35,415         | 83,178         | 67,369         | 174,752          | 359,913          | 31,500         | 92,500         | 102,500        | 197,500          | 424,000          | 487,000          | 542,000          | --               |
| Non GAAP Net profit             | 22,300         | 56,300         | 64,400         | --               | 279,773          | 0              | 0              | 0              | 0                | 305,100          | 349,400          | 387,400          | 285,000          |
| Net profit                      | 19,310         | 53,520         | 69,448         | --               | 270,228          | 0              | 0              | 0              | 0                | 288,000          | 332,000          | 370,000          | --               |
| <b>Key financial indicators</b> |                |                |                |                  |                  |                |                |                |                  |                  |                  |                  |                  |
| Adjusted OPM                    | 5.8%           | 10.5%          | 8.7%           | 15.6%            | 10.8%            | 5.3%           | 11.2%          | 12.2%          | 16.9%            | 12.1%            | 13.4%            | 14.3%            |                  |
| ROE                             |                |                |                |                  | 13.0%            |                |                |                |                  | 12.4%            | 12.9%            | 12.9%            |                  |
| Net profit margin               |                |                |                |                  | 7.5%             |                |                |                |                  | 7.7%             | 8.6%             | 9.2%             |                  |
| Total asset turnover            |                |                |                |                  | 82%              |                |                |                |                  | 82%              | 80%              | 77%              |                  |
| Financial leverage              |                |                |                |                  | 2.1              |                |                |                |                  | 2.0              | 1.9              | 1.8              |                  |
| Equity ratio                    |                |                |                |                  | 49.2%            |                |                |                |                  | 51.4%            | 54.0%            | 56.5%            |                  |
| Net Debt / Equity ratio         |                |                |                |                  | -0.1             |                |                |                |                  | 0.0              | -0.1             | -0.2             |                  |
| Net Debt / EBITDA ratio         |                |                |                |                  | -0.3             |                |                |                |                  | 0.1              | -0.4             | -0.9             |                  |
| Dividend pay out ratio          |                |                |                |                  | 18.7%            |                |                |                |                  | 18.4%            | 16.0%            | 14.3%            |                  |

Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of June 2026.

# NEC (6701): Overseas IT services (DGDF), Social infrastructure

|                       | IT services (Overseas)            |                                                       |                                   |
|-----------------------|-----------------------------------|-------------------------------------------------------|-----------------------------------|
| (JPY mn)              | SWS-UK                            | KMD                                                   | Avaloq                            |
| Headquarters          | United Kingdom                    | Denmark                                               | Switzerland                       |
| Acquisition           | Jan 2018                          | Feb 2019                                              | Dec 2022                          |
| Acquisition amount    | 71,300                            | 136,000                                               | 236,000                           |
| Business overview     | IT services for the public sector | IT services for government and financial institutions | IT services for wealth management |
| FY2025 EoP            |                                   |                                                       |                                   |
| Goodwill              | 81,688                            | 130,641                                               | 168,745                           |
| FY2025                |                                   |                                                       |                                   |
| Sales                 | 62,000                            | 84,000                                                | 132,000                           |
| Adj. operating profit | 8,700                             | 8,400                                                 | 24,300                            |
| Adj. OPM              | 14%                               | 10%                                                   | 18%                               |

|                          | Telecom              | --                                          |
|--------------------------|----------------------|---------------------------------------------|
| (JPY mn)                 | Netracker Technology | CSG Systems International                   |
| Headquarters             | Massachusetts, US    | Colorado, US                                |
| Acquisition              | Oct 2008             | In 2026                                     |
| Acquisition amount       | 32,000               | 441,700                                     |
| Business overview        | BSS<br>OSS           | BSS<br>Customer Experience (CX)<br>Payments |
| FY2024 EoP               |                      |                                             |
| Goodwill                 | --                   | --                                          |
| FY2024                   |                      |                                             |
| Sales                    | 100,000              | 183,141                                     |
| Adj. operating profit    | --                   | 32,965                                      |
| Adj. OPM                 | 10-15%               | 18%                                         |
| Regional sales breakdown |                      |                                             |
| Americas                 | 20%                  | 85-90%                                      |
| EMEA                     | 45-50%               | 5-10%                                       |
| Asia                     | 30-35%               | 0-5%                                        |
| Client sales breakdown   |                      |                                             |
| Telecom carriers         | 90%                  | 70%                                         |
| Others                   | 10%                  | 30%                                         |

Source: Company reports, J.P. Morgan

Note 1: KMD's adjusted operating profit excludes one-off (unprofitable projects); including one-off items, adjusted operating profit is a loss of 2.9 billion yen.

Note 2: BSS (Business Support System): A system that supports customer-related operations such as customer management, service applications, billing, and charging.

Note 3: OSS (Operation Support System): A system that supports network operations such as equipment management, monitoring, and fault detection.

# Panasonic HD (6752): SOTP model (FY3/28E)

## ■ SOTP based on J.P. Morgan estimates

| (mn JPY unless stated otherwise)          | EBITDA           | OP             | D&A            | EV/EBITDA<br>(x) | EV                | Per share<br>(JPY) |
|-------------------------------------------|------------------|----------------|----------------|------------------|-------------------|--------------------|
| Connect                                   | 191,600          | 112,000        | 79,600         | 8.9              | 1,695,800         | 726                |
| Electric Works                            | 133,000          | 95,000         | 38,000         | 10.0             | 1,330,000         | 570                |
| HVAC & CC                                 | 99,000           | 55,000         | 44,000         | 8.0              | 792,000           | 339                |
| <b>Energy</b>                             | <b>333,000</b>   | <b>229,000</b> | <b>104,000</b> | <b>15.8</b>      | <b>5,267,600</b>  | <b>2,256</b>       |
| Industry                                  | 205,000          | 135,000        | 70,000         | 16.0             | 3,280,000         | 1,405              |
| SmartLife                                 | 104,000          | 60,000         | 44,000         | 7.0              | 728,000           | 312                |
| <b>Subtotal</b>                           | <b>1,065,600</b> | <b>686,000</b> | <b>379,600</b> | <b>12.3</b>      | <b>13,093,400</b> | <b>5,608</b>       |
| All Other / Corporate                     | 89,000           | 9,000          | 80,000         | 12.3             | 1,093,574         | 468                |
| <b>Total</b>                              |                  |                |                |                  | <b>14,186,974</b> | <b>6,077</b>       |
| Net debt                                  |                  |                |                |                  | 139,825           | 60                 |
| <b>Equity value</b>                       |                  |                |                |                  | <b>14,047,149</b> | <b>6,017</b>       |
| Number of shares outstanding (K)          |                  |                |                |                  | 2,334,703         |                    |
| Theoretical value (JPY)                   |                  |                |                |                  | 6,017             |                    |
| Discount                                  |                  |                |                |                  | 20%               |                    |
| <b>Discounted theoretical value (JPY)</b> |                  |                |                |                  | <b>4,810</b>      |                    |

## ■ SOTP without IRA subsidies

| (mn JPY unless stated otherwise)          | EBITDA         | OP             | D&A            | EV/EBITDA<br>(x) | EV                | Per share<br>(JPY) |
|-------------------------------------------|----------------|----------------|----------------|------------------|-------------------|--------------------|
| Connect                                   | 191,600        | 112,000        | 79,600         | 8.9              | 1,695,800         | 726                |
| Electric Works                            | 133,000        | 95,000         | 38,000         | 10.0             | 1,330,000         | 570                |
| HVAC & CC                                 | 99,000         | 55,000         | 44,000         | 8.0              | 792,000           | 339                |
| <b>Energy</b>                             | <b>215,000</b> | <b>111,000</b> | <b>104,000</b> | <b>19.0</b>      | <b>4,087,600</b>  | <b>1,751</b>       |
| Industry                                  | 205,000        | 135,000        | 70,000         | 16.0             | 3,280,000         | 1,405              |
| SmartLife                                 | 104,000        | 60,000         | 44,000         | 7.0              | 728,000           | 312                |
| <b>Subtotal</b>                           | <b>947,600</b> | <b>568,000</b> | <b>379,600</b> | <b>12.6</b>      | <b>11,913,400</b> | <b>5,103</b>       |
| All Other / Corporate                     | 89,000         | 9,000          | 80,000         | 12.3             | 1,093,574         | 468                |
| <b>Total</b>                              |                |                |                |                  | <b>13,006,974</b> | <b>5,571</b>       |
| Net debt                                  |                |                |                |                  | 139,825           | 60                 |
| <b>Equity value</b>                       |                |                |                |                  | <b>12,867,149</b> | <b>5,511</b>       |
| Number of shares outstanding (K)          |                |                |                |                  | 2,334,703         |                    |
| Theoretical value (JPY)                   |                |                |                |                  | 5,511             |                    |
| Discount                                  |                |                |                |                  | 20%               |                    |
| <b>Discounted theoretical value (JPY)</b> |                |                |                |                  | <b>4,410</b>      |                    |

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Note 1: EV/EBITDA of Connect is calculated by applying 13x for Blue Yonder and 9x for non-Blue Yonder businesses.

Note 2: EV/EBITDA of Energy is calculated by applying 18x for Industrial/Consumer batteries, which include BBUs, and 10x for automotive batteries.

# Panasonic HD (6752): Investment thesis, valuation, and risks

**Panasonic Holdings (Neutral; Price Target: ¥4,600)**

## **Investment Thesis**

We focus on profitability improvement across the company through structural reforms and portfolio management, growth in data center-related businesses such as BBUs and substrate materials, securing a medium- to long-term competitive advantage in automotive batteries, the possibility of realizing the potential value of Blue Yonder, and measures to improve competitiveness in existing businesses.

## **Valuation**

Our December 2026 price target is ¥4,600. Based on our FY2027 estimates, we use our SoTP model that refers to the average multiples of industry peers (Bloomberg consensus basis) and apply a conglomerate discount of 20% for a theoretical price of ¥4,810. Our ¥4,600 price target is the midpoint between that ¥4,810 and ¥4,410, a SoTP-based theoretical value premised on no IRA subsidies. (The SOTP model is on the previous slide.)

## **Risks to Rating and Price Target**

### **Upside Scenario to Target Price/Rating**

- Greater-than-expected sales growth in AI data center-related businesses such as BBUs
- Increase in profitability of automotive batteries
- Improved profitability of Blue Yonder

### **Downside Scenario to Target Price/Rating**

- Decline in market share and profitability in AI data center-related businesses
- Decline in profitability of automotive batteries
- Delays to the recovery in Blue Yonder's profitability

# Panasonic HD (6752): Earnings forecasts

| (mn JPY)                             | 2026/3    |           |           |           |            | 2027/3    |           |           |           |            | 2028/3     | 2029/3     | 2027/3    |
|--------------------------------------|-----------|-----------|-----------|-----------|------------|-----------|-----------|-----------|-----------|------------|------------|------------|-----------|
|                                      | 1Q        | 2Q        | 3Q        | 4Q        | FY         | 1Q        | 2Q        | 3Q        | 4Q        | FY         | FY         | FY         | FY        |
|                                      | Act       | Act       | Act       | Act       | Act        | JPM       | JPM       | JPM       | JPM       | JPM        | JPM        | JPM        | CoE       |
| Sales                                | 1,896,691 | 1,923,785 | 2,063,304 | 2,164,942 | 8,048,722  | 1,826,000 | 1,863,000 | 1,967,000 | 2,020,000 | 7,676,000  | 8,369,000  | 8,414,000  | 7,600,000 |
| Connect                              | 303,500   | 326,500   | 351,200   | 399,100   | 1,380,300  | 270,000   | 284,000   | 305,000   | 354,000   | 1,317,000  | 1,344,000  | 1,125,000  | 1,350,000 |
| Electric Works                       | 252,000   | 279,000   | 306,100   | 323,500   | 1,160,600  | 252,000   | 279,000   | 306,000   | 324,000   | 1,161,000  | 1,178,000  | 1,196,000  | 1,155,000 |
| HVAC & CC                            | 353,000   | 311,100   | 305,500   | 342,800   | 1,312,400  | 378,000   | 327,000   | 321,000   | 350,000   | 1,376,000  | 1,397,000  | 1,418,000  | 1,360,000 |
| Energy                               | 219,300   | 227,600   | 262,800   | 274,500   | 984,200    | 302,000   | 326,000   | 370,000   | 351,000   | 1,349,000  | 1,627,000  | 1,811,000  | 1,372,000 |
| Industry                             | 283,500   | 290,000   | 293,300   | 300,500   | 1,167,300  | 265,000   | 269,000   | 260,000   | 250,000   | 1,259,000  | 1,317,000  | 1,384,000  | 1,130,000 |
| Smart Life                           | 318,800   | 337,800   | 365,700   | 351,900   | 1,374,200  | 309,000   | 328,000   | 355,000   | 341,000   | 1,333,000  | 1,306,000  | 1,280,000  | 1,335,000 |
| Other                                | 338,900   | 335,700   | 361,400   | 378,600   | 1,414,600  | 250,000   | 250,000   | 250,000   | 250,000   | 1,000,000  | 1,000,000  | 1,000,000  | -102,000  |
| Elimination and adjustments          | -172,300  | -183,900  | -182,700  | -206,000  | -744,900   | -200,000  | -200,000  | -200,000  | -200,000  | -800,000   | -800,000   | -800,000   | 0         |
| Adjusted OP                          | 91,479    | 90,371    | 159,117   | 106,476   | 447,443    | 146,000   | 155,000   | 182,000   | 167,000   | 650,000    | 735,000    | 770,000    | 600,000   |
| Connect                              | 6,200     | 19,500    | 30,400    | 38,400    | 94,500     | 16,000    | 21,000    | 26,000    | 35,000    | 98,000     | 114,000    | 118,000    | 95,000    |
| Electric Works                       | 11,500    | 21,000    | 32,600    | 23,600    | 84,000     | 13,000    | 22,000    | 34,000    | 23,000    | 92,000     | 100,000    | 102,000    | 92,000    |
| HVAC & CC                            | 15,700    | 4,000     | 1,300     | 12,100    | 33,100     | 20,000    | 8,000     | 9,000     | 18,000    | 55,000     | 60,000     | 65,000     | 60,000    |
| Energy                               | 31,800    | 1,100     | 41,700    | -2,500    | 72,100     | 43,000    | 50,000    | 47,000    | 40,000    | 180,000    | 231,000    | 245,000    | 173,000   |
| Industry                             | 18,700    | 27,000    | 27,800    | 24,000    | 97,500     | 32,000    | 34,000    | 36,000    | 28,000    | 130,000    | 140,000    | 155,000    | 110,000   |
| Smart Life                           | 8,800     | 8,500     | 9,700     | 0         | 27,000     | 16,000    | 18,000    | 19,000    | 17,000    | 70,000     | 65,000     | 60,000     | 75,000    |
| Other                                | 13,300    | 11,100    | 21,300    | 16,100    | 61,800     | 13,000    | 10,000    | 18,000    | 14,000    | 55,000     | 55,000     | 55,000     | -5,000    |
| Elimination and adjustments          | -14,500   | -1,800    | -5,700    | -5,300    | -27,300    | -7,000    | -8,000    | -7,000    | -8,000    | -30,000    | -30,000    | -30,000    | 0         |
| OP                                   | 86,903    | 78,093    | -7,217    | 78,628    | 236,407    | 145,000   | 149,000   | 168,000   | 138,000   | 600,000    | 695,000    | 730,000    | 550,000   |
| Connect                              | 5,800     | 23,100    | 28,900    | 42,300    | 100,100    | 15,000    | 20,000    | 25,000    | 34,000    | 94,000     | 112,000    | 116,000    | 91,000    |
| Electric Works                       | 11,200    | 16,000    | 19,600    | 10,900    | 57,700     | 13,000    | 22,000    | 29,000    | 18,000    | 82,000     | 95,000     | 97,000     | 82,000    |
| HVAC & CC                            | 15,700    | 3,600     | -6,000    | 9,800     | 23,100     | 20,000    | 8,000     | 9,000     | 17,000    | 54,000     | 55,000     | 60,000     | 59,000    |
| Energy                               | 31,900    | 1,200     | 40,500    | -3,800    | 69,800     | 43,000    | 50,000    | 46,000    | 39,000    | 178,000    | 229,000    | 243,000    | 171,000   |
| Industry                             | 19,400    | 26,900    | -17,900   | 12,100    | 40,500     | 32,000    | 34,000    | 36,000    | 18,000    | 120,000    | 135,000    | 150,000    | 100,000   |
| Smart Life                           | 7,900     | 7,500     | -29,600   | -23,100   | -37,300    | 16,000    | 18,000    | 17,000    | 12,000    | 63,000     | 60,000     | 55,000     | 68,000    |
| Other                                | 13,900    | 9,000     | 16,900    | 11,100    | 50,900     | 13,000    | 5,000     | 13,000    | 8,000     | 39,000     | 39,000     | 39,000     | -21,000   |
| Elimination and adjustments          | -18,900   | -9,200    | -59,600   | 19,300    | -68,400    | -7,000    | -8,000    | -7,000    | -8,000    | -30,000    | -30,000    | -30,000    | 0         |
| Profit before tax                    | 90,977    | 86,883    | -635      | 85,884    | 263,109    |           |           |           |           | 600,000    | 695,000    | 730,000    | 550,000   |
| Net income                           | 71,463    | 70,941    | -17,107   | 64,243    | 189,540    |           |           |           |           | 461,000    | 532,000    | 557,000    | 420,000   |
| Depreciation (Amortization excluded) | 54,200    | 55,900    | 58,700    | 60,300    | 229,100    | 61,500    | 68,000    | 71,500    | 73,000    | 274,000    | 298,000    | 308,000    | 280,000   |
| Capex (that has been used)           | 144,800   | 162,700   | 152,500   | 169,100   | 629,100    | 90,000    | 119,000   | 119,000   | 151,000   | 479,000    | 490,000    | 480,000    | 480,000   |
| R&D                                  | 101,300   | 106,900   | 110,500   | 107,700   | 426,400    | 100,000   | 100,000   | 110,000   | 110,000   | 420,000    | 420,000    | 420,000    | 420,000   |
| Forex                                |           |           |           |           |            |           |           |           |           |            |            |            |           |
| USDJPY                               | 145       | 147       | 154       | 157       | 151        | 155       | 155       | 155       | 155       | 155        | 155        | 155        | 140       |
| EURJPY                               | 164       | 172       | 179       | 184       | 175        | 180       | 180       | 180       | 180       | 180        | 180        | 180        | 160       |
| Key financial indicators             |           |           |           |           |            |           |           |           |           |            |            |            |           |
| Adjusted OPM                         | 4.8%      | 4.7%      | 7.7%      | 4.9%      | 5.6%       | 8.0%      | 8.3%      | 9.3%      | 8.3%      | 8.5%       | 8.8%       | 9.2%       | 7.9%      |
| ROE                                  |           |           |           |           | 3.8%       |           |           |           |           | 8.6%       | 9.2%       | 9.0%       |           |
| Equity ratio                         |           |           |           |           | 51.2%      |           |           |           |           | 53.2%      | 54.6%      | 56.3%      |           |
| Net Debt / Equity ratio              |           |           |           |           | 0.1        |           |           |           |           | 0.1        | 0.0        | -0.0       |           |
| Net Debt / EBITDA ratio              |           |           |           |           | 0.9        |           |           |           |           | 0.7        | 0.3        | -0.4       |           |
| Dividend pay out ratio               |           |           |           |           | 49.2%      |           |           |           |           | 27.3%      | 26.3%      | 27.2%      |           |
| Net debt                             |           |           |           |           | 578,204    |           |           |           |           | 289,386    | 139,825    | -183,670   |           |
| Cash and cash equivalents            |           |           |           |           | 770,179    |           |           |           |           | 1,058,997  | 1,208,558  | 1,532,053  |           |
| Interest-bearing debt                |           |           |           |           | 1,348,383  |           |           |           |           | 1,348,383  | 1,348,383  | 1,348,383  |           |
| Shareholders' equity                 |           |           |           |           | 5,211,272  |           |           |           |           | 5,562,636  | 5,961,672  | 6,378,711  |           |
| Total assets                         |           |           |           |           | 10,172,412 |           |           |           |           | 10,457,722 | 10,925,374 | 11,329,144 |           |
| FCF                                  |           |           |           |           | 16,855     |           |           |           |           | 417,410    | 301,478    | 482,412    |           |



# Panasonic HD (6752): Energy segment forecasts

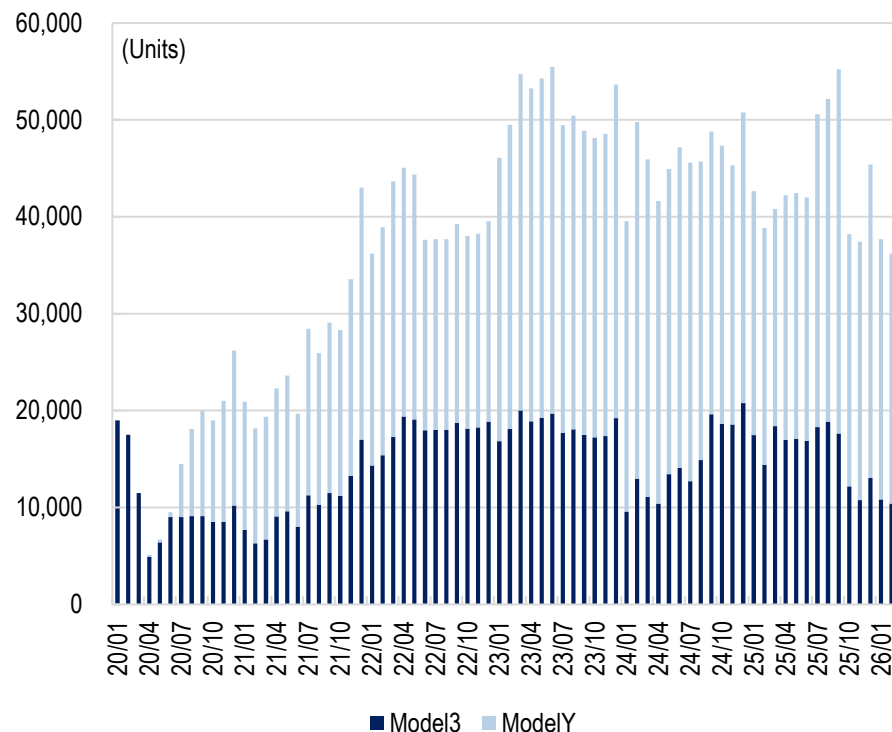
| (mn JPY)                                           | FY3/23         | FY3/24         | FY3/25         | FY3/26         | FY3/27<br>JPMe   | FY3/28<br>JPMe   | FY3/29<br>JPMe   |
|----------------------------------------------------|----------------|----------------|----------------|----------------|------------------|------------------|------------------|
| <b>Revenue</b>                                     | <b>971,800</b> | <b>915,900</b> | <b>873,244</b> | <b>984,200</b> | <b>1,349,000</b> | <b>1,627,000</b> | <b>1,811,000</b> |
| Automotive                                         | 654,000        | 605,000        | 481,200        | 434,100        | 523,000          | 543,000          | 554,000          |
| Industrial, Consumer, Others                       | 311,000        | 307,100        | 392,200        | 544,200        | 822,000          | 1,081,000        | 1,254,000        |
| <b>Adj. OP</b>                                     | <b>39,600</b>  | <b>94,600</b>  | <b>122,700</b> | <b>72,100</b>  | <b>180,000</b>   | <b>231,000</b>   | <b>245,000</b>   |
| Automotive                                         | 10,700         | -18,700        | -28,900        | -111,000       | -90,000          | -98,000          | -104,000         |
| Industrial, Consumer, Others                       | 28,500         | 26,100         | 56,800         | 83,700         | 156,000          | 211,000          | 234,000          |
| IRA                                                | -              | 86,800         | 94,000         | 99,100         | 118,000          | 118,000          | 115,000          |
| Adj. OP margin                                     | 4.1%           | 10.3%          | 14.1%          | 7.3%           | 13.3%            | 14.2%            | 13.5%            |
| Adj. OP margin ex IRA                              | 4.1%           | 0.9%           | 3.3%           | -2.7%          | 4.6%             | 6.9%             | 7.2%             |
| Automotive                                         | 1.6%           | -3.1%          | -6.0%          | -25.6%         | -17.2%           | -18.0%           | -18.8%           |
| Industrial, Consumer, Others                       | 9.2%           | 8.5%           | 14.5%          | 15.4%          | 19.0%            | 19.5%            | 18.7%            |
| <b>Capex</b>                                       | <b>90,600</b>  | <b>292,100</b> | <b>501,100</b> | <b>431,600</b> | <b>240,000</b>   | <b>250,000</b>   | <b>250,000</b>   |
| Recurring                                          | 50,000         | 70,000         | 100,000        | 100,000        | 120,000          | 130,000          | 130,000          |
| Wakayama                                           | 40,000         | 30,000         | 20,000         | 20,000         | -                | -                | -                |
| US Kansas + Nevada                                 | -              | 192,100        | 381,100        | 311,600        | 120,000          | 120,000          | 120,000          |
| <b>Depreciation (Fixed assets)</b>                 | <b>20,200</b>  | <b>23,700</b>  | <b>29,700</b>  | <b>42,000</b>  | <b>80,000</b>    | <b>90,000</b>    | <b>100,000</b>   |
| <b>Capacity (GWh)</b>                              | <b>50.0</b>    | <b>48.5</b>    | <b>59.0</b>    | <b>68.0</b>    | <b>68.0</b>      | <b>68.0</b>      | <b>68.0</b>      |
| Suminoe                                            | 11.5           | 10.0           | 10.0           | 10.0           | 10.0             | 10.0             | 10.0             |
| Nevada                                             | 38.5           | 38.5           | 40.0           | 40.0           | 40.0             | 40.0             | 40.0             |
| Wakayama                                           | -              | -              | 6.0            | 6.0            | 6.0              | 6.0              | 6.0              |
| Kansas                                             | -              | -              | 3.0            | 12.0           | 12.0             | 12.0             | 12.0             |
| <b>Output (GWh)</b>                                | <b>44.0</b>    | <b>42.7</b>    | <b>42.1</b>    | <b>42.7</b>    | <b>48.0</b>      | <b>51.0</b>      | <b>52.0</b>      |
| Suminoe                                            | 10.0           | 5.5            | 4.0            | 4.0            | 6.0              | 6.0              | 7.0              |
| Nevada/ Kansas                                     | 34.0           | 37.2           | 38.1           | 38.7           | 42.0             | 42.0             | 42.0             |
| Wakayama                                           | -              | -              | -              | -              | -                | 3.0              | 3.0              |
| <b>IRA</b>                                         |                |                |                |                |                  |                  |                  |
| Subsidy per kWh (\$/KWh)                           | -              | 35.0           | 35.0           | 35.0           | 35.0             | 35.0             | 35.0             |
| US Capacity (GWh)                                  | 38.5           | 38.5           | 43.0           | 52.0           | 52.0             | 52.0             | 52.0             |
| Output in US Capacity (GWh)                        | 34.0           | 37.2           | 38.1           | 38.7           | 42.0             | 42.0             | 42.0             |
| <b>Battery Cell Subsidy (\$bn)</b>                 | <b>-</b>       | <b>-</b>       | <b>1,334</b>   | <b>1,356</b>   | <b>1,500</b>     | <b>1,500</b>     | <b>1,500</b>     |
| <b>Battery Cell Subsidy (mn JPY)</b>               | <b>-</b>       | <b>-</b>       | <b>-</b>       | <b>203,000</b> | <b>233,000</b>   | <b>233,000</b>   | <b>-</b>         |
| <b>Electrode active material (\$bn)</b>            | <b>-</b>       | <b>-</b>       | <b>43</b>      | <b>28</b>      | <b>25</b>        | <b>25</b>        | <b>-</b>         |
| <b>Electrode active material (mn JPY)</b>          | <b>-</b>       | <b>-</b>       | <b>6,600</b>   | <b>4,200</b>   | <b>3,875</b>     | <b>3,875</b>     | <b>-</b>         |
| <b>Subsidy (mn JPY)</b>                            | <b>-</b>       | <b>188,200</b> | <b>215,000</b> | <b>213,400</b> | <b>237,000</b>   | <b>237,000</b>   | <b>230,000</b>   |
| <b>Contribution to OP of Panasonic HD (mn JPY)</b> | <b>-</b>       | <b>86,800</b>  | <b>94,000</b>  | <b>99,100</b>  | <b>118,000</b>   | <b>118,000</b>   | <b>115,000</b>   |
| <b>Effective use with customers (mn JPY)</b>       | <b>-</b>       | <b>101,400</b> | <b>121,000</b> | <b>114,300</b> | <b>119,000</b>   | <b>119,000</b>   | <b>115,000</b>   |

Source: Company reports, J.P. Morgan estimates. Note: J.P. Morgan estimates are all as of July 2026.

# Panasonic HD (6752): Automotive Battery

- Production capacity of the Nevada plant is around 40GWh, and the new Kansas plant is expected to increase its capacity to around 32GWh in the future.
- Assuming that battery capacity per vehicle is 75kWh, 40GWh implies roughly 530,000 vehicles per year, roughly 45,000 vehicles per month of demand.

Model 3/Y sales in the US



Tesla's annual production capacity as of April 2026

| Region                               | Product           | Capacity    | Status             |
|--------------------------------------|-------------------|-------------|--------------------|
| <b>Automotive</b>                    |                   |             |                    |
| California                           | Model 3/Y         | >550,000    | Production         |
| Shanghai                             | Model 3/Y         | >950,000    | Production         |
| Berlin                               | Model Y           | >375,000    | Production         |
| Texas                                | Model Y           | >250,000    | Production         |
|                                      | Cybertruck        | >125,000    | Production         |
|                                      | Cybercab          | -           | Pilot Production   |
| Nevada                               | Tesla Semi        | -           | Pilot Production   |
| TBD                                  | Roadster          | -           | Design development |
| <b>Energy Generation and Storage</b> |                   |             |                    |
| California                           | Megapack          | 40GWh       | Production         |
| Nevada                               | Powerwall         | >6 GWh      | Production         |
| Shanghai                             | Megapack          | 20GWh       | Production         |
| Texas                                | Megapack          | -           | Construction       |
| <b>Robotics</b>                      |                   |             |                    |
| California                           | Optimus           | >100k H100e | Production         |
| Texas                                | Optimus           | >130k H100e | Early Ramp         |
| <b>AI Training Compute</b>           |                   |             |                    |
| Texas                                | Cortex 1          | -           | Production         |
| Texas                                | Cortex 2          | -           | Production         |
| <b>Battery Manufacturing</b>         |                   |             |                    |
| Nevada                               | LFP               | 7GWh        | Production         |
| Texas                                | 4680              | 40GWh       | Production         |
| Texas                                | Cathode Materials | 10GWh       | Production         |
| Texas                                | Lithium Refining  | 30GWh       | Production         |

# Panasonic HD (6752): Earnings forecasts of Blue Yonder

|                                                        | 2026/3         |               |               |               |                | 2027/3        |               |               |               |                | 2028/3         | 2028/3         | 2027/3         |
|--------------------------------------------------------|----------------|---------------|---------------|---------------|----------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|
|                                                        | 1Q             | 2Q            | 3Q            | 4Q            | FY             | 1Q            | 2Q            | 3Q            | 4Q            | FY             | FY             | FY             | FY             |
|                                                        | Act            | Act           | Act           | Act           | Act            | JPMc          | JPMc          | JPMc          | JPMc          | JPMc           | JPMc           | JPMc           | CoE            |
| Blue Yonder (standalone basis, USD mn)                 |                |               |               |               |                |               |               |               |               |                |                |                |                |
| <b>Sales</b>                                           | <b>343</b>     | <b>361</b>    | <b>374</b>    | <b>367</b>    | <b>1,447</b>   | <b>364</b>    | <b>372</b>    | <b>385</b>    | <b>378</b>    | <b>1,499</b>   | <b>1,544</b>   | <b>1,590</b>   | <b>1,551</b>   |
| YoY                                                    | 4%             | 2%            | 5%            | 6%            | 4%             | 6%            | 3%            | 3%            | 3%            | 4%             | 3%             | 3%             | 7%             |
| <b>Adjusted OP</b>                                     | <b>-23</b>     | <b>12</b>     | <b>-1</b>     | <b>16</b>     | <b>4</b>       | <b>12</b>     | <b>7</b>      | <b>5</b>      | <b>4</b>      | <b>28</b>      | <b>98</b>      | <b>111</b>     | <b>30</b>      |
| Adj. OPM                                               | -7%            | 3%            | 0%            | 4%            | 0%             | 3%            | 2%            | 1%            | 1%            | 2%             | 6%             | 7%             | 0%             |
| Amortization                                           | -29            | -33           | -24           | -22           | -108           | -21           | -21           | -21           | -21           | -84            | -85            | -85            | -84            |
| <b>Adj. EBITDA (excl. investments and costs below)</b> | <b>51</b>      | <b>82</b>     | <b>73</b>     | <b>67</b>     | <b>273</b>     | <b>69</b>     | <b>71</b>     | <b>73</b>     | <b>72</b>     | <b>285</b>     | <b>278</b>     | <b>286</b>     | <b>287</b>     |
| Adj. EBITDA margin                                     | 15%            | 23%           | 20%           | 18%           | 19%            | 19%           | 19%           | 19%           | 19%           | 19%            | 18%            | 18%            | 19%            |
| <b>EBITDA</b>                                          | <b>6</b>       | <b>45</b>     | <b>23</b>     | <b>38</b>     | <b>112</b>     | <b>33</b>     | <b>28</b>     | <b>26</b>     | <b>25</b>     | <b>112</b>     | <b>183</b>     | <b>196</b>     | <b>114</b>     |
| EBITDA margin                                          | 2%             | 12%           | 6%            | 10%           | 8%             | 9%            | 7%            | 7%            | 7%            | 7%             | 12%            | 12%            | 7%             |
| Strategic investments                                  | -40            | -34           | -40           | -21           | -135           | -25           | -27           | -30           | -30           | -112           | -60            | -60            | -112           |
| Compensation (incentives/retention)                    | -5             | -5            | -8            | -5            | -23            | -5            | -10           | -10           | -10           | -35            | -20            | -20            | -35            |
| Restructuring expenses, non-recurring gain/loss        | 1              | 1             | -2            | -3            | -3             | -6            | -6            | -7            | -7            | -26            | -15            | -10            | -26            |
| Blue Yonder (consolidated basis, mn JPY)               |                |               |               |               |                |               |               |               |               |                |                |                |                |
| <b>Sales</b>                                           | <b>49,800</b>  | <b>53,300</b> | <b>57,600</b> | <b>57,700</b> | <b>218,400</b> | <b>56,000</b> | <b>58,000</b> | <b>60,000</b> | <b>59,000</b> | <b>233,000</b> | <b>239,000</b> | <b>247,000</b> | -              |
| YoY                                                    | -3%            | 1%            | 7%            | 9%            | 4%             | 12%           | 9%            | 4%            | 2%            | 7%             | 3%             | 3%             | -              |
| <b>Adjusted operating profit</b>                       | <b>-10,900</b> | <b>-6,000</b> | <b>-8,400</b> | <b>-5,800</b> | <b>-31,100</b> | <b>-6,000</b> | <b>-7,000</b> | <b>-7,000</b> | <b>-7,000</b> | <b>-27,000</b> | <b>-17,000</b> | <b>-15,000</b> | <b>-26,700</b> |
| Adjusted OP (standalone basis)                         | -3,300         | 1,800         | -200          | 2,500         | 5,300          | 1,900         | 1,000         | 800           | 600           | 4,300          | 15,200         | 17,200         | 0              |
| Amortization related to acquisition, etc               | -7,500         | -7,800        | -8,200        | -8,300        | -31,900        | -7,800        | -7,800        | -7,800        | -7,800        | -31,200        | -32,600        | -32,600        | -30,900        |

Source: Company reports, J.P. Morgan estimates.  
Note: J.P. Morgan estimates are all as of July 2026.

# Disclosures

**Companies Discussed in This Report** (all prices in this report as of market close on 06 July 2026, unless otherwise indicated)

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